

# Introduction

In the preceding year, you successfully completed two accounting courses, namely:

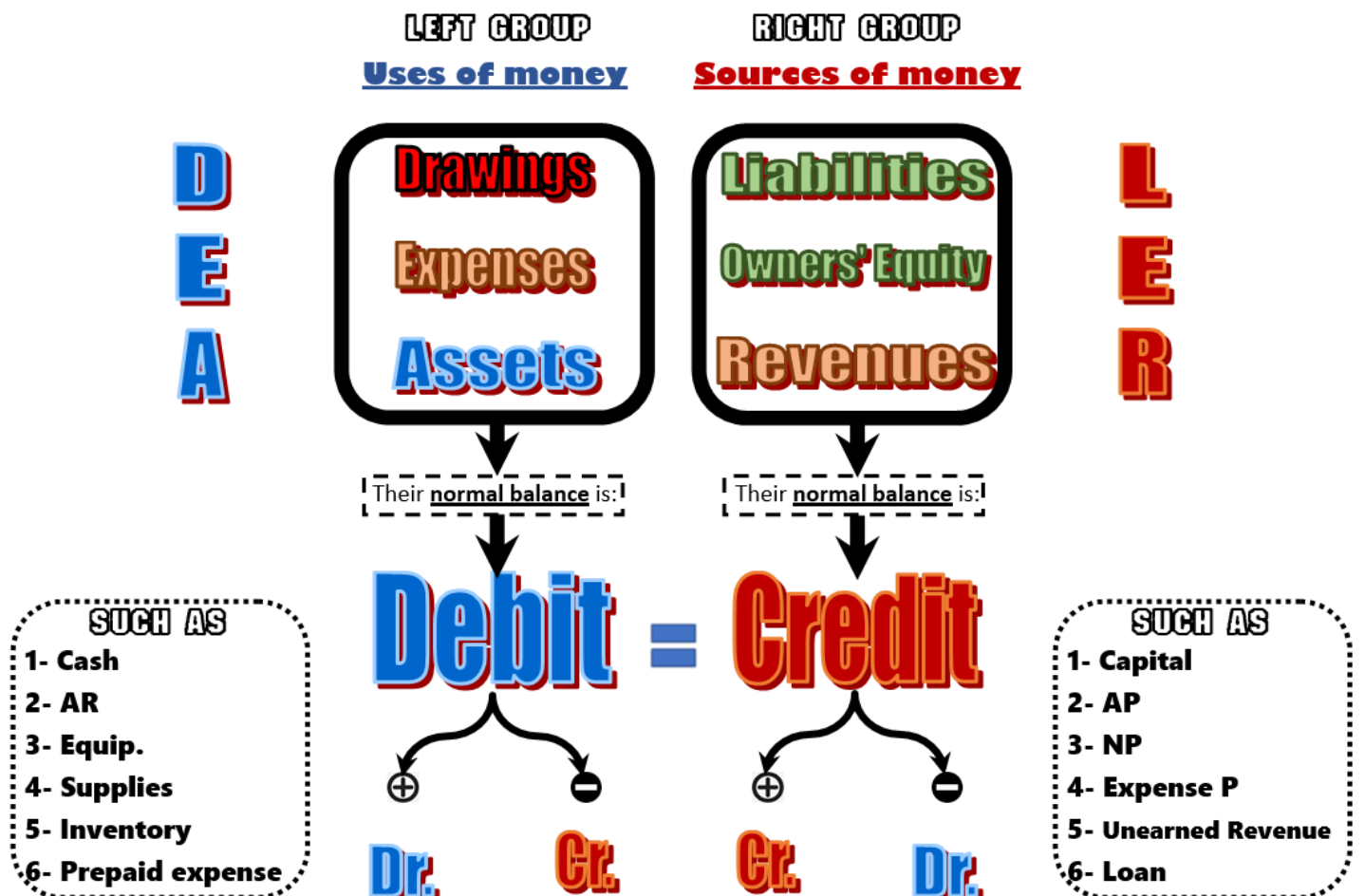
## Accounting Principles

In this foundational course, you acquired a comprehensive understanding of the core principles that underpin the field of financial accounting. Topics covered included Accounting cycle, Analyzing transactions, Journalizing, Posting to the ledger, preparing trial balances, making necessary Adjustments, crafting Financial statements, and executing Closing entries.

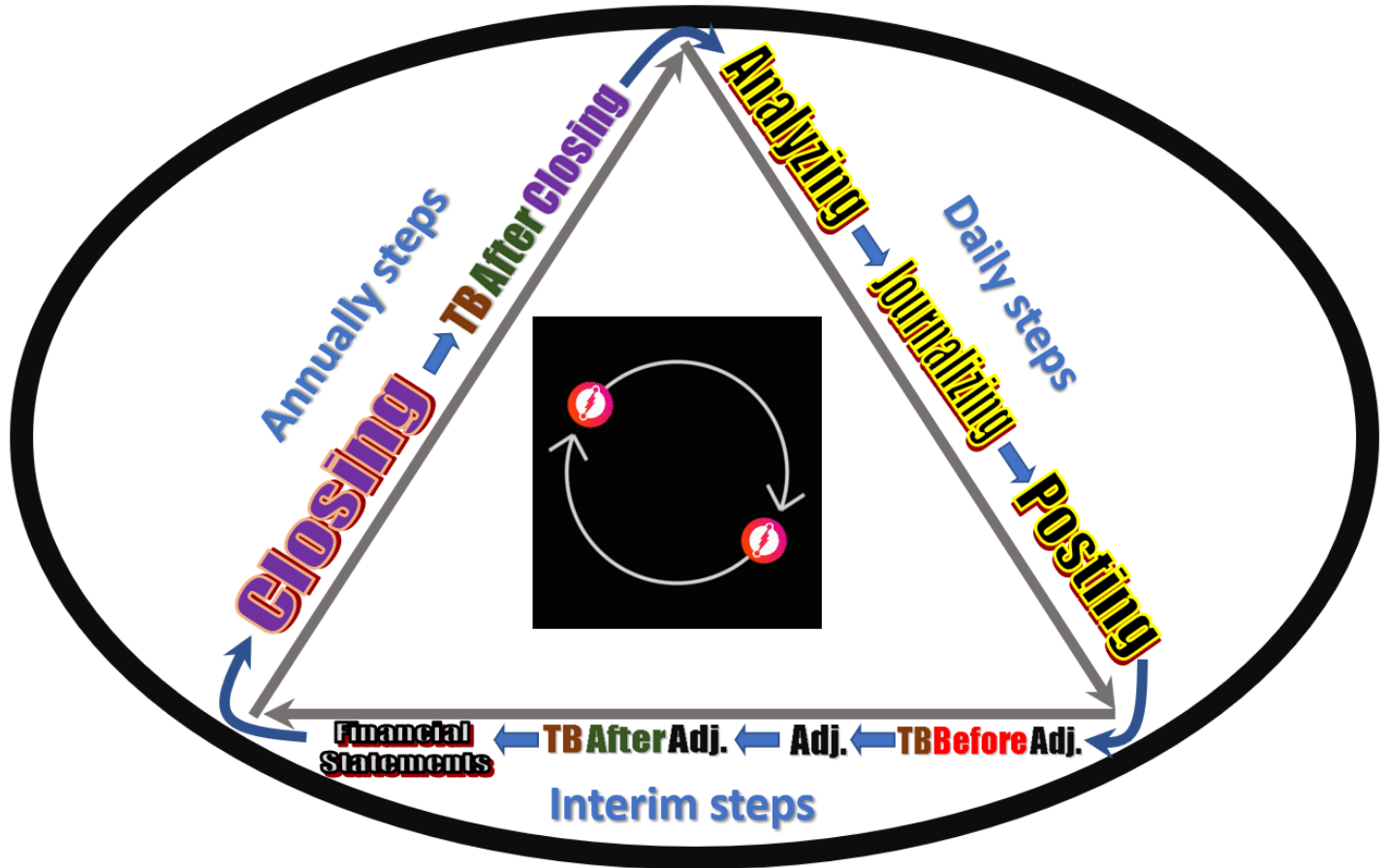
## Managerial Accounting

This course equipped you with the tools to analyze financial data and make informed decisions within organizations. Key subjects covered encompassed cost concepts and classifications, the dynamic realm of CVP (Cost-Volume-Profit) analysis, Decision making based on financial insights, and the intricacies of budgeting.

To ensure a solid foundation and a smooth transition into the new course, "Intermediate Accounting," it can be highly beneficial to take a moment to remember the full accounting cycle from your previous courses.



# Accounting Cycle



Now, as we embark on the next year of your academic journey, it is with great enthusiasm that we introduce the course "Intermediate Accounting." This advanced course promises to deepen your understanding of accounting by delving into the following critical areas:

**Chapter 1: Income statement** Here, we will explore how companies report their revenues, expenses, gains, and losses, and how these figures are disclosed to provide a clear picture of their financial performance. Understanding income statements is crucial, as they are the primary tool for evaluating profitability.

**Chapter 2: Statement of Financial Position** commonly known as the balance sheet. This financial snapshot reveals a company's assets, liabilities, and shareholders' equity, offering insights into its financial health and position. We will unravel the mysteries behind this critical document and explore its implications for decision-making.

**Chapter 3: Cash Flow Statement** a powerful tool for assessing a company's cash management and liquidity. You will learn how to analyze cash flows from operating, investing, and financing activities to evaluate a company's ability to generate and manage cash.

**Chapter 4: Conceptual framework** to build a strong foundation, we will delve into the Conceptual Framework, a fundamental guide that underpins accounting standards worldwide. Understanding the principles that shape accounting rules is essential for making sense of the accounting landscape.

**Chapter 5: Accounting for Cash** We will then shift our focus to the practical aspects of accounting, starting with Accounting for Cash. Cash is the lifeblood of any organization, and you will discover how to record and manage it effectively, ensuring accuracy and control.

**Chapter 6: Accounting for Receivables** an area critical for many businesses. You will learn how to recognize, measure, and manage accounts receivable, a crucial asset in assessing a company's credit risk and liquidity.

**Chapter 7: Accounting for Inventories** Finally, we will explore Accounting for Inventories, one of the most substantial assets for many companies. You will gain insights into different inventory valuation methods and how they impact financial statements.

Each chapter will provide clear explanations, illustrative examples, and practice exercises to reinforce your understanding.

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# Chapter (1): Income Statement

The income statement reports the results of an entity's operations over a period of time, such as a year.

To illustrate how to prepare Income Statement according IFRS, let's take the following case:

Juhayna, a corporation engaged in the production of milk, yoghurt, cheese, and juice, has faced challenges with its juice production line over the past few years. In years 1, 2, and 3, the juice production line recorded significant losses, prompting the company's Board of Directors (BOD) to make a strategic decision to discontinue this activity within the next two years. As this decision qualifies as discontinued operations under International Financial Reporting Standards (IFRS), Juhayna is now preparing its income statement for year 4. Given the following financial figures (in thousands of dollars) for Juhayna's operations:

|                                                 |       |
|-------------------------------------------------|-------|
| Sales                                           | \$600 |
| Sales Return                                    | 20    |
| Sales Allowance                                 | 30    |
| Sales Discount                                  | 50    |
| Cost Of Goods Sold (COGS)                       | 250   |
| Sales commissions                               | 15    |
| Delivery expense (Fright out)                   | 25    |
| Depreciation of sales equipment                 | 10    |
| Officers' salaries                              | 30    |
| Depreciation of office furniture and equipment  | 20    |
| Rent revenue                                    | 22    |
| Interest revenue                                | 16    |
| Gain on sale Land                               | 9     |
| Unrealized gain from holding trading securities | 11    |
| Interest expense                                | 20    |
| Loss on sale equipment                          | 18    |
| Loss from discontinued operations (Juice line)  | 50    |
| Gain on disposal of discontinued operations     | 30    |
| Tax rate                                        | 20%   |

**Required: Calculate Net Income for year 4.**

**Note that** Sales is the main revenue for any company, but there are 3 accounts (classified as contra revenues) must be deducted from the gross number of sales to convert it into the net amount as follows:

$$\text{Net Sales} = \text{Gross sales} - \text{RAD}$$

$$\text{Net sales} = 600 - (20 + 30 + 50) = 500$$

So, we can calculate net income as follows:

|                                                                           |       |
|---------------------------------------------------------------------------|-------|
| Total Revenues & Gains = $500 + 22 + 16 + 9 + 11 + 30 =$                  | 588   |
| Total Expenses & Losses = $250 + 15 + 25 + 10 + 30 + 20 + 20 + 18 + 50 =$ | (438) |
| Income before tax                                                         | 150   |
| (-) Tax ( $150 \times 20\%$ )                                             | (30)  |
| Net income                                                                | 120   |

If this company was a corporation with Preferred shares (Preferred stocks) 50 shares & Ordinary shares (Common stocks) 100 shares, what is the earning per share, knowing that the company declared and distributed \$20 for preferred shares?

When calculating Earnings Per Share (EPS) for a corporation, you typically calculate it for ordinary shareholders after deducting any preferred dividends:

$$\text{EPS} = \frac{(\text{Net Income} - \text{Preferred dividends})}{\text{weighted average of outstanding ordinary shares}} = \frac{(120 - 20)}{100} = \$1 \text{ per share.}$$

## Is the previous calculation acceptable as an income statement according IFRS?

Of course, not, it is not informative, because it doesn't distinguish between several types of operations:



Before preparing Income statement, we can aggregate Selling & Administrative expenses together for simplicity:

- Selling ex. = commissions + Delivery + Dep. of sales equipment = 15 + 25 + 10 = 50
- Administrative ex. = Officers' salaries + Dep. Of office furniture and equipment = 30 + 20 = 50
- S&A expenses = 50 + 50 = 100

Now, we can rearrange items to be disclosed in accordance with IFRS as follows:

### Juhayna Corporation Income statement For the year ended on 12/31/Y4

|                                                              |                  |
|--------------------------------------------------------------|------------------|
| Net Sales                                                    | 500              |
| (-) COGS                                                     | (250)            |
| Gross Profit                                                 | 250              |
| (-) S&A expenses                                             | (100)            |
| ± <b>RGEL</b>                                                |                  |
| Rent revenue                                                 | 22               |
| Interest revenue                                             | 16               |
| Gain on sale Land                                            | 9                |
| Unrealized gain from holding trading securities              | 11               |
| Loss on sale equipment                                       | 18               |
| NOI (Income from operations) (EBIT)                          | 190              |
| (-) Interest expense                                         | (20)             |
| Income before tax                                            | 170              |
| (-) Tax (170 x 20%)                                          | (34)             |
| Income From Continuing Operations ( <b>IFCO</b> )            | 136              |
| ( <b>DISCO</b> ) Discontinued Operations (- 50 + 30) x 80% = | (16)             |
| Net Income                                                   | 120              |
| EPS from continued operations = $\frac{(136 - 20)}{100} =$   | 1.16 per share   |
| EPS from discontinued operations = $\frac{(-16)}{100} =$     | - 0.16 per share |
| EPS from Net Income = $\frac{(120 - 20)}{100} =$             | 1 per share      |

Note that any number will affect the net income and comes after (IFCO) should be net of tax, and to do that we will multiply it by the **complementary** of tax rate (100% - 20% = 80%)

## What if the holding securities is for **non trading** purpose?

Securities are shares or bonds for other companies which were purchased as an investment. It may classified as:

### Trading securities

Here company purchases securities and hope to sell them quickly and achieve realized gain or loss from this selling.

So, even if the securities were not sold, we treat its unrealized gain or loss as if realized and appear directly in income statement as previous.

### Non Trading securities

Here company purchases securities for other purposes and hope to sell them in the long run (available for sale).

So, its unrealized gain or loss should not be appear in income statement, instead of that it should appear in **comprehensive income statement**.

## What is the comprehensive income statement?

The comprehensive income statement provides a more inclusive picture of a company's financial performance by combining the traditional net income with other comprehensive income items that are not part of the net income but still have an impact on the company's overall financial position.

**Assume in the previous example that the company has unrealized gains from holding non trading securities of \$100. How can we prepare comprehensive income statement?**

Standards allow to disclose other comprehensive income (OCI) in two ways:

### One statement

|                                                   |        |
|---------------------------------------------------|--------|
| Net Sales                                         | 500    |
| (-) COGS                                          | (250)  |
| Gross Profit                                      | 250    |
| (-) S&A expenses                                  | (100)  |
| ± <b>RGEL</b>                                     |        |
| Rent revenue                                      | 22     |
| Interest revenue                                  | 16     |
| Gain on sale Land                                 | 9      |
| Unrealized gain (TS)                              | 11     |
| Loss on sale equipment                            | 18     |
| NOI (Income from operations) (EBIT)               | 190    |
| (-) Interest expense                              | (20)   |
| Income before tax                                 | 170    |
| (-) Tax (170 x 20%)                               | (34)   |
| Income From Continuing Operations ( <b>IFCO</b> ) | 136    |
| ( <b>DISCO</b> ) Discontinued Operations          | (16)   |
| Net Income                                        | 120    |
| ± <u>Other Comprehensive Income (OCI)</u>         |        |
| Unrealized gain ( <b>Non TS</b> ) (100 x 80%)     | 80     |
| Comprehensive Income                              | 200    |
| <b>EPS from continued operations</b>              | 1.16   |
| <b>EPS from discontinued operations</b>           | - 0.16 |
| <b>EPS from Net Income</b>                        | 1      |

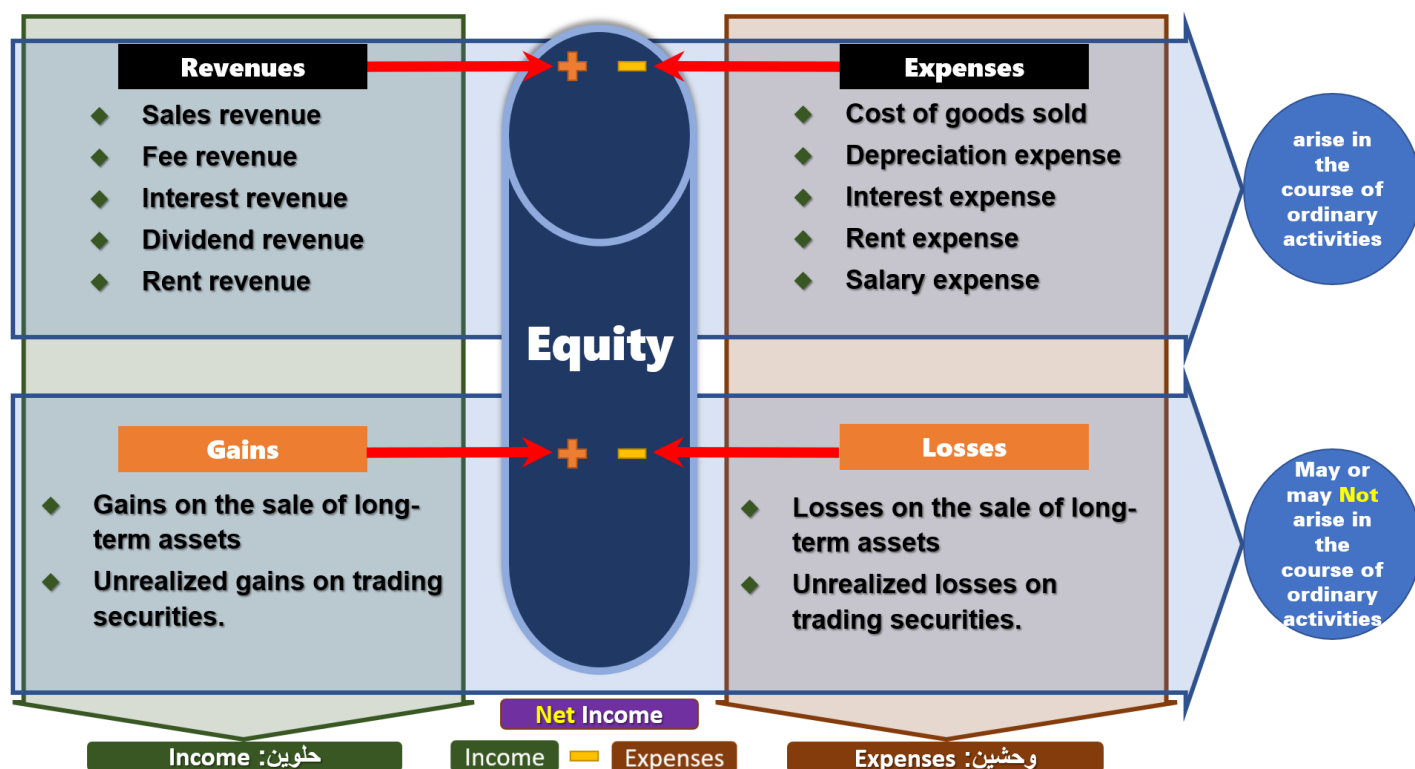
### 2 separate but consecutive statements

|                                                   |        |
|---------------------------------------------------|--------|
| Net Sales                                         | 500    |
| (-) COGS                                          | (250)  |
| Gross Profit                                      | 250    |
| (-) S&A expenses                                  | (100)  |
| ± <b>RGEL</b>                                     |        |
| Rent revenue                                      | 22     |
| Interest revenue                                  | 16     |
| Gain on sale Land                                 | 9      |
| Unrealized gain (TS)                              | 11     |
| Loss on sale equipment                            | 18     |
| NOI (Income from operations) (EBIT)               | 190    |
| (-) Interest expense                              | (20)   |
| Income before tax                                 | 170    |
| (-) Tax (170 x 20%)                               | (34)   |
| Income From Continuing Operations ( <b>IFCO</b> ) | 136    |
| ( <b>DISCO</b> ) Discontinued Operations          | (16)   |
| Net Income                                        | 120    |
| <b>EPS from continued operations</b>              | 1.16   |
| <b>EPS from discontinued operations</b>           | - 0.16 |
| <b>EPS from Net Income</b>                        | 1      |

### Comprehensive Income statement

|                                               |     |
|-----------------------------------------------|-----|
| Net Income                                    | 120 |
| ± <u>Other Comprehensive Income (OCI)</u>     |     |
| Unrealized gain ( <b>Non TS</b> ) (100 x 80%) | 80  |
| Comprehensive Income                          | 200 |

Note the difference between:



**Revenues:** inflows or other enhancements of assets or settlements of liabilities (or both) from delivering or producing goods, providing services, or other activities that qualify as ongoing major or central operations.

**Expenses:** outflows or other usage of assets or incurrences of liabilities (or both) from delivering or producing goods, providing services, or other activities that qualify as ongoing major or central operations.

**Gains:** increases in equity (or net assets) other than from revenues or investments by owners.

**Losses:** decreases (which may or may not occur) in equity (or net assets) other than from expenses or distributions to owners.



## Example (I)

Presented below is information related to Webster Company (amounts in thousands).

### Administrative expenses

|                                                |        |
|------------------------------------------------|--------|
| Officers' salaries                             | £4,900 |
| Depreciation of office furniture and equipment | 3,960  |
| Cost of goods sold                             | 63,570 |
| Rent revenue                                   | 17,230 |

### Selling expenses

|                                 |        |
|---------------------------------|--------|
| Delivery expense                | 2,690  |
| Sales commissions               | 7,980  |
| Depreciation of sales equipment | 6,480  |
| Sales revenue                   | 96,500 |
| Income tax                      | 7,580  |
| Interest expense                | 1,860  |

**Instructions:** Prepare an income statement for the year 2024. Ordinary shares outstanding for 2024 total 40,550 (in thousands).



$$\text{S\&A expenses} = 4,900 + 3,960 + 2,690 + 7,980 + 6,480 = 26,010$$

### Webster Company

### Income Statement

For the year ended on 12/31/2024

|                              |          |
|------------------------------|----------|
| Sales                        | 96,500   |
| (-) COGS                     | (63,570) |
| Gross Profit                 | 32,930   |
| (-) S&A expenses             | (26,010) |
| ± <b>RGEL</b>                |          |
| Rent Revenue                 | 17,230   |
| NOI (Income from operations) | 24,150   |
| (-) Interest expense         | (1,860)  |
| Income before tax            | 22,290   |
| (-) Tax                      | (7,580)  |
| Net Income                   | 14,710   |

$$\text{EPS} = \frac{14,710}{40,550} = \text{£}0.36 \text{ per share}$$



## Example (2)

The following balances were taken from the books of Parnevik Corp. on December 31, 2024.

|                                 |           |                                      |         |
|---------------------------------|-----------|--------------------------------------|---------|
| Interest revenue                | €86,000   | Acc. Dep.— buildings                 | €28,000 |
| Cash                            | 51,000    | Notes receivable                     | 155,000 |
| Sales revenue                   | 1,280,000 | Selling expenses                     | 194,000 |
| Accounts receivable             | 150,000   | Accounts payable                     | 170,000 |
| Prepaid insurance               | 20,000    | Bonds payable                        | 100,000 |
| Sales returns and allowances    | 150,000   | Administrative and general expenses  | 97,000  |
| Allowance for doubtful accounts | 7,000     | Accrued liabilities                  | 32,000  |
| Sales discounts                 | 45,000    | Interest expense                     | 60,000  |
| Land                            | 100,000   | Notes payable                        | 100,000 |
| Equipment                       | 200,000   | Loss from impairment of plant assets | 120,000 |
| Buildings                       | 140,000   | Share capital—ordinary               | 500,000 |
| Cost of goods sold              | 621,000   | Retained earnings                    | 21,000  |
| Acc. Dep.—equipment             | 40,000    |                                      |         |

Assume the total effective tax rate on all items is 34%.

**Instructions:** Prepare an income statement; 100,000 ordinary shares were outstanding during the year.

**Solution**

Net sales = Sales – RAD = 1,280,000 – 150,000 – 45,000 = 1,085,000

S&A expenses = 97,000 + 194,000 = 291,000

### Parnevik Corporation

#### Income Statement

For the year ended on 12/31/2024

|                              |           |
|------------------------------|-----------|
| Sales                        | 1,085,000 |
| (-) COGS                     | (621,000) |
| Gross Profit                 | 464,000   |
| (-) S&A expenses             | (291,000) |
| ± <b>RGEL</b>                |           |
| Interest Revenue             | 86,000    |
| Loss from impairment         | (120,000) |
| NOI (Income from operations) | 139,000   |
| (-) Interest expense         | (60,000)  |
| Income before tax            | 79,000    |
| (-) Tax (79,000 x 34%)       | (26,860)  |
| Net Income                   | 52,140    |

$$\text{EPS} = \frac{52,140}{100,000} = \text{€}0.52 \text{ per share}$$



### Example (3)

At December 31, 2023, Schroeder Corporation had the following shares outstanding.

8% cumulative preference shares, €100 par, 107,500 shares €10,750,000

Ordinary shares, €5 par, 4,000,000 shares €20,000,000

During 2024, Schroeder did not issue any additional shares. The following also occurred during 2024.

|                                             |             |
|---------------------------------------------|-------------|
| Income before income tax                    | €21,650,000 |
| Discontinued operations (loss before taxes) | 3,225,000   |
| Preference dividends declared               | 860,000     |
| Ordinary dividends declared                 | 2,200,000   |
| Effective tax rate                          | 35%         |

**Instructions:** Compute earnings per share data as it should appear in the 2024 income statement of Schroeder Corporation. (Round to two decimal places.)

**Solution**

|                                                                                     |                    |
|-------------------------------------------------------------------------------------|--------------------|
| Income before tax                                                                   | 21,650,000         |
| (-) Tax (21,650,000 x 35%)                                                          | (7,577,500)        |
| Income from continuing operations ( <b>IFCO</b> )                                   | 14,072,500         |
| <b>(DISCO)</b> Loss from discontinued operations (3,225,000 x 65%)                  | <b>(2,096,250)</b> |
| Net Income                                                                          | 11,976,250         |
| <b>EPS from continued operations</b> = $\frac{(14,072,500 - 860,000)}{4,000,000} =$ | 3.3 per share      |
| <b>EPS from discontinued operations</b> = $\frac{(2,096,250)}{4,000,000} =$         | - 0.52 per share   |
| <b>EPS from Net Income</b> = $\frac{(11,976,250 - 860,000)}{4,000,000} =$           | 2.78 per share     |



### Example (4)

Presented below are selected ledger accounts of McGraw Corporation as of December 31, 2024.

|                                                  |          |
|--------------------------------------------------|----------|
| Cash                                             | € 50,000 |
| Administrative expenses                          | 100,000  |
| Selling expenses                                 | 80,000   |
| Net sales                                        | 540,000  |
| Cost of goods sold                               | 260,000  |
| Cash dividends declared (2024)                   | 20,000   |
| Cash dividends paid (2024)                       | 15,000   |
| Discontinued operations (loss before income tax) | 40,000   |
| Depreciation expense, not recorded in 2023       | 30,000   |
| Retained earnings, December 31, 2023             | 90,000   |
| Effective tax rate 30%                           |          |

**Instructions:**

1) Compute net income for 2024.

2) Prepare a partial income statement beginning with income before income tax, and including appropriate earnings per share information. Assume 20,000 ordinary shares were outstanding during 2024.

**Solution**

1) Computation of net income for 2024:

$$\text{Net Income} = \{540,000 - (100,000 + 80,000 + 260,000 + 40,000)\} \times 70\% = 42,000$$

2) Partial Income statement:

|                                                                       |                 |
|-----------------------------------------------------------------------|-----------------|
| Income before tax (540,000 – “100,000 + 80,000 + 260,000”)            | 100,000         |
| (-) Tax (100,000 x 30%)                                               | (30,000)        |
| Income from continuing operations ( <b>IFCO</b> )                     | 70,000          |
| <b>(DISCO)</b> Loss from discontinued operations (40,000 x 70%)       | <b>(28,000)</b> |
| Net Income                                                            | 42,000          |
| <b>EPS from continued operations</b> = $\frac{70,000}{20,000} =$      | 3.5 per share   |
| <b>EPS from discontinued operations</b> = $\frac{(28,000)}{20,000} =$ | - 1.4 per share |
| <b>EPS from Net Income</b> = $\frac{42,000}{20,000} =$                | 2.1 per share   |



## Example (5)

The accountant of Weatherspoon Shoe Co. has compiled the following information from the company's records as a basis for an income statement for the year ended December 31, 2024.

|                                                              |          |
|--------------------------------------------------------------|----------|
| Rent revenue                                                 | £ 29,000 |
| Interest expense                                             | 18,000   |
| Unrealized gain on non-trading equity securities, net of tax | 31,000   |
| Selling expenses                                             | 140,000  |
| Income tax                                                   | 30,600   |
| Administrative expenses                                      | 181,000  |
| Cost of goods sold                                           | 516,000  |
| Net sales                                                    | 980,000  |
| Cash dividends declared                                      | 16,000   |
| Loss on sale of plant assets                                 | 15,000   |

There were 20,000 ordinary shares outstanding during the year.

### Instructions:

- 1) Prepare a comprehensive income statement using the combined statement approach.
- 2) Prepare a comprehensive income statement using the two statement approach.
- 3) Which format do you prefer? Discuss.



### Combined approach

WEATHERSPOON SHOE CO.

Statement of Comprehensive Income  
For the Year Ended December 31, 2024

|                                          |           |
|------------------------------------------|-----------|
| Net Sales                                | 980,000   |
| (-) COGS                                 | (516,000) |
| Gross Profit                             | 464,000   |
| (-) S & A ex. (140,000 + 181,000)        | (321,000) |
| ± <b>RGEL</b>                            |           |
| Rent revenue                             | 29,000    |
| Loss on sale of plant assets             | (15,000)  |
| NOI (Income from operations)             | 157,000   |
| (-) Interest expense                     | (18,000)  |
| Income before tax                        | 139,000   |
| (-) Tax                                  | (30,600)  |
| Net Income                               | 108,400   |
| <b>OCI (Other Comprehensive Income):</b> |           |
| Unrealized gain of non-trading sec.      | 31,000    |
| Comprehensive income                     | 139,400   |

$$\text{EPS} = 108,400 / 20,000 = 5.42 \text{ per share}$$

### Two consecutive statements

WEATHERSPOON SHOE CO.

Income Statement  
For the Year Ended December 31, 2024

|                                   |           |
|-----------------------------------|-----------|
| Net Sales                         | 980,000   |
| (-) COGS                          | (516,000) |
| Gross Profit                      | 464,000   |
| (-) S & A ex. (140,000 + 181,000) | (321,000) |
| ± <b>RGEL</b>                     |           |
| Rent revenue                      | 29,000    |
| Loss on sale of plant assets      | (15,000)  |
| NOI (Income from operations)      | 157,000   |
| (-) Interest expense              | (18,000)  |
| Income before tax                 | 139,000   |
| (-) Tax                           | (30,600)  |
| Net Income                        | 108,400   |

$$\text{EPS} = 108,400 / 20,000 = 5.42 \text{ per share}$$

WEATHERSPOON SHOE CO.

Comprehensive Income Statement  
For the Year Ended December 31, 2024

|                                          |         |
|------------------------------------------|---------|
| Net Income                               | 108,400 |
| <b>OCI (Other Comprehensive Income):</b> |         |
| Unrealized gain of non-trading sec.      | 31,000  |
| Comprehensive income                     | 139,400 |

The combined statement has the advantage of not requiring the creation of a new financial statement. However, burying net income as a subtotal on the statement is considered a disadvantage.





## Example (6)

Gaertner Corporation reported the following for 2024:

|                                                          |            |
|----------------------------------------------------------|------------|
| net sales                                                | €1,200,000 |
| cost of goods sold                                       | €720,000   |
| selling and administrative expenses                      | €320,000   |
| unrealized holding gain on non-trading equity securities | €15,000    |

**Instructions:**

Prepare a statement of comprehensive income, using the two statement format. Ignore income taxes and earnings per share.



Gaertner Corporation  
Income Statement

For the Year Ended December 31, 2024

|               |           |
|---------------|-----------|
| Net Sales     | 1,200,000 |
| (-) COGS      | (720,000) |
| Gross Profit  | 480,000   |
| (-) S & A ex. | (320,000) |
| Net Income    | 160,000   |

Gaertner Corporation  
Comprehensive Income Statement

For the Year Ended December 31, 2024

|                                          |         |
|------------------------------------------|---------|
| Net Income                               | 160,000 |
| <b>OCI (other comprehensive income):</b> |         |
| Unrealized gain of non-trading sec.      | 15,000  |
| Comprehensive income                     | 175,000 |

**1)** Gross billings for merchandise sold by Lang Company to its customers last year amounted to \$13,720,000; sales returns and allowances were \$370,000, sales discounts were \$175,000, and freight-out was \$140,000. Net sales last year for Lang Company were

- a. \$13,720,000.      b. \$13,350,000.      c. \$13,175,000.      d. \$13,035,000.

**2)** For Mortenson Company, the following information is available:

|                    |           |
|--------------------|-----------|
| Cost of goods sold | \$240,000 |
| Sales discounts    | 8,000     |
| Income tax expense | 24,000    |
| Operating expenses | 92,000    |
| Sales revenue      | 400,000   |

In Mortenson's income statement, gross profit

- a. should not be reported.  
b. should be reported at \$36,000.  
c. should be reported at \$152,000.  
d. should be reported at \$160,000.

**3)** For Rondelli Company, the following information is available:

|                              |           |
|------------------------------|-----------|
| Cost of goods sold           | \$270,000 |
| Sales returns and allowances | 12,000    |
| Income tax expense           | 27,000    |
| Operating expenses           | 105,000   |
| Sales revenue                | 450,000   |

In Rondelli's income statement, gross profit

- a. should not be reported.  
b. should be reported at \$36,000.  
c. should be reported at \$168,000.  
d. should be reported at \$180,000.

**4)** Manning Company has the following items: write-down of inventories, \$240,000; loss on disposal of part of Sports Division, \$370,000; and loss on restructurings, \$226,000. Ignoring income taxes, what total amount should Manning Company report as other income and expense?

- a. \$836,000      b. \$370,000      c. \$466,000      d. \$596,000

**5)** Garwood Company has the following items: write-down of inventories, \$480,000; loss on disposal of part of Sports Division, \$740,000; and loss due to an asset impairment, \$452,000. Ignoring income taxes, what total amount should Garwood Company report as other income and expense?

- a. \$1,672,000      b. \$740,000      c. \$932,000      d. \$1,192,000

**6)** Ortiz Co. had the following account balances:

|                            |            |
|----------------------------|------------|
| Sales revenue              | \$ 120,000 |
| Cost of goods sold         | 60,000     |
| Salaries and wages expense | 10,000     |
| Depreciation expense       | 20,000     |
| Dividend revenue           | 4,000      |
| Utilities expense          | 8,000      |
| Rent revenue               | 25,000     |
| Interest expense           | 12,000     |
| Sales returns              | 11,000     |
| Advertising expense        | 13,000     |

What amount would Ortiz report as other income and expense in its income statement?

- a. \$29,000      b. \$17,000      c. \$25,000      d. \$13,000

**7) Ortiz Co. had the following account balances:**

|                            |            |
|----------------------------|------------|
| Sales revenue              | \$ 180,000 |
| Cost of goods sold         | 90,000     |
| Salaries and wages expense | 15,000     |
| Depreciation expense       | 30,000     |
| Dividend revenue           | 6,000      |
| Utilities expense          | 12,000     |
| Rent revenue               | 30,000     |
| Interest expense           | 18,000     |
| Sales returns              | 16,500     |
| Advertising expense        | 19,500     |

**What amount would Ortiz report as income from operations in its income statement?**

- a. \$73,500      b. \$45,000      c. \$33,000      d. \$15,000

**(8 – 11) Use the following information (in thousands):**

|                                   |          |
|-----------------------------------|----------|
| Sales revenue                     | ¥300,000 |
| Gain on sale of equipment         | 90,000   |
| Cost of goods sold                | 164,000  |
| Interest expense                  | 16,000   |
| Selling & administrative expenses | 30,000   |
| Income tax rate                   | 30%      |

**8) Determine the amount of income from operations.**

- a. ¥76,000      b. ¥196,000      c. ¥60,000      d. ¥180,000

**9) Determine the amount of income before taxes.**

- a. ¥76,000      b. ¥196,000      c. ¥60,000      d. ¥180,000

**10) Determine the amount of income taxes.**

- a. ¥8,000      b. ¥18,000      c. ¥27,000      d. ¥54,000

**11) Determine the amount of net income.**

- a. ¥126,000      b. ¥21,000      c. ¥42,000      d. ¥63,000

**12) Majors Corporation had income from continuing operations of \$1,800,000 in 2024. During 2024 it disposed of its repair division at a pre-tax gain of \$27,000. Prior to disposal, the division operated at a pre-tax loss of \$45,000. The tax rate was 30%. What is the net income for 2024?**

- a. \$1,782,000      b. \$1,728,000      c. \$1,749,600      d. \$1,787,400

**13) During 2024, Lopez Corporation disposed of Pine Division, a major component of its business. Lopez realized a gain of \$1,500,000, net of taxes, on the sale of Pine's assets. Pine's operating losses, net of taxes, were \$1,800,000 in 2024. How should these facts be reported in Lopez's income statement for 2024?**

|    | <b>Total Amount to be Included in</b>           |                                                  |
|----|-------------------------------------------------|--------------------------------------------------|
|    | <b><u>Income from Continuing Operations</u></b> | <b><u>Results of Discontinued Operations</u></b> |
| a. | \$1,800,000 loss                                | 1,500,000 gain                                   |
| b. | 300,000 loss                                    | 0                                                |
| c. | 0                                               | 300,000 loss                                     |
| d. | 1,500,000 gain                                  | \$1,800,000 loss                                 |

**14) In 2024, Esther Corporation reported net income of \$1,000,000. It declared and paid preference dividends of \$250,000 and ordinary share dividends of \$100,000. During 2024, Esther had a weighted average of 250,000 ordinary shares outstanding. Compute Esther's 2024 earnings per share.**

- a. \$2.60      b. \$3.00      c. \$4.00      d. \$5.00

**15) In 2024, Linz Corporation reported a discontinued operations loss of \$1,000,000, net of tax. It declared and paid preference dividends of \$100,000 and ordinary share dividends of \$300,000. During 2024, Linz had a weighted average of 400,000 ordinary shares outstanding. Compute the effect of the discontinued operations loss, net of tax, on earnings per share.**

- a. \$1.50      b. \$1.75      c. \$2.25      d. \$2.50

**16) In 2024, Benfer Corporation reported net income of \$350,000. It declared and paid ordinary share dividends of \$40,000 and had a weighted average of 100,000 ordinary shares outstanding. Compute the earnings per share to the nearest cent.**

- a. \$3.10      b. \$2.45      c. \$3.15      d. \$3.50

**17)** Benedict Corporation reports the following information:

|                                              |           |
|----------------------------------------------|-----------|
| Net income                                   | \$500,000 |
| Dividends on ordinary shares                 | 140,000   |
| Dividends on preference shares               | 60,000    |
| Weighted average ordinary shares outstanding | 125,000   |

Benedict should report earnings per share of

- a. \$2.40.                      b. \$2.88.                      c. \$3.52.                      d. \$4.00.

**18)** Norling Corporation reports the following information:

|                                              |           |
|----------------------------------------------|-----------|
| Net income                                   | \$500,000 |
| Dividends on ordinary shares                 | 140,000   |
| Dividends on preference shares               | 60,000    |
| Weighted average ordinary shares outstanding | 250,000   |

Norling should report earnings per share of

- a. \$1.20.                      b. \$1.44.                      c. \$1.76.                      d. \$2.00.

**19)** In 2024, Timmons Company reported net income of £1,000,000. It declared and paid preference share dividends of £100,000 and ordinary share dividends of £125,000. During 2024, Timmons had a weighted average of 150,000 ordinary shares outstanding. The 2024 earning per share for Timmons Company is:.

- a. £6.67                      b. £6.00                      c. £5.83                      d. £5.17

**20)** Given the following:

|                                              |           |
|----------------------------------------------|-----------|
| Net income                                   | \$800,000 |
| EPS                                          | 4.25      |
| Dividend/ordinary shares                     | 2.00      |
| Weighted average ordinary shares outstanding | 160,000   |

Determine the amount of the preference share dividend.

- a. \$480,000                      b. \$320,000                      c. \$160,000                      d. \$120,000

**21)** Sandstrom Corporation has a discontinued operations loss of \$100,000, an unusual gain of \$70,000, and a tax rate of 40%. At what amount should Sandstrom report each item?

|  | <u>Discontinued loss</u> | <u>Unusual gain</u> |
|--|--------------------------|---------------------|
|--|--------------------------|---------------------|

- |    |             |          |
|----|-------------|----------|
| a. | \$(100,000) | \$70,000 |
| b. | (100,000)   | 42,000   |
| c. | (60,000)    | 70,000   |
| d. | (60,000)    | 42,000   |

**22)** Prophet Corporation has a discontinued operations loss of \$300,000, an unusual gain of \$210,000, and a tax rate of 40%. At what amount should Prophet report each item?

|  | <u>Discontinued loss</u> | <u>Unusual gain</u> |
|--|--------------------------|---------------------|
|--|--------------------------|---------------------|

- |    |             |           |
|----|-------------|-----------|
| a. | \$(300,000) | \$210,000 |
| b. | (300,000)   | 126,000   |
| c. | (180,000)   | 210,000   |
| d. | (180,000)   | 126,000   |

**23)** Lantos Company had a 40 percent tax rate. Given the following pre-tax amounts, what would be the income tax expense reported on the face of the income statement?

|                                   |           |
|-----------------------------------|-----------|
| Sales revenue                     | \$110,000 |
| Cost of goods sold                | 60,000    |
| Salaries and wages expense        | 8,000     |
| Depreciation expense              | 11,000    |
| Dividend revenue                  | 9,000     |
| Utilities expense                 | 1,000     |
| Loss from discontinued operations | 10,000    |
| Interest expense                  | 2,000     |

- a. \$14,800                      b. \$10,800                      c. \$11,200                      d. \$7,200

**(24 – 27)** Use the following information (in thousands):

|                                   |            |
|-----------------------------------|------------|
| Service Revenue                   | ¥1,600,000 |
| Income from continuing operations | 200,000    |
| Net Income                        | 180,000    |
| Income from operations            | 440,000    |
| Selling & administrative expenses | 1,000,000  |
| Income before income tax          | 400,000    |

**24)** Determine the amount of other income and expense.

- a. ¥40,000      b. ¥160,000      c. ¥200,000      d. ¥20,000

**25)** Determine the amount of financing costs.

- a. ¥40,000      b. ¥20,000      c. ¥200,000      d. ¥160,000

**26)** Determine the amount of income tax.

- a. ¥40,000      b. ¥20,000      c. ¥200,000      d. ¥160,000

**27)** Determine the amount of discontinued operations.

- a. ¥(40,000)      b. ¥160,000      c. ¥200,000      d. ¥(20,000)

**28)** Madsen Company reported the following information for 2024:

|                                                          |           |
|----------------------------------------------------------|-----------|
| Sales revenue                                            | \$510,000 |
| Cost of goods sold                                       | 350,000   |
| Operating expenses                                       | 55,000    |
| Unrealized holding gain on available-for-sale securities | 30,000    |
| Cash dividends received on the securities                | 2,000     |

For 2024, Madsen would report other comprehensive income of

- a. \$137,000.      b. \$135,000.      c. \$32,000.      d. \$30,000.

**29)** Korte Company reported the following information for 2024:

|                                                          |           |
|----------------------------------------------------------|-----------|
| Sales revenue                                            | \$500,000 |
| Cost of goods sold                                       | 350,000   |
| Operating expenses                                       | 55,000    |
| Unrealized holding gain on available-for-sale securities | 25,000    |
| Cash dividends received on the securities                | 2,000     |

For 2024, Korte would report comprehensive income of

- a. \$122,000.      b. \$120,000.      c. \$97,000.      d. \$25,000.

**(30 – 32)** On January 1, 2024, Zhang Inc. had cash and share capital of ¥10,000,000. At that date, the company had no other asset, liability, or equity balances. On January 5, 2024, it purchased for cash ¥6,000,000 of equity securities that it classified as non-trading. It received cash dividends of ¥800,000 during the year on these securities. In addition, it has an unrealized loss on these securities of ¥600,000. The tax rate is 20%.

**30)** Compute the amount of net income/(loss).

- a. ¥800,000      b. ¥640,000      c. ¥(200,000)      d. ¥160,000

**31)** Compute the amount of comprehensive income.

- a. ¥200,000      b. ¥160,000      c. ¥640,000      d. ¥600,000

**32)** Compute the amount of other comprehensive income/(loss).

- a. ¥(480,000)      b. ¥(600,000)      c. ¥200,000      d. ¥160,000

**Solution**

|    |    |    |    |    |    |    |    |    |    |    |    |    |    |    |    |
|----|----|----|----|----|----|----|----|----|----|----|----|----|----|----|----|
| 1  | 2  | 3  | 4  | 5  | 6  | 7  | 8  | 9  | 10 | 11 | 12 | 13 | 14 | 15 | 16 |
| c  | c  | c  | a  | a  | a  | c  | b  | d  | d  | a  | d  | c  | b  | d  | d  |
| 17 | 18 | 19 | 20 | 21 | 22 | 23 | 24 | 25 | 26 | 27 | 28 | 29 | 30 | 31 | 32 |
| c  | c  | b  | d  | c  | c  | a  | b  | a  | c  | d  | d  | a  | b  | b  | a  |

## Solution Manual

**1)** Net sales = Sales – RAD = 13,720,000 – 370,000 – 175,000 = 13,175,000

**2)** GP = Net sales – COGS = (400,000 – 8,000) – 240,000 = 152,000

**3)** GP = Net sales – COGS = (450,000 – 12,000) – 270,000 = 168,000

**4)** REGL = 240,000 + 370,000 + 226,000 = 836,000

**5)** REGL = 480,000 + 740,000 + 452,000 = 1,672,000

**6)** RGEL = Div. R. (4,000) + Rent R. (25,000) = 29,000

7)

|                                                          |          |
|----------------------------------------------------------|----------|
| Net sales = 180,000 – 16,500 =                           | 163,500  |
| (-) COGS                                                 | (90,000) |
| Gross Profit                                             | 73,500   |
| (-) S & A expenses = 15,000 + 30,000 + 12,000 + 19,500 = | (76,500) |
| ± RGEL = 6,000 + 30,000                                  | 36,000   |
| NOI                                                      | 33,000   |

8)

|                    |           |
|--------------------|-----------|
| Net sales          | 300,000   |
| (-) COGS           | (164,000) |
| Gross Profit       | 136,000   |
| (-) S & A expenses | (30,000)  |
| ± RGEL             | 90,000    |
| NOI                | 196,000   |

9)

|                    |          |
|--------------------|----------|
| NOI                | 196,000  |
| (-) Financing cost | (16,000) |
| Income before tax  | 180,000  |

10) Tax = 180,000 x 30% = 54,000

11)

|                                   |          |
|-----------------------------------|----------|
| Income before tax                 | 180,000  |
| (-) Tax = 400,000 – 200,000       | (54,000) |
| Income from continuing operations | 126,000  |

12)

|                                                     |           |
|-----------------------------------------------------|-----------|
| Income from continuing operations                   | 1,800,000 |
| Discontinued operations = (27,000 – 45,000) x 70% = | (12,600)  |
| Net Income                                          | 1,787,400 |

14)  $EPS = (1,000,000 - 250,000) / 250,000 = \$3$  per share15) Impact of discontinued on EPS =  $1,000,000 / 400,000 = \$2.5$  per share16)  $EPS = 350,000 / 100,000 = \$3.5$  per share17)  $EPS = (500,000 - 60,000) / 125,000 = \$3.52$  per share18)  $EPS = (500,000 - 60,000) / 250,000 = \$1.76$  per share19)  $EPS = (1,000,000 - 100,000) / 150,000 = £6$  per share20)  $EPS = (800,000 - X) / 160,000 = \$4.25$  per share $800,000 - X = 160,000 \times 4.25$  $800,000 - X = 680,000$  $X = 800,000 - 680,000 = 120,000$ 

23)

|                                               |          |
|-----------------------------------------------|----------|
| Net sales                                     | 110,000  |
| (-) COGS                                      | (60,000) |
| Gross Profit                                  | 50,000   |
| (-) S & A expenses = 8,000 + 11,000 + 1,000 = | (20,000) |
| ± RGEL                                        | 9,000    |
| NOI                                           | 39,000   |
| (-) Interest expense                          | (2,000)  |
| Income before tax                             | 37,000   |
| Tax (37,000 x 40%)                            | (14,800) |

**24)**

|                                            |             |
|--------------------------------------------|-------------|
| Service Revenue                            | 1,600,000   |
| (-) S & A expenses                         | (1,000,000) |
| ± RGEL = 1,600,000 – 1,000,000 – 440,000 = | ?           |
| NOI                                        | 440,000     |

**25)**

|                                        |         |
|----------------------------------------|---------|
| NOI                                    | 440,000 |
| (-) Financing cost = 440,000 – 400,000 | ?       |
| Income before tax                      | 400,000 |

**26)**

|                                   |         |
|-----------------------------------|---------|
| Income before tax                 | 400,000 |
| (-) Tax = 400,000 – 200,000       | ?       |
| Income from continuing operations | 200,000 |

**27)**

|                                             |         |
|---------------------------------------------|---------|
| Income from continuing operations           | 200,000 |
| Discontinued operations = 200,000 – 180,000 | ?       |
| Net Income                                  | 180,000 |

**29)** Comprehensive Income = 500,000 – 350,000 – 55,000 + 25,000 + 2,000 = 122,000**30)** Net Income = 800,000 x 80% = 640,000**31)** Comprehensive Income = (800,000 – 600,000) x 80% = 160,000**32)** OCI = (600,000) x 80% = (480,000)

## Statement of Retained Earning

Retained earnings represent the accumulated profits or losses a company has earned and retained over time without distributing them.

**Assume in Juhayna corporation the results for prior years indicate that the company achieved net income of \$200, \$150 & \$140 for years 1, 2 & 3 respectively. While distributed dividends of \$180, \$100, & \$110 respectively.**

**1) Prepare statement of retained earnings at the end of year 1, 2 & 3.**

**2) During year 4 the company achieved net income of \$120 & comprehensive income of \$200 (Page 7) & declared \$20 preferred dividends & \$50 ordinary dividends. But the accountant discovers the following:**

**a. Understatement of Y3 furniture depreciation expense by \$50 (before tax)**

**b. Cumulative increase in income from change in inventory methods \$25 (before taxes).**

**Prepare statement of retained earnings for year 4.**

### RE statement for Y1

|               |       |
|---------------|-------|
| RE Beg.       | 0     |
| + Net Income  | 200   |
| (-) Dividends | (180) |
| RE End.       | 20    |

### RE statement for Y2

|               |       |
|---------------|-------|
| RE Beg.       | 20    |
| + Net Income  | 150   |
| (-) Dividends | (100) |
| RE End.       | 70    |

### RE statement for Y3

|               |       |
|---------------|-------|
| RE Beg.       | 70    |
| + Net Income  | 140   |
| (-) Dividends | (110) |
| RE End.       | 100   |

## In Y4

**Accountant discovers an error in Y3 Depreciation expense which was understated by \$50.**

This error can't be corrected in the Y3 expense account because it was closed (اتدفن) so we should correct it in the RE Beg. as follows:

Expense ↓ Earning ↑ ➡ Correction for earning ↓

**The accountant changed the inventory valuation method which has cumulative increase by \$25.**

In accounting, you will discover that accountants have various alternatives when evaluating inventory or calculating depreciation. They have the freedom to choose the method that is suitable for their company, but there is a condition to maintain consistency. If they wish to change this method, they should do so with a retrospective effect, as if it had been applied from the beginning.

So, we can prepare statement of retained earnings for year 4 as follows:

|                                                                                       |      |
|---------------------------------------------------------------------------------------|------|
| RE Beg. (Ending of Y3 & can be calculated = $(200 + 150 + 140) - (180 + 100 + 110)$ ) | 100  |
| (-) understatement of Y3 depreciation expense $(50 \times 80\%)$                      | (40) |
| (-) Cumulative increase in income $(25 \times 80\%)$                                  | 20   |
| Adjusted RE Beg.                                                                      | 80   |
| + Net Income                                                                          | 120  |
| (-) Dividends                                                                         | (70) |
| RE End.                                                                               | 130  |



Don't forget that RE Beg. should be adjusted by two items:

### Prior years corrections

General rule is:

| Expense      | Inventory (revenue) |
|--------------|---------------------|
| Similar sign | Inverse sign        |

### Cumulative Effect

If it is given readily, do what is mentioned

| Increase (Credit) | Decrease (Debit) |
|-------------------|------------------|
| +                 | (-)              |

If it isn't given you will calculate it in 3 steps:

- 1  $\Sigma$  results for prior years by Old method.
- 2  $\Sigma$  results for prior years by New method.
- 3 Cumulative effect = 1 - 2

| Expense      | Inventory (revenue) |
|--------------|---------------------|
| Similar sign | Inverse sign        |

Indicate how to correct the following errors in retained earnings statement (ignore tax effects):

- 1) Understatement of previous year furniture depreciation expense by \$30.
- 2) Overstatement of previous year equipment depreciation expense by \$20.
- 3) Overstatement of previous year ending inventory cost by \$50.
- 4) It was discovered in the current year that \$10 of repair expense was debited to the Land account in previous year.
- 5) It was discovered in the current year that \$40 of closing costs on the previous year purchase of land was debited to Maintenance Expense.
- 6) At the beginning of Y1, the company purchased a machine for €12,000 (residual value of €2,000) that had a useful life of 10 years. The bookkeeper used straight-line depreciation for Y1, Y2, and Y3 but failed to deduct the residual value in computing the depreciation base (this error is discovered during Y3).

| Error                                                                                                                                                         | Rule    | Correction |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|------------|
| 1 Under prior expense                                                                                                                                         | Similar | (30)       |
| 2 Over prior expense                                                                                                                                          | Similar | 20         |
| 3 Over Inventory                                                                                                                                              | Inverse | (50)       |
| 4 Under prior expense (because it didn't record as expense)                                                                                                   | Similar | (10)       |
| 5 Over prior expense (because it recorded as expense although it is asset)                                                                                    | similar | 40         |
| 6 Old Dep. (wrong) = $\frac{12,000}{10} = 120$<br>New Dep. (correct) = $\frac{(12,000 - 2,000)}{10} = 100$<br>Prior years Error = $(120 - 100) \times 2 = 40$ | Similar | 40         |

Note that for the last error, error in Y3 should be corrected in the income statement.

### Appropriation of retained earnings.

Sometimes the company appropriate portion of retained earnings to special purposes, in this case the accountant should classify retained earnings in two categories:

- 1) appropriated RE.
- 2) Unappropriated RE.



## Example (7)

Zehms Company began operations in 2022 and adopted weighted-average pricing for inventory. In 2024, in accordance with other companies in its industry, Zehms changed its inventory pricing to FIFO. The pretax income data is reported below.

| Year | Weighted-Average | FIFO      |
|------|------------------|-----------|
| 2022 | \$370,000        | \$395,000 |
| 2023 | 390,000          | 420,000   |
| 2024 | 410,000          | 460,000   |

### Instructions:

- 1) What is Zehms's net income in 2024? Assume a 35% tax rate in all years.
- 2) Compute the cumulative effect of the change in accounting principle from weighted-average to FIFO inventory pricing.
- 3) Show comparative income statements for Zehms Company, beginning with income before income tax, as presented on the 2024 income statement.

### Solution

#### 1) Net Income for 2024

|                         |           |
|-------------------------|-----------|
| Income before tax       | 460,000   |
| (-) Tax (460,000 x 35%) | (161,000) |
| Net Income              | 299,000   |

#### 2) Cumulative Effect

1. Total prior years' results according to old method (WA) = 370,000 + 390,000 = 760,000
2. Total prior years' results according to new method (FIFO) = 395,000 + 420,000 = 815,000
3. Cumulative effect = Old – New = 760,000 – 815,000 = (-) 55,000 (which is effect inversely on Income)

#### 3) Comparative income statement

|                   | 2024      | 2023      | 2022      |
|-------------------|-----------|-----------|-----------|
| Income before tax | 460,000   | 420,000   | 395,000   |
| (-) Tax (35%)     | (161,000) | (147,000) | (138,250) |
| Net Income        | 299,000   | 273,000   | 256,750   |



## Example (8)

McEntire Corporation began operations on January 1, 2021. During its first 3 years of operations, McEntire reported net income and declared dividends as follows.

|      | Net income | Dividends declared |
|------|------------|--------------------|
| 2021 | \$40,000   | \$ -0-             |
| 2022 | 125,000    | 50,000             |
| 2023 | 160,000    | 50,000             |

The following information relates to 2024.

|                                                                                     |           |
|-------------------------------------------------------------------------------------|-----------|
| Income before income tax                                                            | \$220,000 |
| Prior period adjustment: understatement of 2022 depreciation expense (before taxes) | \$25,000  |
| Cumulative decrease in income from change in inventory methods (before taxes)       | \$45,000  |
| Dividends declared (of this amount, \$25,000 will be paid on Jan. 15, 2025)         | \$100,000 |
| Effective tax rate                                                                  | 20%       |

### Instructions:

- 1) Prepare a 2024 retained earnings statement for McEntire Corporation.
- 2) Assume McEntire Corp. restricted retained earnings in the amount of \$70,000 on December 31, 2024. After this action, what would McEntire report as total retained earnings in its December 31, 2024, statement of financial position?



### 1) Retained earnings 2024

Retained earnings beginning for 2024 =  $(40,000 + 125,000 + 160,000) - (50,000 + 50,000) = 225,000$

|                                                                        |           |
|------------------------------------------------------------------------|-----------|
| RE Beg.                                                                | 225,000   |
| (-) understatement of 2022 depreciation expense $(25,000 \times 80\%)$ | (20,000)  |
| (-) Cumulative decrease in income $(45,000 \times 80\%)$               | (36,000)  |
| Adjusted RE Beg.                                                       | 169,000   |
| + Net Income $(220,000 \times 80\%)$                                   | 176,000   |
| (-) Dividends                                                          | (100,000) |
| RE End.                                                                | 245,000   |

### 2) Classifying Retained earnings

|                                          |         |
|------------------------------------------|---------|
| Appropriated RE                          | 70,000  |
| Unappropriated RE = $245,000 - 70,000 =$ | 175,000 |
| Total                                    | 245,000 |

### Change in estimates (not accounting methods)

These changes are reported in the current period's financial statements and are prospectively applied. In other words, they affect future periods but not prior periods. Such as change estimated useful life or estimated salvage value of a depreciable asset.





## Example (9)

**Mahe Inc. reported income before income tax during 2024 of €790,000. Additional transactions occurring in 2024 but not considered in the €790,000 are as follows.**

1. The corporation experienced an uninsured flood loss in the amount of €90,000 during the year.
2. At the beginning of 2022, the corporation purchased a machine for €54,000 (residual value of €9,000) that had a useful life of 6 years. The bookkeeper used straight-line depreciation for 2022, 2023, and 2024 but failed to deduct the residual value in computing the depreciation base.
3. Sale of securities held as a part of its portfolio resulted in a gain of €47,000.
4. The corporation disposed of its recreational division at a loss of €115,000 before taxes. Assume that this transaction meets the criteria for discontinued operations.
5. The corporation decided to change its method of inventory pricing from average-cost to the FIFO method. The effect of this change on prior years is to increase 2022 income by €60,000 and decrease 2023 income by €20,000 before taxes. The FIFO method has been used for 2024.

### Instructions

Prepare an income statement for the year 2024, starting with income before income tax. Compute earnings per share as it should be shown on the face of the income statement. Ordinary shares outstanding for the year are 120,000 shares. (Assume a tax rate of 30% on all items.)

### Solution

We should reconcile the given income as follows:

**Item (1):** Loss from flood should be deducted with other RGEL.

**Item (2):** Old Dep. =  $\frac{54,000}{6} = 9,000$  annually.

Correct Dep. =  $\frac{(54,000 - 9,000)}{6} = 7,500$  annually.

Change in estimates within the current year (2024) =  $9,000 - 7,500 = 1,500$  (add to income)

While the correction for prior years (2022 & 2023) =  $1,500 \times 2 = 3,000$  (will add to RE Beg.)

**Item (3):** Gain from selling securities (47,000 realized gain) should add to income.

**Item (4):** Loss from disposal discontinued operation will appear in a **separate section**.

**Item (5):** change in accounting methods will adjust the RE Beg. By cumulative effect for prior years, while the current year will apply the new method.

Now, we can adjust the given income as follows:

|                                  |          |
|----------------------------------|----------|
| Unadjusted income                | 790,000  |
| Flood Loss (item 1)              | (90,000) |
| Change in estimates (item 2)     | 1,500    |
| Gain on sale securities (item 3) | 47,000   |
| Correct Income before tax        | 748,500  |

Now, we can prepare partial income statement as follows:

|                                                                 |                  |
|-----------------------------------------------------------------|------------------|
| Income before tax                                               | 748,500          |
| (-) Tax (748,500 x 30%)                                         | (224,550)        |
| Income from continuing operations (IFCO)                        | 523,950          |
| (DISCO) Loss from discontinued operations (115,000 x 70%)       | (80,500)         |
| Net Income                                                      | 443,450          |
| EPS from continued operations = $\frac{523,950}{120,000} =$     | 4.37 per share   |
| EPS from discontinued operations = $\frac{(80,500)}{120,000} =$ | - 3.67 per share |
| EPS from Net Income = $\frac{443,450}{120,000} =$               | 3.7 per share    |



## Example (10)

The following information was taken from the records of Vega Inc. for the year 2024: income tax applicable to income from continuing operations are \$119,000, income tax applicable to loss on discontinued operations are \$25,500, and unrealized holding gain on non-trading equity securities are \$15,000 (net of tax).

|                                 |          |                                   |           |
|---------------------------------|----------|-----------------------------------|-----------|
| Gain on sale of plant assets    | \$95,000 | Cash dividends declared           | \$150,000 |
| Loss on discontinued operations | 75,000   | Retained earnings January 1, 2024 | 600,000   |
| Administrative expenses         | 240,000  | Cost of goods sold                | 850,000   |
| Rent revenue                    | 40,000   | Selling expenses                  | 300,000   |
| Loss on impairment of land      | 60,000   | Sales revenue                     | 1,700,000 |

Ordinary shares outstanding during 2024 were 100,000.

### Instructions:

- 1) Prepare a comprehensive income statement for 2024 using the one statement approach.
- 2) Prepare a retained earnings statement for 2024.

### Solution

Vega Inc.

### Statement of Comprehensive Income For the Year Ended December 31, 2024

|                                                                        |                   |
|------------------------------------------------------------------------|-------------------|
| Net Sales                                                              | 1,700,000         |
| (-) COGS                                                               | (850,000)         |
| Gross Profit                                                           | 850,000           |
| (-) S & A ex. (240,000 + 300,000)                                      | (540,000)         |
| ± RGEL                                                                 |                   |
| Gain on sale of plant assets                                           | 95,000            |
| Rent revenue                                                           | 40,000            |
| Loss on impairment land                                                | (60,000)          |
| Income before tax                                                      | 385,000           |
| (-) Tax                                                                | (119,000)         |
| Income from continuing operations ( <b>IFCO</b> )                      | 266,000           |
| ( <b>DISCO</b> ) Loss on discontinued operations (75,000 – 25,500)     | (49,500)          |
| Net Income                                                             | 216,500           |
| <b>OCI (o</b> ther <b>C</b> omprehensive <b>I</b> ncome):              |                   |
| Unrealized gain of non-trading sec.                                    | 15,000            |
| Comprehensive income                                                   | 231,500           |
| <b>EPS from continued operations</b> = $\frac{266,000}{100,000} =$     | 2.66 per share    |
| <b>EPS from discontinued operations</b> = $\frac{(49,500)}{100,000} =$ | - 0.495 per share |
| <b>EPS from Net Income</b> = $\frac{216,500}{100,000} =$               | 2.165 per share   |

Vega Inc.

### Statement of Comprehensive Income For the Year Ended December 31, 2024

|               |           |
|---------------|-----------|
| RE Beg.       | 600,000   |
| + Net Income  | 216,500   |
| (-) Dividends | (150,000) |
| RE End.       | 666,500   |

**(33 – 34) Moorman Corporation reports the following information:**

|                                                                         |           |
|-------------------------------------------------------------------------|-----------|
| Correction of understatement of depreciation in prior years, net of tax | \$430,000 |
| Dividends declared, 2024                                                | 320,000   |
| Net income for 2024                                                     | 1,000,000 |
| Retained earnings, 1/1/2024, as reported                                | 2,500,000 |

**33.** Moorman should report retained earnings, January 1, 2024, as adjusted at

- a. \$2,070,000. b. \$2,500,000. c. \$2,930,000. d. \$3,610,000.

**34.** Moorman should report retained earnings, December 31, 2024, of

- a. \$2,070,000. b. \$2,750,000. c. \$3,180,000. d. \$3,610,000.

**(35 – 36) Leonard Corporation reports the following information:**

|                                                                        |           |
|------------------------------------------------------------------------|-----------|
| Correction of overstatement of depreciation in prior years, net of tax | \$215,000 |
| Dividends declared, 2024                                               | 160,000   |
| Net income for 2024                                                    | 500,000   |
| Retained earnings, 1/1/2024, as reported                               | 1,200,000 |

**35.** Leonard should report retained earnings, January 1, 2024, as adjusted at

- a. \$985,000. b. \$1,200,000. c. \$1,415,000. d. \$1,755,000.

**36.** Leonard should report retained earnings, December 31, 2024, at

- a. \$985,000. b. \$1,325,000. c. \$1,540,000. d. \$1,755,000.

**37.** The following information was extracted from the accounts of Essex Corporation at December 31, 2024:

|                                                   | <u>CR(DR)</u> |
|---------------------------------------------------|---------------|
| Total reported income since incorporation         | \$1,900,000   |
| Total cash dividends paid                         | (800,000)     |
| Unrealized holding loss                           | (120,000)     |
| Total share dividends distributed                 | (200,000)     |
| Prior period adjustment, recorded January 1, 2024 | 75,000        |

What should be the balance of retained earnings at December 31, 2024?

- a. \$855,000 b. \$900,000 c. \$780,000 d. \$975,000

**38.** Pullman Corporation had retained earnings of \$2,100,000 at January 1, 2024. During the year the company experienced a net loss of \$900,000 and declared cash dividends of \$240,000. Determine the retained earnings balance at December 31, 2024.

- a. \$2,760,000 b. \$1,200,000 c. \$3,000,000 d. \$960,000

**39.** Pullman Corporation had retained earnings of \$2,100,000 at January 1, 2024. During the year the company experienced a net loss of \$900,000 and declared cash dividends of \$240,000. It was discovered in 2024 that \$150,000 of repair expense was debited to the Land account in 2023. The income tax rate is 20%. Determine the retained earnings balance at December 31, 2024.

- a. \$810,000 b. \$1,080,000 c. \$1,050,000 d. \$840,000

**40.** Rodriguez Corporation had retained earnings of \$850,000 at January 1, 2024. During the year the company generated a net income of \$150,000 and declared share dividends of \$50,000. It was discovered during 2024 that \$40,000 of closing costs on a 2023 purchase of land was debited to Maintenance Expense. The income tax rate is 30%. Determine the retained earnings balance at December 31, 2024.

- a. \$978,000 b. \$960,000 c. \$910,000 d. \$938,000

**(41 – 42) At Ruth Company, events and transactions during 2024 included the following. The tax rate for all items is 30%.**

- (1) Depreciation for 2022 was found to be understated by \$45,000.**
- (2) A litigation settlement resulted in a loss of \$37,500.**
- (3) The inventory at December 31, 2022 was overstated by \$60,000.**
- (4) The company disposed of its recreational division at a loss of \$750,000.**

**41. The effect of these events and transactions on 2024 income from continuing operations net of tax would be**

- a. \$26,250.                      b. \$57,750.                      c. \$99,750.                      d. \$624,750.

**42. The effect of these events and transactions on 2024 net income net of tax would be**

- a. \$26,250.                      b. \$551,250.                      c. \$582,750.                      d. \$624,750.

**Solution**

- |    |    |    |    |    |    |    |    |    |    |
|----|----|----|----|----|----|----|----|----|----|
| 33 | 34 | 35 | 36 | 37 | 38 | 39 | 40 | 41 | 42 |
| a  | b  | c  | d  | d  | d  | d  | a  | a  | b  |

## Solution Manual

**33.** Adjusted RE<sub>beg.</sub> = 2,500,000 – 430,000 = 2,070,000

**34.** RE<sub>End.</sub> = Adjusted RE<sub>beg.</sub> + NI – Div. = 2,070,000 + 1,000,000 – 320,000 = 2,750,000

**35.** Adjusted RE<sub>beg.</sub> = 1,200,000 + 215,000 = 1,415,000

**36.** RE<sub>End.</sub> = Adjusted RE<sub>beg.</sub> + NI – Div. = 1,415,000 + 500,000 – 160,000 = 1,755,000

**37.** RE<sub>End.</sub> = All income – All dividends ± Adjustments = 1,900,000 – 800,000 – 200,000 + 75,000 = 975,000

**38.** RE<sub>End.</sub> = Adjusted RE<sub>beg.</sub> + NI – Div. = 2,100,000 – 900,000 – 240,000 = 960,000

**39.** RE<sub>End.</sub> = Adjusted RE<sub>beg.</sub> + NI – Div. = (2,100,000 – “150,000 x 80%”) – 900,000 – 240,000 = 840,000

**40.** RE<sub>End.</sub> = Adjusted RE<sub>beg.</sub> + NI – Div. = (850,000 + “40,000 x 70%”) + 150,000 – 50,000 = 978,000

**41.** The only item effect the continuing operations is number (2) = 37,500 x 70% = 26,250

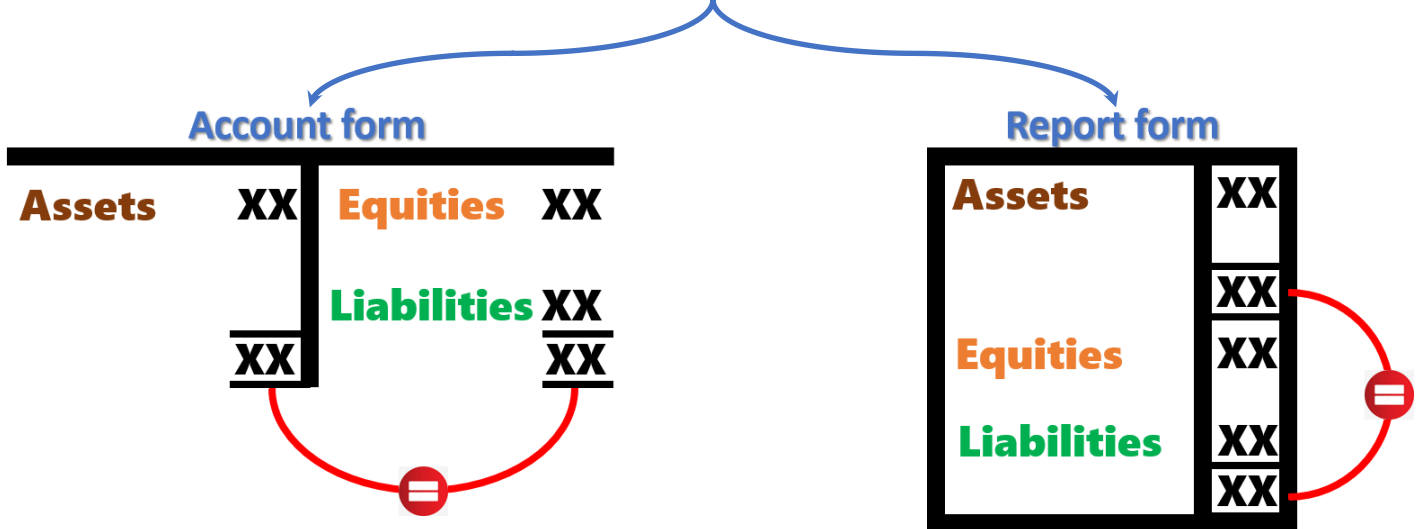
Items (1) & (3) will effect RE, while item (4) is discontinued operation.

**42.** Here we will take items (2) & (4) = (37,500 + 750,000) x 70% = 551,250

# Chapter (2): Balance Sheet

It provides information about resources, obligations to creditors, and equity in net resources.

We can prepare it in two forms:

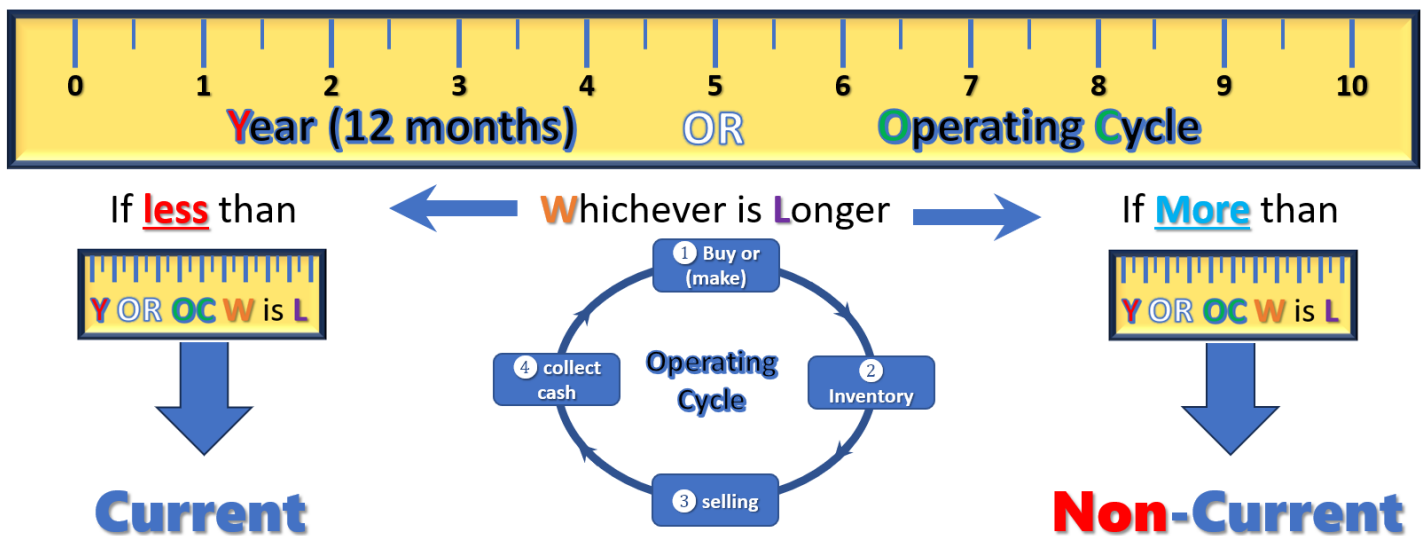


**Assets** = **Liabilities** + **Equities**

All accounts are created based on past transactions and will affect the company's future.

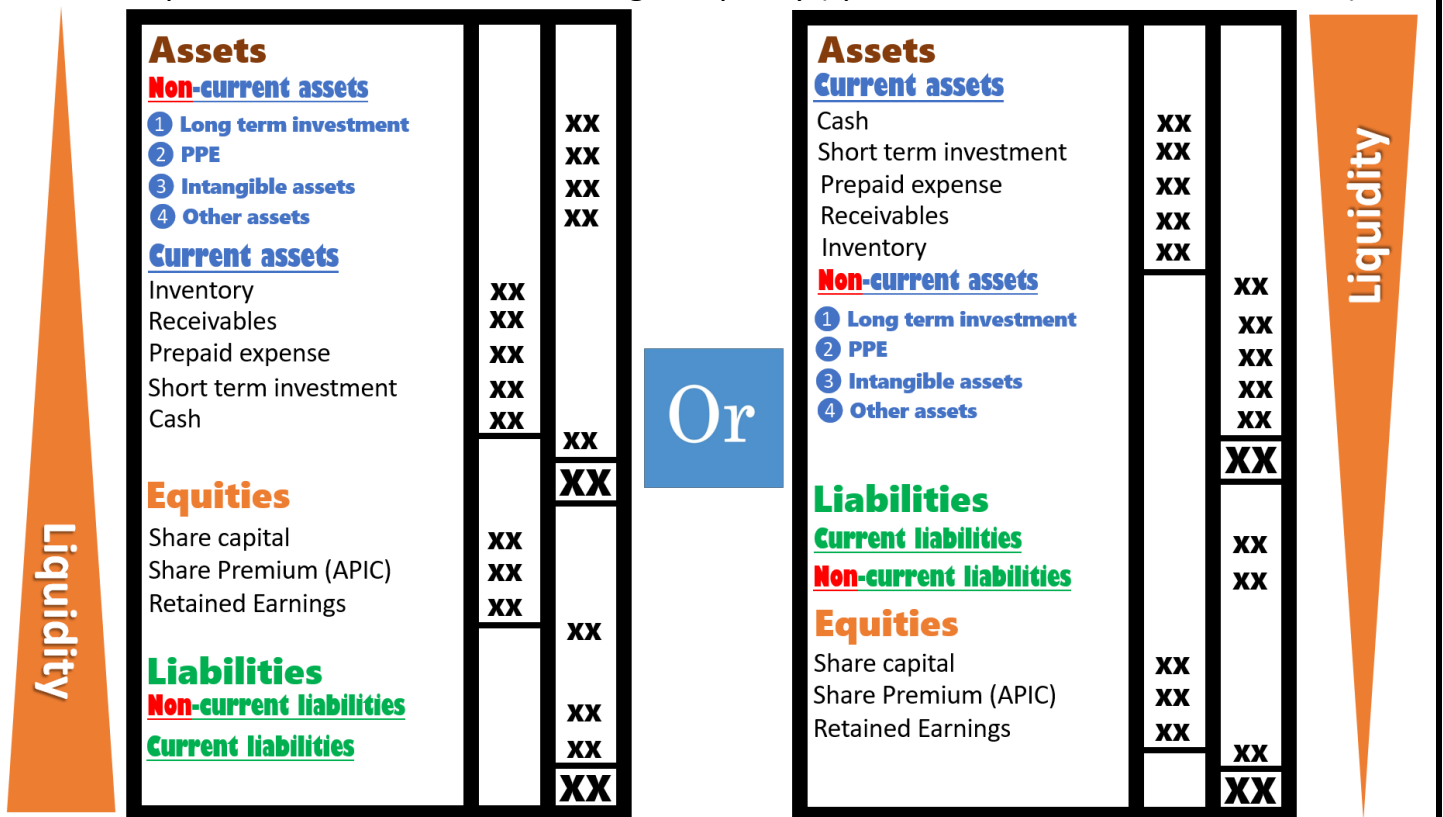
|                                                                                                 |                                                                                                |                                                                                                              |
|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| <p><b>Assets</b></p> <p>Resources owned by the business and give it benefits in the</p> <p></p> | <p><b>Liabilities</b></p> <p>Debts or obligations must be paid or performed in the</p> <p></p> | <p><b>Equities</b></p> <p>Residual interest in the assets of a business after deducting its liabilities.</p> |
|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|

When we classify Assets & Liabilities accounts, we use the following measurement:





IFRS required to sort accounts according to liquidity (speed to convert the item into cash)



Before talking about each category in depth, we should differentiate between two types of securities:

### سندات Bonds

دي أوراق مديونية Debt securities  
 لها تاريخ استحقاق Has maturity date  
 العائد بتاعها ثابت ويبقى في شكل فوائد Interest

### أسهم Shares or stocks

دي أوراق ملكية Equity securities  
 مالهاش تاريخ استحقاق Hasn't maturity date  
 العائد بتاعها متغير ويبقى في شكل توزيعات Dividends

**وثيقة سند**

اسم الشركة - رقم السجل التجاري - عنوان الشركة

تم إصدار تلك السندات في 1/1/2000 بقيمة 1,000 جنيه للسند لمدة خمس سنوات بمعدل فائدة 10% سنوياً تسدد في 1/1 - 1/7 من كل عام.

توقيع مدير الشركة

ختم الشركة

أحياناً Purchaser Investor أو البيشري الورقة لغرض معين وبعد يرجع في كلامه ويعرضها للبيع ساعتهنا بنسجها

**شهادة أسهم**

رقم شهادة الأسهم: XXXX عدد الأسهم: XXXX

اسم الشركة  
 رقم السجل التجاري  
 عنوان الشركة

هذه شهادة بأن السيد (أو الشركة) ..... الاسم بالكامل، العنوان: ..... أنه يمتلك عدد: "عدد الأسهم بالأرقام" عدد الأسهم بالحروف" من الأسهم العادية common stock بقيمة 10 جنيه لتسهم مدفوعة بالكامل في مائة الشركة.

توقيع مدير الشركة

ختم الشركة

**Issuer** ← **FOR** → **Purchaser**

**Purchaser** ← **FOR** → **Issuer**

### Liability

واننا نعتبرها Current أو NON  
 ده يعتمد على الـ Maturity date

### Asset

وتصنيفها يعتمد على نية الشركة وهي بتشتري

Long term Investment

HTM

Trading

Current assets

Trading

Control

Long term Investment

### Asset

وتصنيفها يعتمد على نية الشركة وهي بتشتري

### Equity

وتسجل بالـ Par value وأي زيادة في السعر تتسجل لوحدها كـ Premium أو APIC

### Note that:

**HTM**: Held To Maturity.

**AFS**: Available for sale.

**Issuer**: also called investee, the company which issues these securities to finance its operations.

**Purchaser**: also called investor, the company which purchases these securities to achieve income from periodic return (interest or dividends) or change in prices.



Now, let's talk about each category in depth:

## Assets

### Non-current assets

#### ① Long term investment

This section includes 3 types:

##### Investments in Securities



##### Investments in Properties

Tangible assets purchased for any purpose other than using it. Like purchasing land for speculation مضاربة.

##### Investments in Special Fund

pension funds,  
Bond sinking funds,  
plant expansion fund.

#### ② PPE (Property, Plant & Equipment)

Land (for use), Building, Equipment, Furniture, which held for use in regular operations.

All fixed assets should be reported by the Book value [cost – Accumulated dep.] except land.

| ② PPE                      |      |      |     |    |
|----------------------------|------|------|-----|----|
| Land                       |      |      |     | XX |
| Building                   | Cost | XX   |     |    |
| (-) Accum. Dep. - Building |      | (XX) |     |    |
| Equipment                  | Cost | XX   | XX  |    |
| (-) Accum. Dep. – Equip.   |      | (XX) | NET |    |
|                            |      |      | XX  | XX |
| <b>Total PPE</b>           |      |      |     | XX |

Book Value Carrying Amount

If company has natural resource, it should calculate depletion (as depreciation).



## Example (1)

Mostafa Company partial balance sheet shown as follows:

### Property, plant, and equipment

|                                                              |     |
|--------------------------------------------------------------|-----|
| Buildings (net)                                              | 570 |
| Equipment (net)                                              | 160 |
| Land held for future use (future development or speculation) | 175 |

### Instructions

Prepare a revised assets section. Assume that the accumulated depreciation balance for the buildings is €160 and for the equipment, €105.

**Solution**

| <b>Assets</b>               |       |     |     |
|-----------------------------|-------|-----|-----|
| <b>Non-current assets</b>   |       |     |     |
| ① Long term investment      |       |     |     |
| Land held for future use    |       |     | 175 |
| ② PPE                       |       |     |     |
| Buildings (570 + 160)       | 730   |     |     |
| (-) Accum. Dep. - Building  | (160) |     |     |
|                             |       | 570 |     |
| Equipment (160 + 105)       | 265   |     |     |
| (-) Accum. Dep. - Equipment | (105) |     |     |
|                             |       | 160 |     |
|                             |       |     | 730 |

## ③ Intangible assets

وادي Assets بتمتلكها الشركة وتفتقر للوجود المادي lacks physical substance وتحقق لها منافع لفترات طويلة.

### Intangible Assets with definite Useful Life

أصول غير ملموسة لها عمر محدد

#### براءة اختراع Patent

فكرة معينة مسجلة عند الدولة علشان ماحدش يشتغل بيها غيرنا

#### حق امتياز Franchises

تشتري حق فتح ماركة عالمية نظير عمولة لصاحبها زي Adidas مثلاً

#### تراخيص Licenses

رخصة شبكة محمول مثلاً

#### علامات تجارية Trademarks

لوجو المنتجات زي بيبسي

#### حقوق الطبع Copyrights

زي الأفلام المضروبة

Should be amortized and appear net of amortization (without accumulated)

### Intangible Assets with Indefinite Useful Life

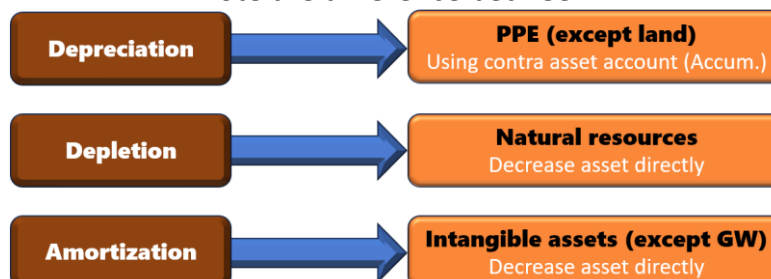
أصول غير ملموسة ليس لها عمر محدد

#### شهرة المحل Goodwill

ودي تشير الى قدرة الشركة على تحقيق أرباح غير عادية نتيجة لعوامل كثيرة تم إرساءها خلال سنوات عمل الشركة.

Shouldn't be amortized, but it should evaluate for impairment annually.

Note the difference between:





## Example (2)

Crane Corporation has the following accounts included in its December 31, 2024, trial balance: Trading Securities £21,000, Goodwill £150,000, Prepaid Insurance £12,000, Patents £220,000, and Franchises £130,000. Prepare the intangible assets section of the statement of financial position.

**Solution**

| <u>Intangible assets:</u> |          |
|---------------------------|----------|
| Goodwill                  | £150,000 |
| Patents                   | 220,000  |
| Franchises                | 130,000  |
| Total intangibles         | £500,000 |

## 4 Other Assets

Any current assets but provide company with future benefits for more than



Such as

Long term  
receivables

Long term  
Prepaid  
expense

Cash restricted  
for long term  
reason

PPE held for  
sale

| <u>Assets</u>                                   |      |    |    |
|-------------------------------------------------|------|----|----|
| <b><u>Non-current assets</u></b>                |      |    |    |
| <b>① Long term investment</b>                   |      |    |    |
| Investment in securities (HTM + Control + AFS)  |      | XX |    |
| Land for future use (speculation)               |      | XX |    |
| Funds (for pension, sinking bonds & expansion). |      | XX |    |
|                                                 |      |    | XX |
| <b>② PPE</b>                                    |      |    |    |
| Land                                            |      | XX |    |
| Natural resource (net of depletion)             |      | XX |    |
| Buildings                                       | XX   |    |    |
| (-) Accum. Dep. - Building                      | (XX) |    |    |
|                                                 |      | XX |    |
| Equipment                                       | XX   |    |    |
| (-) Accum. Dep. - Equipment                     | (XX) |    |    |
|                                                 |      | XX |    |
|                                                 |      |    | XX |
| <b>③ Intangible assets</b>                      |      |    |    |
| Goodwill                                        |      | XX |    |
| Other identifiable assets (net of amortization) |      | XX |    |
|                                                 |      |    | XX |
| <b>④ Other assets</b>                           |      |    |    |
| Long term receivables                           |      | XX |    |
| Long term prepaid expense                       |      | XX |    |
| Restricted cash for long term reason            |      | XX |    |
| PPE held to sale                                |      | XX |    |
|                                                 |      |    | XX |
| Total non-current assets                        |      |    | XX |

# Current assets

Cash and other assets a company expects to **convert into cash, sell, or consume** either in



أنا بس عايزك تعرف حاجه مهمه جداً:

المحاسب جبان بطبعه ويحب يأمن نفسه ضد أي مصائب من المحتمل حدوثها

وده اللي بنسميه:

## التحفظ Conservatism



There are 5 current assets:

**1 Inventory**

It depends on company type

Service

There is no inventory

Merchandise

Only one type (goods)

Manufacturing

3 types:

Material WIP FG

It should appear by

Lower between

Cost or

Net Realized Value

LCNRV

**2 Prepaid ex.**

Assume that on October 1, Y1 company purchase insurance policy for \$1,800 covering 18 months. How should it appear in BS on Dec. 31, Y1?

10/1/Y<sub>1</sub>, 12/31/Y<sub>1</sub> 12/31/Y<sub>2</sub> 4/1/Y<sub>3</sub>

Expired Next year Current Non

1,800 18 months.

| Non-current assets |       |
|--------------------|-------|
| ④ Other Assets     |       |
| Deferred insurance | 300   |
| current assets     |       |
| Prepaid insurance  | 1,200 |

Allowance For Doubtful Accounts

**3 Receivables**

**AR**

Accounts due on customers resulted from credit sales or service rendered on account.

AR should be reported in the balance sheet by the Net Realizable Values. (NRV)

| current assets |      |
|----------------|------|
| AR             | XX   |
| (-) AFDA       | (XX) |
| NRV            | XX   |

**NR**

Notes receivable (written promise) which should appear by net present value

**4 Short term investment**

**HTM**

Amortized cost

**Trading**

**AFS**

Fair Value

Will be matured or sold in the next year

**5 Cash**

Generally, any monies available" on demand" → free cash.

Whether it was in:

**Bank Treasury Petty**

**Cash Equivalent**

Short term highly liquid investments that will mature within 3 months or less.

**Restricted Cash**

Should disclose separately in:

**current Non**

If the restriction is for **short run** reason as for **paying tax**

If the restriction is for **long run** reason as for **expansion**



### Example (3)

Stine Corp.'s trial balance reflected the following account balances at December 31, 2024:

|                                    |      |
|------------------------------------|------|
| Accounts receivable (net)          | \$24 |
| Trading securities                 | 6    |
| Accumulated depreciation—equipment | 15   |
| Cash                               | 21   |
| Inventory                          | 30   |
| Equipment                          | 25   |
| Patent                             | 4    |
| Prepaid expenses                   | 2    |
| Land held for future business site | 18   |

In Stine's December 31, 2024 statement of financial position, what is the amount of total current assets?

**Solution**

|                       |           |
|-----------------------|-----------|
| AR                    | 24        |
| Trading securities    | 6         |
| Cash                  | 21        |
| Inventory             | 30        |
| Prepaid expenses      | 2         |
| <b>Current assets</b> | <b>83</b> |



### Example (4)

Harding Corporation has the following accounts included in its December 31, 2024, trial balance: Accounts Receivable €110, Inventory €290, Allowance for Doubtful Accounts €8, Patents €72, Prepaid Insurance €9.5, Accounts Payable €77 and Cash €30. Prepare the current assets section of the statement of financial position, listing the accounts in the sequence shown in the chapter.

**Solution**

| Current Assets              |     |              |
|-----------------------------|-----|--------------|
| Inventory                   |     | 290          |
| Prepaid insurance           |     | 9.5          |
| AR                          | 110 |              |
| (-) AFDA                    | (8) |              |
|                             |     | 102          |
| Cash                        |     | 30           |
| <b>Total current assets</b> |     | <b>431.5</b> |



### Example (5)

Koch Corporation's adjusted trial balance contained the following asset accounts at December 31, 2024: Cash €7, Land €40, Patents €12.5, Accounts Receivable €90, Prepaid Insurance €5.2, Inventory €30, Allowance for Doubtful Accounts €4 and Trading Securities €11. Prepare the current assets section of the statement of financial position, listing the accounts in the sequence shown in the chapter.

**Solution**

| <b>Current Assets</b>       |     |              |
|-----------------------------|-----|--------------|
| Inventory                   |     | 30           |
| Prepaid insurance           |     | 5.2          |
| AR                          | 90  |              |
| (-) AFDA                    | (4) |              |
|                             |     | 86           |
| Trading Securities          |     | 11           |
| Cash                        |     | 7            |
| <b>Total current assets</b> |     | <b>139.2</b> |



### Example (6)

Presented below are selected accounts of Aramis Company at December 31, 2024 (000 is omitted).

|                                     |     |                                 |        |
|-------------------------------------|-----|---------------------------------|--------|
| Inventory (finished goods)          | €52 | Cost of Goods Sold              | €2,100 |
| Unearned Service Revenue            | 90  | Notes Receivable                | 40     |
| Equipment                           | 253 | Accounts Receivable             | 161    |
| Inventory (work in process)         | 34  | Inventory (raw materials)       | 187    |
| Cash                                | 42  | Supplies Expense                | 60     |
| Trading Securities                  | 31  | Allowance for Doubtful Accounts | 12     |
| Customer Advances                   | 36  | Licenses                        | 18     |
| Cash Restricted for Plant Expansion | 50  | Share Premium—Ordinary          | 88     |
|                                     |     | Treasury Shares                 | 22     |

The following additional information is available.

1. Inventory is valued at lower-of-cost-or-net realizable value using FIFO.
2. Equipment is recorded at cost. Accumulated depreciation, computed on a straight-line basis, is €50.6
3. The trading securities have a fair value of €29.
4. The notes receivable are due April 30, 2026, with interest receivable every April 30. The notes bear interest at 6%. (Hint: Accrue interest due on December 31, 2024.)
5. The allowance for doubtful accounts applies to the accounts receivable. Accounts receivable of €50 are pledged as collateral on a bank loan.
6. Licenses are recorded net of accumulated amortization of €14.
7. Treasury shares are recorded at cost.

#### Instructions

Prepare the current assets section of Aramis Company's December 31, 2024, statement of financial position, with appropriate disclosures.

**Solution**

| <b>Current assets</b>                                                      |      |              |
|----------------------------------------------------------------------------|------|--------------|
| Inventory, at lower of cost (using FIFO) or net realizable value           |      |              |
| Finished goods                                                             | 52   |              |
| Work in process                                                            | 34   |              |
| Raw materials                                                              | 187  |              |
|                                                                            |      | 273          |
| Accounts receivable (of which €50 is pledged as collateral on a bank loan) | 161  |              |
| (-) AFDA                                                                   | (12) |              |
|                                                                            |      | 149          |
| Interest receivable $[(€40 \times 6\%) \times \frac{8}{12}]$               |      | 1.6          |
| Trading securities at fair value (cost, €31)                               |      | 29           |
| Cash (92 – 50)                                                             |      | 42           |
| <b>Total current assets</b>                                                |      | <b>494.6</b> |

**Note:** restricted cash will appear in the long term investment section (because the reason is for long term purpose)

- 1) The correct order to present current assets is**
  - a. cash, accounts receivable, prepaid items, inventories.
  - b. inventories, receivables, prepaid items, cash.
  - c. cash, inventories, accounts receivable, prepaid items.
  - d. inventories, prepaid items, accounts receivable, cash.
- 2) The basis for classifying assets as current or noncurrent is conversion to cash within**
  - a. the accounting cycle or one year, whichever is shorter.
  - b. the operating cycle or one year, whichever is longer.
  - c. the accounting cycle or one year, whichever is longer.
  - d. the operating cycle or one year, whichever is shorter.
- 3) The basis for classifying assets as current or noncurrent is the period of time normally required by the accounting entity to convert cash invested in**
  - a. inventory back into cash, or 12 months, whichever is shorter.
  - b. receivables back into cash, or 12 months, whichever is longer.
  - c. tangible fixed assets back into cash, or 12 months, whichever is longer.
  - d. inventory back into cash, or 12 months, whichever is longer.
- 4) The current assets section of the statement of financial position should include**
  - a. machinery.
  - b. patents.
  - c. goodwill.
  - d. inventory.
- 5) Equity or debt securities held to finance future construction of additional plants should be classified on a balance sheet as**
  - a. current assets.
  - b. property, plant, and equipment.
  - c. intangible assets.
  - d. long-term investments.
- 6) Each of the following are an intangible asset except**
  - a. copyrights.
  - b. goodwill.
  - c. plant expansion fund.
  - d. trademarks.
- 7) Which of the following is *not* a long-term investment?**
  - a. Investments in ordinary shares
  - b. Franchise
  - c. Land held for speculation
  - d. A sinking fund
- 8) A generally accepted method of valuation is**
  1. trading securities at market value.
  2. accounts receivable at net realizable value.
  3. inventories at current cost.
  - a. 1
  - b. 2
  - c. 3
  - d. 1 and 2
- 9) Fulton Company owns the following investments:**

|                                                 |          |
|-------------------------------------------------|----------|
| Trading securities (fair value)                 | \$70,000 |
| Non-trading securities (fair value)             | 35,000   |
| Held-for-collection securities (amortized cost) | 47,000   |

Fulton will report investments in its current assets section of

  - a. \$0.
  - b. exactly \$70,000.
  - c. \$70,000 or an amount greater than \$70,000, depending on the circumstances.
  - d. exactly \$105,000.



**10)** For Grimmett Company, the following information is available:

|                       |          |
|-----------------------|----------|
| Capitalized leases    | ¥200,000 |
| Trademarks            | 55,000   |
| Long-term receivables | 75,000   |

In Grimmett's statement of financial position, intangible assets should be reported at

- a. ¥ 55,000.
- b. ¥ 75,000.
- c. ¥255,000.
- d. ¥275,000.

**11)** Kohler Company owns the following investments:

|                                                 |          |
|-------------------------------------------------|----------|
| Trading securities (fair value)                 | £ 60,000 |
| Non-trading securities (fair value)             | 45,000   |
| Held-for-collection securities (amortized cost) | 57,000   |

Kohler will report securities in its long-term investments section of

- a. exactly £105,000.
- b. exactly £117,000.
- c. exactly £162,000.
- d. £102,000 or an amount less than £102,000, depending on the circumstances.

**12)** For Randolph Company, the following information is available:

|                       |          |
|-----------------------|----------|
| Capitalized leases    | R280,000 |
| Trademarks            | 110,000  |
| Long-term receivables | 105,000  |

In Randolph's statement of financial position, intangible assets should be reported at

- a. R110,000.
- b. R105,000.
- c. R390,000.
- d. R385,000.

**13)** Using IFRS, which of the following items is matched correctly with its basis of valuation for purposes of reporting on the statement of financial position?

| <u>Item</u>          | <u>Basis of Valuation</u>                |
|----------------------|------------------------------------------|
| I. Inventory         | A. Cost                                  |
| II. Prepaid expenses | B. Estimated amount collectible          |
| III. Receivables     | C. Lower-of-cost-or net realizable value |

- a. I and A
- b. II and C
- c. III and B
- d. II and B

**14)** Rosalie Corporation is located in London but does business throughout Europe. The company builds and sells equipment used in manufacturing pharmaceuticals. On December 31, 2015, Rosalie has trading securities valued at £63,000; goodwill valued at £450,000; prepaid insurance valued at £36,000; patents valued at £210,000; and a customer list valued at £390,000. On Rosalie Corporation's statement of financial position at December 31, 2015, what amount should be reported as intangible assets?

- a. £1,113,000
- b. £1,149,000
- c. £1,050,000
- d. £660,000

**Solution**

- |   |   |   |   |   |   |   |   |   |    |    |    |    |    |
|---|---|---|---|---|---|---|---|---|----|----|----|----|----|
| 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 | 14 |
| d | b | d | d | d | c | b | d | c | a  | d  | a  | c  | c  |



# Equity

Before knowing the components of equity section, you should know the following information about shares:

## Shares / Stock

### Amount العدد

#### Authorized مصرح به

The maximum amount of stock that a corporation is legally allowed to issue.

Assume 500 ordinary & 300 preferred

#### Issued مصدرة

The amount of stock authorized that has actually been issued by the corporation.

Assume 200 ordinary & 100 preferred

#### Outstanding متداولة

The amount of stock issued that has been purchased and is held by shareholders.

If company repurchase 50 ordinary

So, outstanding ordinary share is 150

Use **issued** number

### Value القيمة

#### Par/Face/Nominal اسمية

The value which is written in the share certificate.

Assume it was \$5 for both O & P

#### Market price / Fair سوقية

The current market price of the stock, which is determined by the supply and demand for the shares in the open market.

Assume it was \$25 for both O & P

Use **Par** value with capital

And record any MV increase in separate account called

**Premium**

**APIC**

(Additional Paid In Capital)

Now, you should know that the equity section is consist of 6 items as follows:

1

#### Capital

By Par value.

Issued number

2

#### premium

MV - Par

Issued number

3

#### RE

From retained  
Earning statement

4

#### Accum. OCI

Accumulated other  
comprehensive i.

5

#### Treasury shares

Shares  
Repurchased

6

#### NCI

Minority interest in  
parent company

### Equity

|                                                                        |       |
|------------------------------------------------------------------------|-------|
| Share capital - Preference (\$5 par value, authorized 300, issued 100) | 500   |
| Share capital - Ordinary (\$5 par value, authorized 500, issued 200)   | 1,000 |
| Share premium - Preference                                             | 2,000 |
| Share premium - Ordinary                                               | 4,000 |
| Retained Earnings                                                      | 130   |
| Accumulated OCI                                                        | 80    |
| Treasury shares (50 x 5)                                               | (250) |
| NCI                                                                    | XX    |



### Example (7)

Hawthorn Corporation's adjusted trial balance contained the following accounts at December 31, 2024: Retained Earnings €120, Share Capital—Ordinary €750, Bonds Payable €100, Share Premium—Ordinary €200, Goodwill €55, Accumulated Other Comprehensive Income €(150), and Non-Controlling Interest €80. Prepare the equity section of the statement of financial position.

**Solution**

### Equity:

|                                               |       |
|-----------------------------------------------|-------|
| Share capital—ordinary                        | €750  |
| Share premium—ordinary                        | 200   |
| Retained earnings                             | 120   |
| Accumulated other comprehensive income (loss) | (150) |
| Non-controlling interest                      | 80    |
| Total equity                                  | £500  |

# Liabilities

## Non-Current Liabilities



- Bonds Payable
- Provision related to pension
- Long-term contingent liability (warranty)

## Current liabilities

- Accounts Payable AP
- Notes Payable NP
- Expense Payable EP
- Unearned Revenue (advances from customers)
- Dividends declared but not paid yet (Payable)
- Current portion of long-term debt

### Example (8)

Pascal Corporation is preparing its December 31, 2024, statement of financial position. The following items may be reported as either a current or non-current liability. For each item below, indicate the dollar amounts to be reported as a current liability and as a non-current liability, if any.

1) On December 15, 2024, Pascal declared a cash dividend of \$2.00 per share to shareholders of record on December 31. The dividend is payable on January 15, 2025. Pascal has issued 1,000 ordinary shares of which 50 shares are held in treasury.

**Solution**

|                                           |       |
|-------------------------------------------|-------|
| <b>Non-Current Liabilities</b>            |       |
| <b>Current Liabilities</b>                |       |
| Dividends Payable $(1,000 - 50) \times 2$ | 1,900 |

2) At December 31, bonds payable of \$100 are outstanding. The bonds pay 8% interest every September 30 and mature in installments of \$25 every September 30, beginning September 30, 2025.

**Solution**

|                                                         |    |
|---------------------------------------------------------|----|
| <b>Non-Current Liabilities</b>                          |    |
| Bonds Payable $(100 - 25)$                              | 75 |
| <b>Current Liabilities</b>                              |    |
| Bonds Payable (first installment)                       | 25 |
| Interest Payable $(100 \times 8\% \times \frac{3}{12})$ | 2  |

3) At December 31, 2023, customer advances were \$12. During 2024, Pascal collected \$30 of customer advances, and advances of \$25 were earned.

**Solution**

|                                    |    |
|------------------------------------|----|
| <b>Non-Current Liabilities</b>     |    |
| <b>Current Liabilities</b>         |    |
| Customer Advances $(12 + 30 - 25)$ | 17 |

## Additional types of disclosures

Parenthetical Explanations

Supporting Schedules

Cross Reference

|                               |    |
|-------------------------------|----|
| Item (Additional information) | XX |
|-------------------------------|----|

Pension schedule

|  |  |  |
|--|--|--|
|  |  |  |
|  |  |  |
|  |  |  |

|                     |    |
|---------------------|----|
| Item <sup>(1)</sup> | XX |
|---------------------|----|

(1) Additional information

### Contra Account

Contra accounts are used to offset or reduce the balance in a related primary account.

|                 |      |                 |
|-----------------|------|-----------------|
| Building        | XX   | → Cost          |
| (-) Accum. Dep. | (XX) |                 |
|                 | XX   | → Book Value    |
|                 |      | Carrying Amount |

### Special Accounts

### Adjunct Account

Adjunct accounts are used to increase or enhance the balance in a related primary account.

|               |    |                 |
|---------------|----|-----------------|
| Bonds Payable | XX | → Face Value    |
| Bonds Premium | XX |                 |
|               | XX | → Book Value    |
|               |    | Carrying Amount |



## Example (9)

Presented below are the captions of Nikos Company's statement of financial position.

(a) Non-current assets.

1. Investments.

2. Property, plant, and equipment.

3. Intangible assets.

4. Other assets.

(b) Current assets.

(c) Equity.

(d) Non-current liabilities.

(e) Current liabilities.

### Instructions

Indicate by letter where each of the following items would be classified.

- |                                       |                                             |
|---------------------------------------|---------------------------------------------|
| 1. Share capital—preference.          | 11. Accumulated other comprehensive income. |
| 2. Goodwill.                          | 12. Notes payable (due next year).          |
| 3. Salaries and wages payable.        | 13. Supplies.                               |
| 4. Accounts payable.                  | 14. Share capital—ordinary.                 |
| 5. Buildings.                         | 15. Land.                                   |
| 6. Trading securities.                | 16. Bond sinking fund.                      |
| 7. Current portion of long-term debt. | 17. Inventory.                              |
| 8. Patents.                           | 18. Prepaid insurance.                      |
| 9. Allowance for doubtful accounts.   | 19. Bonds payable.                          |
| 10. Accounts receivable.              | 20. Income taxes payable.                   |

**Solution**

|   |    |   |   |    |   |   |    |   |    |    |    |    |    |    |    |    |    |    |    |
|---|----|---|---|----|---|---|----|---|----|----|----|----|----|----|----|----|----|----|----|
| 1 | 2  | 3 | 4 | 5  | 6 | 7 | 8  | 9 | 10 | 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 | 19 | 20 |
| c | a3 | e | e | a2 | b | e | a3 | b | b  | c  | e  | b  | c  | a2 | a1 | b  | b  | d  | e  |



### Example (10)

Bruno Company has decided to expand its operations. The bookkeeper recently completed the statement of financial position shown on the bottom in order to obtain additional funds for expansion.

**BRUNO COMPANY**  
**STATEMENT OF FINANCIAL POSITION**  
**DECEMBER 31, 2024 (000 is omitted)**

|                                                                      |      |
|----------------------------------------------------------------------|------|
| <b><u>Current assets</u></b>                                         |      |
| Cash                                                                 | €260 |
| Accounts receivable (net)                                            | 340  |
| Inventory (at lower-of-average-cost-or-net realizable value)         | 401  |
| Trading securities—at cost (fair value €120)                         | 140  |
| <b><u>Property, plant, and equipment</u></b>                         |      |
| Buildings (net)                                                      | 570  |
| Equipment (net)                                                      | 160  |
| Land held for future use                                             | 175  |
| <b><u>Intangible assets</u></b>                                      |      |
| Goodwill                                                             | 80   |
| Other identifiable assets                                            | 90   |
| Prepaid expenses                                                     | 12   |
| <b><u>Current liabilities</u></b>                                    |      |
| Accounts payable                                                     | 135  |
| Notes payable (due next year)                                        | 125  |
| Pension liability                                                    | 82   |
| Rent payable                                                         | 49   |
| Premium on bonds payable                                             | 53   |
| <b><u>Non-current liabilities</u></b>                                |      |
| Bonds payable                                                        | 500  |
| <b><u>Equity</u></b>                                                 |      |
| Share capital—ordinary, €1.00 par, authorized 400 shares, issued 290 | 290  |
| Share premium—ordinary                                               | 180  |
| Retained Earnings                                                    | ?    |

#### **Instructions**

Prepare a revised statement of financial position given the available information. Assume that the accumulated depreciation balance for the buildings is €160 and for the equipment, €105. The allowance for doubtful accounts has a balance of €17. The pension liability is considered a non-current liability.



**BRUNO COMPANY**  
**STATEMENT OF FINANCIAL POSITION**  
**DECEMBER 31, 2024**

| <b><u>Assets</u></b>                                        |       |            |              |
|-------------------------------------------------------------|-------|------------|--------------|
| <b><u>Non-current assets</u></b>                            |       |            |              |
| <b>① Long term investment</b>                               |       |            |              |
| Land held for future use                                    |       |            | 175          |
| <b>② PPE</b>                                                |       |            |              |
| Buildings                                                   | 730   |            |              |
| (-) Accum. Dep. - Building                                  | (160) | 570        |              |
| Equipment                                                   | 265   |            |              |
| (-) Accum. Dep. - Equipment                                 | (105) | 160        | 730          |
| <b>③ Intangible assets</b>                                  |       |            |              |
| Goodwill                                                    |       | 80         |              |
| Other identifiable assets                                   |       | 90         | 170          |
| <b>④ Other assets</b>                                       |       |            |              |
|                                                             |       |            | -            |
| <b>Total non-current assets</b>                             |       |            | <b>1,075</b> |
| <b><u>Current assets</u></b>                                |       |            |              |
| Inventory, at lower of average cost or net realizable value |       | 401        |              |
| Prepaid expenses                                            |       | 12         |              |
| AR                                                          | 357   |            |              |
| (-) AFDA                                                    | (17)  |            |              |
| Trading securities at fair value                            |       | 340        |              |
| Cash                                                        |       | 120        |              |
|                                                             |       | 260        |              |
| <b>Total current assets</b>                                 |       |            | <b>1,133</b> |
| <b>Total Assets</b>                                         |       |            | <b>2,208</b> |
| <b><u>Equity &amp; Liabilities</u></b>                      |       |            |              |
| <b><u>Equity</u></b>                                        |       |            |              |
| Share capital-ordinary, €1 par, authorized 400, issued 290  | 290   |            |              |
| Share premium—ordinary                                      | 180   |            |              |
| Retained Earnings (2,208 – 944 = 1,264 – 470)               |       | 470<br>794 |              |
| <b>Total Equity</b>                                         |       |            | <b>1,264</b> |
| <b><u>Non-current liabilities</u></b>                       |       |            |              |
| Bonds payable                                               | 553   |            |              |
| Pension liability                                           | 82    |            |              |
| <b>Total non-current liabilities</b>                        |       | 635        |              |
| <b><u>Current liabilities</u></b>                           |       |            |              |
| Notes payable (due next year)                               | 125   |            |              |
| Accounts payable                                            | 135   |            |              |
| Rent payable                                                | 49    |            |              |
| <b>Total current liabilities</b>                            |       | 309        |              |
| <b>Total liabilities</b>                                    |       |            | <b>944</b>   |
| <b>Total equity and liabilities</b>                         |       |            | <b>2,208</b> |



## Example (II)

Presented below is the adjusted trial balance of Abbey Corporation at December 31, 2024.

|                                    | Debit  | Credit  |
|------------------------------------|--------|---------|
| Cash                               | £ ?    |         |
| Supplies                           | 1,200  |         |
| Prepaid Insurance                  | 1,000  |         |
| Equipment                          | 48,000 |         |
| Accumulated Depreciation-Equipment |        | £ 9,000 |
| Trademarks                         | 950    |         |
| Accounts Payable                   |        | 10,000  |
| Salaries and Wages Payable         |        | 500     |
| Unearned Service Revenue           |        | 2,000   |
| Bonds Payable (due 2026)           |        | 9,000   |
| Share Capital-Ordinary             |        | 10,000  |
| Retained Earnings                  |        | 20,000  |
| Service Revenue                    |        | 10,000  |
| Salaries and Wages Expense         | 9,000  |         |
| Insurance Expense                  | 1,400  |         |
| Rent Expense                       | 1,200  |         |
| Interest Expense                   | 900    |         |
| Total                              | £ ?    | £ ?     |

Additional information:

- 1) Net loss for the year was £2,500.
- 2) No dividends were declared during 2024.

### Instructions:

Prepare a classified statement of financial position as of December 31, 2024.



**ABBEEY CORPORATION**  
**Statement of Financial Position**  
**December 31, 2024**

|                                            |        |         |               |
|--------------------------------------------|--------|---------|---------------|
| <b><u>Assets</u></b>                       |        |         |               |
| <b><u>Non-current assets</u></b>           |        |         |               |
| ① Long term investment                     |        |         | -             |
| ② PPE                                      |        |         |               |
| Equipment                                  |        | 48,000  |               |
| (-) Accum. Dep. - Equipment                |        | (9,000) |               |
|                                            |        |         | 39,000        |
| ③ Intangible assets                        |        |         |               |
| Trademarks                                 |        |         | 950           |
| ④ Other assets                             |        |         | -             |
| Total non-current assets                   |        |         | 39,950        |
| <b><u>Current assets</u></b>               |        |         |               |
| Supplies                                   |        | 1,200   |               |
| Prepaid insurance                          |        | 1,000   |               |
| Cash (£49,000 – £39,950 – £1,200 – £1,000) |        | (6,850) |               |
| Total current assets                       |        |         | 9,050         |
| <b>Total Assets</b>                        |        |         | <b>49,000</b> |
| <b>Equity &amp; Liabilities</b>            |        |         |               |
| <b><u>Equity</u></b>                       |        |         |               |
| Share capital-ordinary                     |        | 10,000  |               |
| Retained Earnings (20,000 – 2,500)         |        | 17,500  |               |
| Total Equity                               |        |         | 27,500        |
| <b><u>Non-current liabilities</u></b>      |        |         |               |
| Bonds payable                              | 9,000  |         |               |
| Total non-current liabilities              |        | 9,000   |               |
| <b><u>Current liabilities</u></b>          |        |         |               |
| Accounts payable                           | 10,000 |         |               |
| Salaries & Wages payable                   | 500    |         |               |
| Unearned service revenue                   | 2,000  |         |               |
| Total current liabilities                  |        | 12,500  |               |
| Total liabilities                          |        |         | 21,500        |
| <b>Total equity and liabilities</b>        |        |         | <b>49,000</b> |

**1) Which item below is not a current liability?**

- a. Unearned revenue
- b. Share dividends distributable
- c. The currently maturing portion of long-term debt
- d. Trade accounts payable

**2) Treasury shares should be reported as a(n)**

- a. current asset.
- b. investment.
- c. other asset.
- d. reduction of equity.

**3) The shareholders' equity section is usually divided into how many parts?**

- a. 6
- b. 5
- c. 4
- d. 3

**4) Which of the following is not an acceptable major asset classification?**

- a. Current assets
- b. Investments
- c. Property, plant, and equipment
- d. Deferred charges

**5) Houghton Company has the following items: share capital—ordinary, \$820,000; treasury shares, \$85,000; deferred taxes, \$100,000 and retained earnings, \$313,000. What amount should Houghton Company report as total equity?**

- a. \$948,000.
- b. \$1,048,000.
- c. \$1,148,000.
- d. \$1,218,000.

**6) Olmsted Company has the following items: share capital—ordinary, \$920,000; treasury shares, \$85,000; deferred taxes, \$100,000 and retained earnings, \$363,000. What amount should Olmsted Company report as total equity?**

- a. \$1,098,000.
- b. \$1,198,000.
- c. \$1,298,000.
- d. \$1,398,000.

**7) Within the statement of financial position where should the account non-controlling interest (minority interest) be reported?**

- a. Non-current assets.
- b. Non-current liabilities.
- c. Equity.
- d. Current liabilities.

**8) Caroline, Inc. hired a new controller in late 2015. The controller has not prepared financial statements using IFRS before and needs your assistance. In compiling a complete set of financial statements under IFRS, in what order should the following items be reported in the equity section on the statement of financial position at December 31, 2015? If an item is not reported in the equity section, omit it from your answer.**

- I. Share premium
- II. Retained earnings
- III. Investments
- IV. Non-controlling interest
- V. Accumulated comprehensive income
- VI. Share capital

- a. I, VI, IV, II, V, III
- b. VI, I, II, V, IV
- c. VI, I, IV, II, V
- d. III, VI, I, II, IV, V

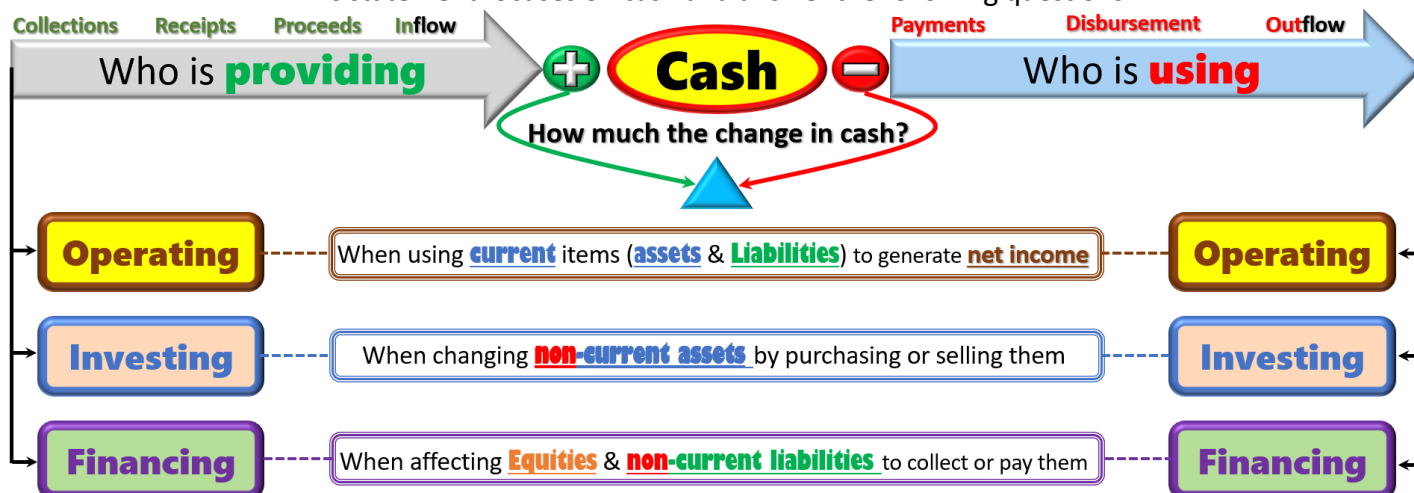
**Solution**

- 1 b
- 2 d
- 3 a
- 4 d
- 5 b
- 6 b
- 7 c
- 8 b



# Chapter (3): Cash Flow Statement

This statement focuses on cash and answer the following questions:



So, the final format for cash flow statement will be as follows:

|                                                    |    |
|----------------------------------------------------|----|
| Cash provided by (or used in) operating activities | XX |
| Cash provided by (or used in) investing activities | XX |
| Cash provided by (or used in) financing activities | XX |
| Change in cash (▲ <b>Cash</b> )                    | XX |
| + Cash Beginning balance                           | XX |
| Cash ending balance                                | XX |

a OR b OR c OR d

1) Lohmeyer Corporation reports:

|                                       |       |
|---------------------------------------|-------|
| Cash provided by operating activities | \$250 |
| Cash used by investing activities     | 110   |
| Cash provided by financing activities | 140   |
| Beginning cash balance                | 120   |

What is Lohmeyer's ending cash balance?

a. \$330. b. \$400. c. \$550. d. \$620.

2) Keisler Corporation reports:

|                                       |       |
|---------------------------------------|-------|
| Cash provided by operating activities | \$200 |
| Cash used by investing activities     | 110   |
| Cash provided by financing activities | 140   |
| Beginning cash balance                | 90    |

What is Keisler's ending cash balance?

a. \$250. b. \$320. c. \$470. d. \$540.

**Solution**

1  
b

2  
b

## Solution manual

|                                       |       |
|---------------------------------------|-------|
| Cash provided by operating activities | 250   |
| Cash used in investing activities     | (110) |
| Cash provided by financing activities | 140   |
| Change in cash (▲ <b>Cash</b> )       | 280   |
| + Cash Beginning balance              | 120   |
| Cash ending balance                   | 400   |

|                                       |       |
|---------------------------------------|-------|
| Cash provided by operating activities | 200   |
| Cash used in investing activities     | (110) |
| Cash provided by financing activities | 140   |
| Change in cash (▲ <b>Cash</b> )       | 230   |
| + Cash Beginning balance              | 90    |
| Cash ending balance                   | 320   |

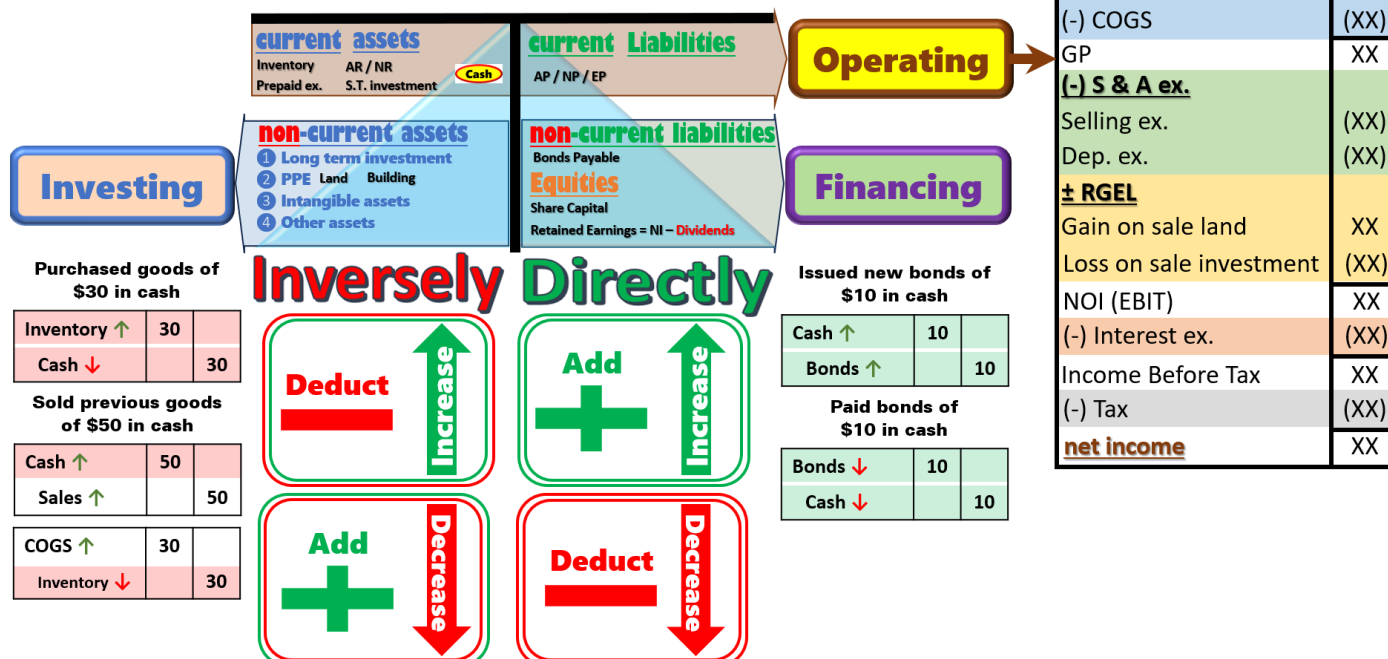
## How should we calculate each type of activity?

**Cash**



**= Ending – Beginning**

Changing in cash results from changing in Balance Sheet items.



|                          |      |
|--------------------------|------|
| Net Sales                | XX   |
| (-) COGS                 | (XX) |
| GP                       | XX   |
| <b>(-) S &amp; A ex.</b> |      |
| Selling ex.              | (XX) |
| Dep. ex.                 | (XX) |
| <b>± RGEL</b>            |      |
| Gain on sale land        | XX   |
| Loss on sale investment  | (XX) |
| NOI (EBIT)               | XX   |
| (-) Interest ex.         | (XX) |
| Income Before Tax        | XX   |
| (-) Tax                  | (XX) |
| <b>net income</b>        | XX   |

To illustrate how to apply this rule, I will use the following information in the first two years of operations for Mostafa company:

### Income statement

For the year ended on Dec. 31, Y2

|                          |      |
|--------------------------|------|
| Net Sales                | 50   |
| (-) COGS                 | (30) |
| GP                       | 20   |
| <b>(-) S &amp; A ex.</b> |      |
| Selling ex.              | (10) |
| Dep. ex.                 | (5)  |
| <b>± RGEL</b>            |      |
| Gain on sale land        | 60   |
| Loss on sale investment  | (15) |
| NOI (EBIT)               | 50   |
| (-) Interest ex.         | (5)  |
| Income Before Tax        | 45   |
| (-) Tax                  | (5)  |
| <b>net income</b>        | 40   |

### Statement of financial position

On Dec. 31, Y2 compared with Y1

|                             | Y2   | Y1   |
|-----------------------------|------|------|
| <b>Long term Investment</b> | 10   | 30   |
| <b>Land</b>                 | 80   | 90   |
| <b>Equipment</b>            | 60   | 40   |
| <b>Accum. Dep.</b>          | (15) | (10) |
| <b>Inventory</b>            | 20   | 25   |
| <b>AR</b>                   | 15   | 10   |
| <b>Cash</b>                 | 20   | 10   |
|                             | 190  | 195  |
| <b>Share Capital</b>        | 60   | 50   |
| <b>Retained Earnings</b>    | 30   | 10   |
| <b>Bonds Payable</b>        | 40   | 60   |
| <b>Accounts Payable</b>     | 60   | 75   |
|                             | 190  | 195  |

First of all, before talking about any type of activity, we should calculate changes in all items in the balance sheet (Ending "Y2" – Beginning "Y1") as follows:

### Income statement

For the year ended on Dec. 31, Y2

|                          |      |
|--------------------------|------|
| Net Sales                | 50   |
| (-) COGS                 | (30) |
| GP                       | 20   |
| <b>(-) S &amp; A ex.</b> |      |
| Selling ex.              | (10) |
| Dep. ex.                 | (5)  |
| <b>± RGEL</b>            |      |
| Gain on sale land        | 60   |
| Loss on sale investment  | (15) |
| NOI (EBIT)               | 50   |
| (-) Interest ex.         | (5)  |
| Income Before Tax        | 45   |
| (-) Tax                  | (5)  |
| <b>net income</b>        | 40   |

### Statement of financial position

On Dec. 31, Y2 compared with Y1

|                             | Y2   | Y1   |      |
|-----------------------------|------|------|------|
| <b>Long term Investment</b> | 10   | 30   | (20) |
| <b>Land</b>                 | 80   | 90   | (10) |
| <b>Equipment</b>            | 60   | 40   | 20   |
| <b>Accum. Dep.</b>          | (15) | (10) | 5    |
| <b>Inventory</b>            | 20   | 25   | (5)  |
| <b>AR</b>                   | 15   | 10   | 5    |
| <b>Cash</b>                 | 20   | 10   | 10   |
|                             | 190  | 195  |      |
| <b>Share Capital</b>        | 60   | 50   | 10   |
| <b>Retained Earnings</b>    | 30   | 10   | 10   |
| <b>Bonds Payable</b>        | 40   | 60   | (20) |
| <b>Accounts Payable</b>     | 60   | 75   | (15) |
|                             | 190  | 195  |      |

Now we can calculate cash flow from each activity as follows:

## Operating

These activities use current items to achieve net income.

Can we say that the net income is the net cash flow from operating activities?

No.

Why?

Because this income calculated based on accrual basis (which recognize revenue whether it was collected or not & recognize expense whether it was paid or not) rather than it contains non-cash expenses (as depreciation or amortization) & the results from selling non-current assets which should be treated as an investing activity.

Ok, let's reconcile net income to convert into net cash flow.

To achieve that, we have two directions:

|                          |      |
|--------------------------|------|
| Net Sales                | 50   |
| (-) COGS                 | (30) |
| GP                       | 20   |
| <b>(-) S &amp; A ex.</b> |      |
| Selling ex.              | (10) |
| Dep. ex.                 | (5)  |
| <b>± RGEL</b>            |      |
| Gain on sale land        | 60   |
| Loss on sale investment  | (15) |
| NOI (EBIT)               | 50   |
| (-) Interest ex.         | (5)  |
| Income Before Tax        | 45   |
| (-) Tax                  | (5)  |
| <b>net income</b>        | 40   |

It is not required by IFRS because of its difficulty although it is more informative than indirect method.

|                          |      |
|--------------------------|------|
| Net Sales                | 50   |
| (-) COGS                 | (30) |
| GP                       | 20   |
| <b>(-) S &amp; A ex.</b> |      |
| Selling ex.              | (10) |
| Dep. ex.                 | (5)  |
| <b>± RGEL</b>            |      |
| Gain on sale land        | 60   |
| Loss on sale investment  | (15) |
| NOI (EBIT)               | 50   |
| (-) Interest ex.         | (5)  |
| Income Before Tax        | 45   |
| (-) Tax                  | (5)  |
| <b>net income</b>        | 40   |

Here we start from the bottom line (net income) then reconcile it in 5 steps:

- 1) Add any non-cash expense (Dep. & Amo.).
- 2) Add losses from selling PPE & investment.
- 3) Deduct gains from selling PPE & investment.
- 4) ± ▲ current assets (except cash) inversely.
- 5) ± ▲ current Liabilities directly.

According to direct method we could calculate Operating cash flow as follows (**it is not required**):

|                                                                   |    |      |
|-------------------------------------------------------------------|----|------|
| <b>Operating cash inflow:</b>                                     |    |      |
| Collection from customers = Net sales – increase in AR = 50 – 5 = | 45 | 45   |
| <b>Operating cash outflow:</b>                                    |    |      |
| Purchases = COGS – decrease in inventory = 30 – 5 = 25            |    |      |
| Cash paid to suppliers = Purchases + decrease in AP = 25 + 15 =   | 40 |      |
| Cash paid to selling ex.                                          | 10 |      |
| Cash paid to interest ex.                                         | 5  |      |
| Cash paid to tax ex.                                              | 5  |      |
|                                                                   |    | (60) |
| Cash used in operating activities                                 |    | (15) |

According to indirect method we could calculate Operating cash flow as follows:

|                                                    |    |
|----------------------------------------------------|----|
| <b>net income</b>                                  | XX |
| + Dep. ex. Amo. ex.                                | XX |
| + Loss on sale non-current assets                  | XX |
| – Gains on sale non-current assets                 | XX |
| ± ▲ <b>Current assets</b> <b>Inversely</b>         | XX |
| ± ▲ <b>Current liabilities</b> <b>Directly</b>     | XX |
| Cash provided by (or used in) operating activities | XX |

|                                          |             |
|------------------------------------------|-------------|
| <b>net income</b>                        | 40          |
| + Dep. ex.                               | 5           |
| – Gain on sale land                      | (60)        |
| + Loss on sale investment                | 15          |
| + Decrease in Inventory                  | 5           |
| – Increase in AR                         | ( 5 )       |
| – Decrease in AP                         | (15)        |
| <b>Cash used in operating activities</b> | <b>(15)</b> |



### Example (1)

Ames Company reported 2024 net income of HK\$151. During 2024, accounts receivable increased by HK\$13 and accounts payable increased by HK\$9.5. Depreciation expense was HK\$44. Prepare the cash flows from operating activities section of the statement of cash flows (amounts in millions).

**Solution**

#### **Cash flows from operating activities:**

|                                                  |              |
|--------------------------------------------------|--------------|
| Net Income                                       | 151          |
| + Dep. ex.                                       | 44           |
| (-) increase in AR                               | (13)         |
| + increase in AP                                 | 9.5          |
| <b>Net cash provided by operating activities</b> | <b>191.5</b> |

# Investing

Here we focus on **non-current assets**:

## Deduct

The **increase** in non-current assets if it was purchased in cash.

## Add

The collection from selling the **decreased** non-current assets.

$$\text{Selling price} = \text{BV of sold portion} + \text{Gain (or - loss)}$$

Deduct them from net income in operating activities (reverse their signs)

We use  
Gains & losses  
2 opposite times

Add them to the decreased book value in investing activities (same signs)

$$\text{Proceeds from selling investment} = 20 - 15 = 5$$

$$\text{Proceeds from selling Land} = 10 + 60 = 70$$

$$\text{Cash paid in purchasing equipment} = (20)$$

**Cash provided by investing activities**

**55**

# Financing

Here we focus on **Equity** & **non-current liabilities**:

## Add

**Increase** in them because of **issuing** shares or bonds

## Deduct

**Decrease** in them because of paying bonds or purchasing treasury shares & paid dividends.

Note that the change in retained earnings itself is not important, but we can use it to calculate dividends as follows:

$$\text{Dividends} = \text{Net Income} - \text{increase in RE}$$

$$\text{Proceeds from issuing shares} = 10$$

$$\text{Payment of bonds} = (20)$$

$$\text{Payment of cash dividends} = 40 - 20 = (20)$$

**Cash used in financing activities**

**(30)**

Now, we can prepare the full version of cash flow statement as follows:

# Mostafa Corporation

## Cash Flow Statement

**For the year ended on December 31, Y2**

|                                              |       |           |
|----------------------------------------------|-------|-----------|
| <b><u>net income</u></b>                     | 40    |           |
| + Dep. ex.                                   | 5     |           |
| - Gain on sale land                          | (60)  |           |
| + Loss on sale investment                    | 15    |           |
| + Decrease in Inventory                      | 5     |           |
| - Increase in AR                             | ( 5 ) |           |
| - Decrease in AP                             | (15)  |           |
| <b>Cash used in operating activities</b>     |       | (15)      |
| Proceeds from selling investment             | 5     |           |
| Proceeds from selling Land                   | 70    |           |
| Cash paid in purchasing equipment            | (20)  |           |
| <b>Cash provided by investing activities</b> |       | 55        |
| Proceeds from issuing shares                 | 10    |           |
| Payment of bonds                             | (20)  |           |
| Payment of cash dividends                    | (20)  |           |
| <b>Cash used in financing activities</b>     |       | (30)      |
| Change in cash ( ▲ <b>Cash</b> )             |       | <b>10</b> |
| + Cash Beginning balance                     |       | 10        |
| Cash Ending balance                          |       | 20        |



## Operating

|                                                    |    |
|----------------------------------------------------|----|
| <u>net income</u>                                  | XX |
| + Dep. ex. Amo. ex.                                | XX |
| + Loss on sale non-current assets                  | XX |
| - Gains on sale non-current assets                 | XX |
| ± ▲ <u>Current assets</u> <b>Inversely</b>         | XX |
| ± ▲ <u>Current liabilities</u> <b>Directly</b>     | XX |
| Cash provided by (or used in) operating activities | XX |

$$\text{OCF} = \text{NI} + \text{Dep.} + \text{Loss} - \text{Gain} \pm \text{▲ CA (Inversely)} \pm \text{▲ CL (Directly)}$$

### Investing

non-current assets

**Deduct**

The increase in non-current assets if it was purchased in cash.

**Add**

The collection from selling the decreased non-current assets.

Selling price = BV of sold portion + Gain (or – loss)

### Financing

Equity & non-current liabilities

**Add**

Increase in them because of issuing shares or bonds

**Deduct**

Decrease in them because of paying bonds or purchasing treasury shares & paid dividends.

Dividends = Net Income – increase in RE

The last 4 important notes:

### Free Cash Flow (FCF)

Indicates the amount of discretionary cash flow available.

$$\text{FCF} = \text{OCF} - \text{CapEx} - \text{Dividends}$$

**OCF**      Operational Cash Flow  
**CapEx**    Capital Expenditures  
 cash using in investing activities

### Non-cash transaction

There are some transactions don't affect the cash as:

- Issuing shares to retire bonds.
- Issuing shares to purchase land.
- Issuing shares to distribute them as a dividends.

We can mention these transactions in related disclosure.

All interests are

Operating

Whether it was paid (ex.) or collected (revenue)

Which is paid to shareholders

Financing

But dividends

Operating

Which is collected as a revenue



## Example (2)

Keyser Beverage Company reported the following items in the most recent year.

|                                 |          |
|---------------------------------|----------|
| Net income                      | \$40,000 |
| Dividends paid                  | 5,000    |
| Increase in accounts receivable | 10,000   |
| Increase in accounts payable    | 7,000    |
| Purchase of equipment           | 8,000    |
| Depreciation expense            | 4,000    |
| Issue of notes payable          | 20,000   |

Compute net cash provided by operating activities, the net change in cash during the year, and free cash flow.

**Solution**

### Operating activities:

|                                                  |               |
|--------------------------------------------------|---------------|
| Net Income                                       | 40,000        |
| + Dep. ex.                                       | 4,000         |
| (-) increase in AR                               | (10,000)      |
| + increase in AP                                 | 7,000         |
| <b>Net cash provided by operating activities</b> | <b>41,000</b> |

### Investing activities:

|                                              |                |
|----------------------------------------------|----------------|
| Purchases of Equipment                       | (8,000)        |
| <b>Net cash used in investing activities</b> | <b>(8,000)</b> |

### Financing activities:

|                                                  |               |
|--------------------------------------------------|---------------|
| Cash dividends                                   | (5,000)       |
| Proceeds from issuing notes                      | 20,000        |
| <b>Net cash provided by financing activities</b> | <b>15,000</b> |

**Net increase in cash** **48,000**

$$FCF = OCF - CapEx - Dividends = 41,000 - 8,000 - 5,000 = \$28,000.$$



## Example (3)

Martinez Corporation engaged in the following cash transactions during 2024.

|                             |            |
|-----------------------------|------------|
| Sale of land and building   | R\$191,000 |
| Purchase of treasury shares | 40,000     |
| Purchase of land            | 37,000     |
| Payment of cash dividend    | 95,000     |
| Purchase of equipment       | 53,000     |
| Issuance of ordinary shares | 147,000    |
| Retirement of bonds         | 100,000    |

Instructions:

- 1) Compute the net cash provided (used) by investing activities.
- 2) Use the information presented in BE5-14 for Martinez Corporation to compute the net cash provided (used) by financing activities.

**Solution**

### Investing activities:

|                                                  |                |
|--------------------------------------------------|----------------|
| Proceeds from selling land & building            | 191,000        |
| Purchase of land                                 | (37,000)       |
| Purchase of equipment                            | (53,000)       |
| <b>Net cash provided by investing activities</b> | <b>101,000</b> |

### Financing activities:

|                                              |                 |
|----------------------------------------------|-----------------|
| Issuance of ordinary shares                  | 147,000         |
| Purchase of treasury shares                  | (40,000)        |
| Payment of cash dividend                     | (95,000)        |
| Retirement of bonds                          | (100,000)       |
| <b>Net cash used in financing activities</b> | <b>(88,000)</b> |



### Example (4)

The comparative statements of financial position of Lopez Inc. at the beginning and the end of the year 2024 appear on the followings. (000 is omitted)

#### LOPEZ INC. STATEMENTS OF FINANCIAL POSITION

| <u>Assets</u>                            | <u>Dec. 31, 2024</u> | <u>Jan. 1, 2024</u> | <u>Inc./Dec.</u> |
|------------------------------------------|----------------------|---------------------|------------------|
| Equipment                                | \$ 39                | \$ 22               | \$17 Inc.        |
| Less: Accumulated depreciation-equipment | (17)                 | (11)                | 6 Inc.           |
| Accounts receivable                      | 91                   | 88                  | 3 Inc.           |
| Cash                                     | 45                   | 13                  | 32 Inc.          |
| <b>Total</b>                             | <b>\$158</b>         | <b>\$112</b>        |                  |
| <u>Equity and Liabilities</u>            |                      |                     |                  |
| Share capital—ordinary                   | \$100                | \$80                | 20 Inc.          |
| Retained earnings                        | 38                   | 17                  | 21 Inc.          |
| Accounts payable                         | 20                   | 15                  | 5 Inc.           |
| <b>Total</b>                             | <b>\$158</b>         | <b>\$112</b>        |                  |

Net income of \$34 was reported, and dividends of \$13 were paid in 2024. New equipment was purchased and none was sold.

#### Instructions

Prepare a statement of cash flows for the year 2024.

 Solution

#### LOPEZ INC. Statement of Cash Flows For the Year Ended December 31, 2024

##### Operating activities:

|                                                  |     |           |
|--------------------------------------------------|-----|-----------|
| Net Income                                       | 34  |           |
| + Dep. ex.                                       | 6   |           |
| (-) increase in AR                               | (3) |           |
| + increase in AP                                 | 5   |           |
| <b>Net cash provided by operating activities</b> |     | <b>42</b> |

##### Investing activities:

|                                              |      |             |
|----------------------------------------------|------|-------------|
| Purchases of Equipment                       | (17) |             |
| <b>Net cash used in investing activities</b> |      | <b>(17)</b> |

##### Financing activities:

|                                                  |      |           |
|--------------------------------------------------|------|-----------|
| Issuance of ordinary shares                      | 20   |           |
| Cash dividends                                   | (13) |           |
| <b>Net cash provided by financing activities</b> |      | <b>7</b>  |
| <b>Net increase in cash</b>                      |      | <b>32</b> |
| + Cash Beg.                                      |      | <b>13</b> |
| <b>Cash End.</b>                                 |      | <b>45</b> |



## Example (5)

A comparative statement of financial position for Orozco Corporation is presented below. (000 is omitted)

| <u>Assets</u>                      | <u>2024</u> | <u>2023</u> | <u>▲</u> |
|------------------------------------|-------------|-------------|----------|
| Land                               | € 71        | €110        | (39)     |
| Equipment                          | 270         | 200         | 70       |
| Accumulated depreciation-equipment | (69)        | (42)        | 27       |
| Inventory                          | 180         | 189         | (9)      |
| Accounts receivable                | 82          | 66          | 16       |
| Cash                               | 63          | 22          | 41       |
| <b>Total</b>                       | <b>€597</b> | <b>€545</b> |          |
| <u>Equity and Liabilities</u>      |             |             |          |
| Share capital-ordinary (€1 par)    | €214        | €164        | 50       |
| Retained earnings                  | 199         | 134         | 65       |
| Bonds payable                      | 150         | 200         | (50)     |
| Accounts payable                   | 34          | 47          | (13)     |
| <b>Total</b>                       | <b>€597</b> | <b>€545</b> |          |

### Additional information:

- 1) Net income for 2024 was €105.
- 2) Cash dividends of €40 were declared and paid.
- 3) Bonds payable amounting to €50 were retired through issuance of ordinary shares.

### Instructions

- 1) Prepare a statement of cash flows for 2024 for Orozco Corporation.
- 2) Determine Orozco Corporation's free cash flow.



## Orozco Corporation Statement of Cash Flows

For the Year Ended December 31, 2024

### Operating activities:

|                                                  |      |     |
|--------------------------------------------------|------|-----|
| Net Income                                       | 105  |     |
| + Dep. ex.                                       | 27   |     |
| + decrease in inventory                          | 9    |     |
| (-) increase in AR                               | (16) |     |
| (-) decrease in AP                               | (13) |     |
| <b>Net cash provided by operating activities</b> |      | 112 |

### Investing activities:

|                                              |      |      |
|----------------------------------------------|------|------|
| Sales of land                                | 39   |      |
| Purchases of Equipment                       | (70) |      |
| <b>Net cash used in investing activities</b> |      | (31) |

### Financing activities:

|                                              |      |      |
|----------------------------------------------|------|------|
| Cash dividends                               | (40) |      |
| <b>Net cash used in financing activities</b> |      | (40) |

**Net increase in cash** **41**

+ Cash Beg. **22**

**Cash End. 63**

Noncash investing and financing activities were the issue of ordinary shares to retire €50 of bonds outstanding.

$$FCF = OCF - CapEx - Dividends = 112 - 70 - 40 = 2$$

- 1) Preparing the statement of cash flows, using the indirect method, involves all of the following except determining the**
  - a. cash provided by operations.
  - b. cash provided by or used in investing and financing activities.
  - c. change in cash during the period.
  - d. cash collections from customers during the period.
- 2) In a statement of cash flows, interest payments to lenders and other creditors should be classified as cash outflows for**
  - a. operating activities.
  - b. borrowing activities.
  - c. lending activities.
  - d. financing activities.
- 3) In preparing a statement of cash flows, cash flows from operating activities**
  - a. are always equal to accrual accounting income.
  - b. are calculated as the difference between revenues and expenses.
  - c. can be calculated by appropriately adding to or deducting from net income those items in the income statement that do not affect cash.
  - d. can be calculated by appropriately adding to or deducting from net income those items in the income statement that do affect cash.
- 4) During 2024 the DLD Company had a net income of W200,000. In addition, selected accounts showed the following changes:**

|                      |                  |
|----------------------|------------------|
| Accounts Receivable  | W12,000 increase |
| Accounts Payable     | 4,000 increase   |
| Buildings            | 16,000 decrease  |
| Depreciation Expense | 6,000 increase   |
| Bonds Payable        | 32,000 increase  |

What was the amount of cash provided by operating activities?

  - a. W198,000
  - b. W200,000
  - c. W206,000
  - d. W238,000
- 5) Harding Corporation reports the following information:**

|                                 |              |
|---------------------------------|--------------|
| Net income                      | R\$1,000,000 |
| Depreciation expense            | 280,000      |
| Increase in accounts receivable | 120,000      |

Harding should report cash provided by operating activities of

  - a. R\$600,000.
  - b. R\$840,000.
  - c. R\$1,160,000.
  - d. R\$1,400,000.
- 6) Sauder Corporation reports the following information:**

|                                 |             |
|---------------------------------|-------------|
| Net income                      | HK\$750,000 |
| Depreciation expense            | 210,000     |
| Increase in accounts receivable | 90,000      |

Sauder should report cash provided by operating activities of

  - a. HK\$450,000.
  - b. HK\$630,000.
  - c. HK\$870,000.
  - d. HK\$1,050,000.

- 7) Making and collecting loans and disposing of property, plant, and equipment are**
- operating activities.
  - investing activities.
  - financing activities.
  - liquidity activities.
- 8) In preparing a statement of cash flows, which of the following transactions would be considered an investing activity?**
- Sale of equipment at book value
  - Sale of merchandise on credit
  - Declaration of a cash dividend
  - Issuance of bonds payable at a discount
- 9) In a statement of cash flows, receipts from sales of property, plant, and equipment and other productive assets should generally be classified as cash inflows from**
- operating activities.
  - financing activities.
  - investing activities.
  - selling activities.
- 10) In a statement of cash flows, payments to acquire debt instruments of other entities (other than cash equivalents) should be classified as cash outflows for**
- operating activities.
  - investing activities.
  - financing activities.
  - lending activities.
- 11) Caroline, Inc. had the following transactions during 2015:**
- |                               |           |
|-------------------------------|-----------|
| Exchanged land for a building | \$764,000 |
| Purchased treasury shares     | 160,000   |
| Paid cash dividend            | 380,000   |
| Purchased equipment           | 212,000   |
| Issued ordinary shares        | 588,000   |
- What is Caroline, Inc.'s net cash provided (used) by investing activities?**
- \$212,000 used by investing activities.
  - \$552,000 provided by investing activities.
  - \$372,000 used by investing activities.
  - \$392,000 provided by investing activities.
- 12) Which of the following events will appear in the cash flows from financing activities section of the statement of cash flows?**
- Cash purchases of equipment.
  - Cash purchases of bonds issued by another company.
  - Cash received as repayment for funds loaned.
  - Cash purchase of treasury stock.
- 13) In preparing a statement of cash flows, sale of treasury stock at an amount greater than cost would be classified as a(n)**
- operating activity.
  - financing activity.
  - extraordinary activity.
  - investing activity.

- 14)** In a statement of cash flows, proceeds from issuing equity instruments should be classified as cash inflows from
- lending activities.
  - operating activities.
  - investing activities.
  - financing activities.

- 15)** Caroline, Inc. had the following transactions during 2015:

|                               |          |
|-------------------------------|----------|
| Exchanged land for a building | £764,000 |
| Purchased treasury shares     | 160,000  |
| Paid cash dividend            | 380,000  |
| Purchased equipment           | 212,000  |
| Issued ordinary shares        | 588,000  |

What is Caroline, Inc.'s net cash provided (used) by financing activities?

- £600,000 provided by financing activities.
  - £48,000 provided by financing activities.
  - £48,000 used by financing activities.
  - £428,000 used by financing activities.
- 16)** If ordinary shares were issued to acquire an CHF8,000 machine, how would the transaction appear on the statement of cash flows?
- It would depend on whether or not the direct method or the indirect method was used.
  - It would be a positive CHF8,000 in the financing section and a negative CHF8,000 in the investing section.
  - It would be a negative CHF8,000 in the financing section and a positive CHF8,000 in the investing section.
  - It would not appear on the statement of cash flows but rather in a cash flow note.
- 17)** Free cash flow is calculated as net cash provided by operating activities less
- capital expenditures.
  - dividends.
  - capital expenditures and dividends.
  - capital expenditures and depreciation.

- 18)** Packard Corporation reports the following information:

|                                           |           |
|-------------------------------------------|-----------|
| Net cash provided by operating activities | \$275,000 |
| Average current liabilities               | 150,000   |
| Average non-current liabilities           | 100,000   |
| Dividends paid                            | 60,000    |
| Capital expenditures                      | 110,000   |
| Payments of debt                          | 35,000    |

Packard's free cash flow is

- \$70,000.
- \$105,000.
- \$165,000.
- \$215,000.



- |   |   |   |   |   |   |   |   |   |    |    |    |    |    |    |    |    |    |
|---|---|---|---|---|---|---|---|---|----|----|----|----|----|----|----|----|----|
| 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 |
| d | a | c | a | c | c | b | a | c | b  | a  | d  | b  | d  | b  | d  | c  | b  |

# Solution Manual

4)

$$\text{OCF} = \text{NI} + \text{Dep.} + \text{Loss} - \text{Gain} \pm \triangle \text{CA (Inversely)} \pm \triangle \text{CL (Directly)}$$
$$= 200,000 + 6,000 - 12,000 + 4,000 = 198,000$$

5)

$$\text{OCF} = \text{NI} + \text{Dep.} + \text{Loss} - \text{Gain} \pm \triangle \text{CA (Inversely)} \pm \triangle \text{CL (Directly)}$$
$$= 1,000,000 + 280,000 - 120,000 = 1,160,000$$

6)

$$\text{OCF} = \text{NI} + \text{Dep.} + \text{Loss} - \text{Gain} \pm \triangle \text{CA (Inversely)} \pm \triangle \text{CL (Directly)}$$
$$= 750,000 + 210,000 - 90,000 = 870,000$$

15)

$$= -160,000 - 380,000 + 588,000 = 48,000$$

19)

$$\text{FCF} = \text{OCF} - \text{CapEx} - \text{Dividends} = 275,000 - 60,000 - 110,000 = 105,000$$

# Chapter (4): Conceptual Framework

## What is the conceptual framework?

The conceptual framework is a set of fundamental principles and guidelines that serve as a foundation for financial accounting and reporting.

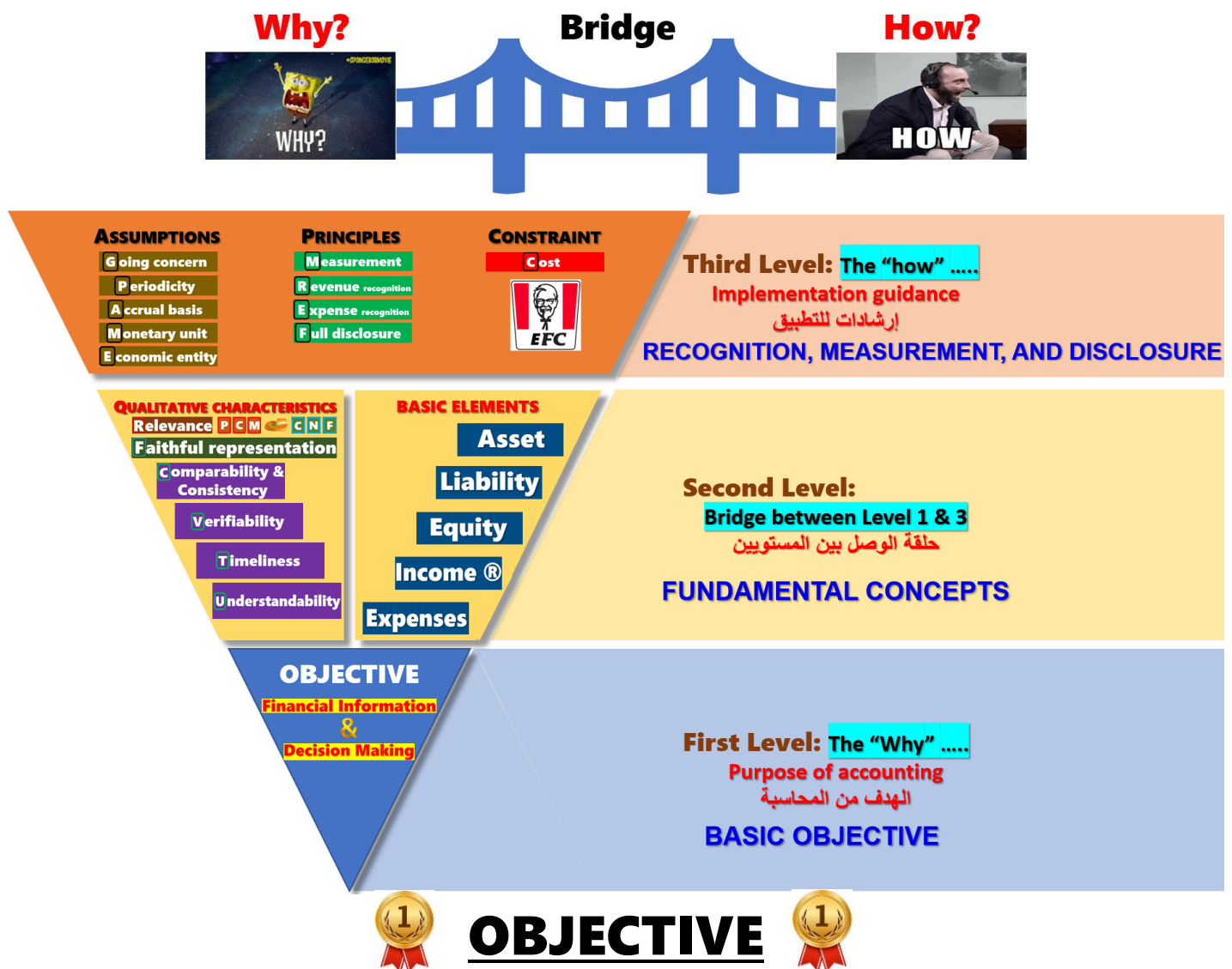
## Why we need it?

It provides a coherent and consistent structure for preparing and presenting financial statements, and it helps standard-setters, accountants, and other stakeholders make informed decisions about accounting practices and financial reporting.

**Accounting rule-making that relies on a body of concepts will result in useful and consistent pronouncements.**

## What are its components?

It consists of 3 levels:



To provide **financial information** about the reporting entity that is useful to present and potential equity investors, lenders, and other creditors in **making decisions** about providing resources to the entity.

**Financial Information**

**&**

**Decision Making**



# Users

Internal  
External

- 1 Present & Potential Investors (Capital providers)
- 2 Creditors (lenders) & Suppliers (vendors)
- 3 Financial advisors, analysts & stockbrokers
- 4 Stock markets or exchange
- 5 Regulatory authorities
- 6 Employees
- 7 Management



## GENERAL-PURPOSE FINANCIAL STATEMENTS

We assume that users have reasonable knowledge of business and financial accounting matters to understand the information



## FUNDAMENTAL CONCEPTS

## QUALITATIVE CHARACTERISTICS



Which distinguishes better (more useful) information from inferior (less useful) information for decision-making purposes.



## Relevance

To be relevant, accounting information must be capable of making a difference in a decision.

### Predictive value

To predict Expectations

### Confirmatory

To confirm Expectations

### Materiality

Omitting it is problem

## Faithful representation

Numbers and descriptions match what really existed or happened.

### Completeness

Provide all necessary information

### Neutrality

Don't bias to user over another

### Free of errors

To be more accurate in presentation

### Comparability & Consistency

Comparability: All companies in the same industry apply same methods.  
Consistency: the company apply same methods over time.

### Verifiability

Verifiability occurs when independent measurers, using the same methods, obtain similar results. (General consensus)

### Timeliness

Timeliness means having information available to users before it loses its capacity to influence decisions.

### Understandability

Understandability is the quality of information that lets reasonably informed users see its significance.



## FUNDAMENTAL CONCEPTS

## BASIC ELEMENTS



## Asset

A resource owned by the business and give the business future benefits.

## Liability

Debts or obligations must be settled in the future.

## Equity

The residual interest in the assets of the entity after deducting all its liabilities.

## Income ®

Increase in assets or decrease in liabilities (or both) which lead to increase in equity.

## Expenses

Decrease in assets or increase in liabilities (or both) which lead to decrease in equity.





# RECOGNITION, MEASUREMENT, AND DISCLOSURE



## ASSUMPTIONS

- Going concern** company to last long enough to fulfill objectives and commitments.
- Periodicity** company can divide its economic activities into time periods.
- Accrual basis** Transactions are recorded in the periods in which the events occur.
- Monetary unit** Money is the common denominator.
- Economic entity** company keeps its activity separate from its owners and other business unit.

## PRINCIPLES

- Measurement** Use **historical cost** in general & in some cases we can use **fair value** under specific conditions.
  - Revenue recognition** We recognize revenue when satisfying performance obligation whether it was collected or not
  - Expense recognition** We recognize expense when it is incurred whether it was paid or not. "Let the expense follow the revenues" (**matching**)
  - Full disclosure** Providing information that is of sufficient importance to influence the judgment and decisions of an informed user.
- Financial Statements**    **Notes**    **Supplementary information**

## CONSTRAINT

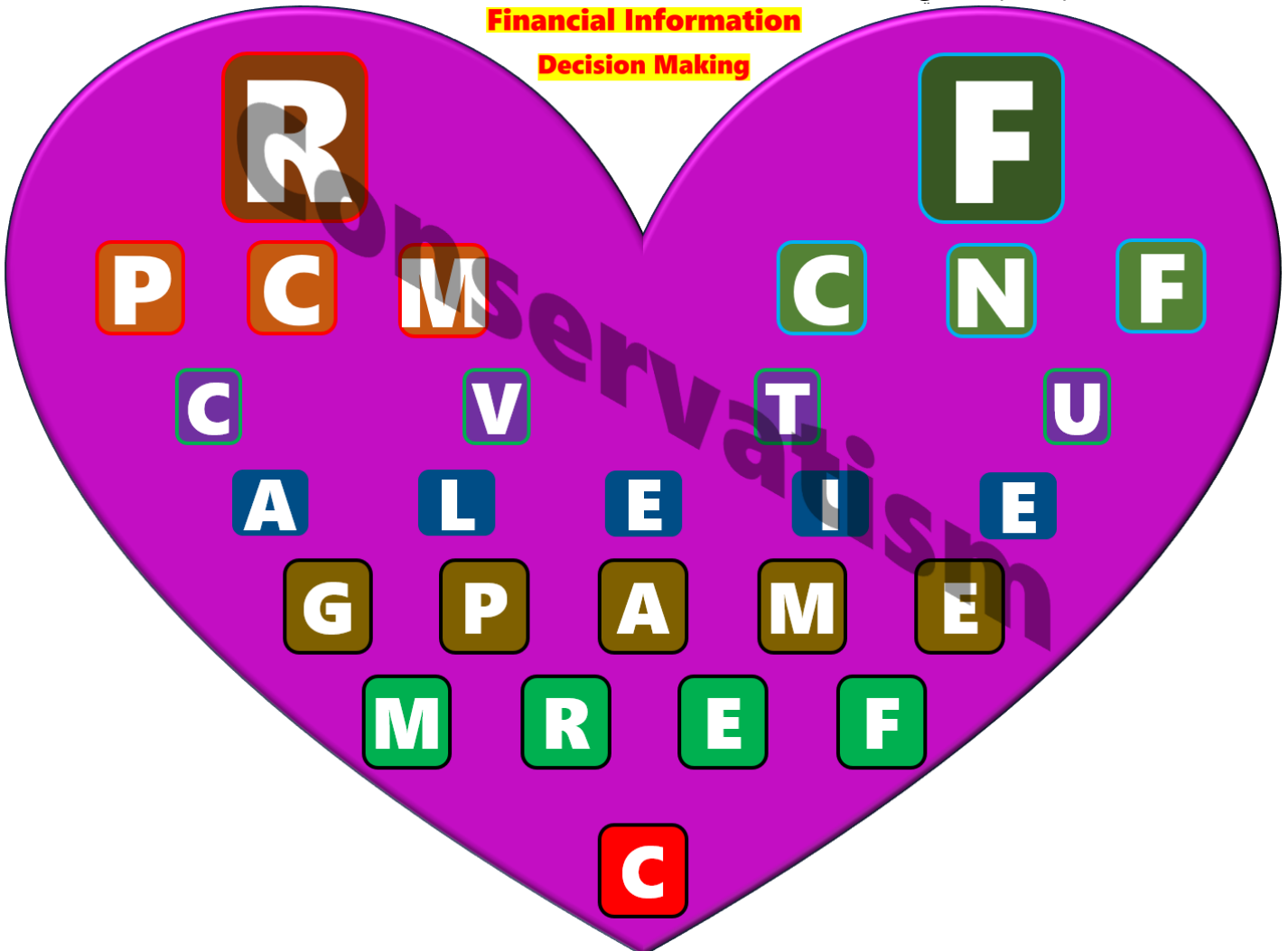
### Cost

Companies must weigh the costs of providing the information against the benefits that can be derived from using it.

يبقى كده حضرتك اتعلمت إن في 27 حاجة لازم تبقى عارفهم علشان تحقق الهدف بتاعك (اللي هو حاجتين مع بعض) وانت قلبك خفيف (جبان) كما يلي:

### Financial Information

### Decision Making



يبقى احنا عندنا محاسب اسمه ALEIE عايز يبقى شاطر، قولنا له روح خدك حته كنافه من ال RF قالنا PCM ال CNF قولنا له رخيصه ماتقلقش بس دي هاتخلي ال CV بتاعك TU جامد، فهو كله همه انه يعلي تقديره فراح سألنا هي الكنافه دي هاتعلي ال GPA بتاعي ME ولا أخليني مع MR! EFC أحسنلي.



## Example (1)

The qualitative characteristics that make accounting information useful for decision-making purposes are as follows.

|                         |              |                   |
|-------------------------|--------------|-------------------|
| Relevance               | Neutrality   | Verifiability     |
| Faithful representation | Completeness | Understandability |
| Predictive value        | Timeliness   | Comparability     |
| Confirmatory value      | Materiality  | Free from error   |

### Instructions

Identify the appropriate qualitative characteristic(s) to be used given the information provided below.

- Qualitative characteristic being displayed when companies in the same industry are using the same accounting principles.
- Quality of information that confirms users' earlier expectations.
- Imperative for providing comparisons of a company from period to period.
- Ignores the economic consequences of a standard or rule.
- Requires a high degree of consensus among individuals on a given measurement.
- Predictive value is an ingredient of this fundamental quality of information.
- Four qualitative characteristics that enhance both relevance and faithful representation.
- An item is not reported because its effect on income would not change a decision.
- Neutrality is a key ingredient of this fundamental quality of accounting information.
- Two fundamental qualities that make accounting information useful for decision-making purposes.
- Issuance of interim reports is an example of what enhancing ingredient?

### Solution

|   |                                                                |
|---|----------------------------------------------------------------|
| a | Comparability                                                  |
| b | Confirmatory value                                             |
| c | Comparability                                                  |
| d | Neutrality                                                     |
| e | Verifiability                                                  |
| f | Relevance                                                      |
| g | Comparability – Verifiability – Timeliness - Understandability |
| h | Materiality                                                    |
| i | Faithful representation                                        |
| j | Relevance - Faithful representation                            |
| k | Timeliness                                                     |



## Example (2)

The Conceptual Framework identifies the qualitative characteristics that make accounting information useful. Presented below are a number of questions related to these qualitative characteristics and underlying constraint.

- a) What is the quality of information that enables users to confirm or correct prior expectations?
- b) Identify the overall or pervasive constraint developed in the Conceptual Framework.
- c) A noted accountant once remarked, "If it becomes accepted or expected that accounting principles are determined or modified in order to secure purposes other than economic measurement, we assume a grave risk that confidence in the credibility of our financial information system will be undermined." Which qualitative characteristic of accounting information should ensure that such a situation will not occur? (Do not use faithful representation.)
- d) Muruyama Group switches from FIFO to average-cost and then back to FIFO over a 2-year period. Which qualitative characteristic of accounting information is not followed?
- e) Assume that the profession permits the savings and loan industry to defer losses on investments it sells, because immediate recognition of the loss may have adverse economic consequences on the industry. Which qualitative characteristic of accounting information is not followed? (Do not use relevance or faithful representation.)
- f) What are the two fundamental qualities that make accounting information useful for decision-making?
- g) Watteau Inc. does not issue its first-quarter report until after the second quarter's results are reported. Which qualitative characteristic of accounting is not followed? (Do not use relevance.)
- h) Predictive value is an ingredient of which of the two fundamental qualities that make accounting information useful for decision-making purposes?
- i) Duggan, Inc. is the only company in its industry to depreciate its plant assets on a straight-line basis. Which qualitative characteristic of accounting information may not be present?
- j) Nadal Company has attempted to determine the replacement cost of its inventory. Three different appraisers arrive at substantially different amounts for this value. The president, nevertheless, decides to report the middle value for external reporting purposes. Which qualitative characteristic of information is lacking in these data? (Do not use reliability or representational faithfulness.)

### Solution

|   |                                     |
|---|-------------------------------------|
| a | Confirmatory Value.                 |
| b | Cost Constraint.                    |
| c | Neutrality.                         |
| d | Consistency                         |
| e | Neutrality.                         |
| f | Relevance - Faithful representation |
| g | Timeliness.                         |
| h | Relevance.                          |
| i | Comparability.                      |
| j | Verifiability.                      |



### Example (3)

Presented below are the assumptions, principles, and constraint used in this chapter.

- |                               |                                  |                                   |
|-------------------------------|----------------------------------|-----------------------------------|
| 1. Economic entity assumption | 5. Accrual-basis assumption      | 9. Full disclosure principle      |
| 2. Going concern assumption   | 6. Historical cost principle     | 10. Revenue recognition principle |
| 3. Monetary unit assumption   | 7. Fair value principle          | 11. Cost constraint               |
| 4. Periodicity assumption     | 8. Expense recognition principle |                                   |

#### Instructions

Identify by number the accounting assumption, principle, or constraint that describes each situation below. Do not use a number more than once.

- Allocates expenses to revenues in the proper period.
- Indicates that fair value changes subsequent to purchase are not recorded in the accounts. (Do not use revenue recognition principle.)
- Ensures that all relevant financial information is reported.
- Rationale why plant assets are not reported at liquidation value. (Do not use historical cost principle.)
- Generally records revenue at the point of sale.
- Indicates that personal and business record keeping should be separately maintained.
- Separates financial information into time periods for reporting purposes.
- Permits the use of fair value valuation in certain situations.
- Assumes that the yen is the "measuring stick" used to report on financial performance of a Japanese company.

**Solution**

| a | b | c | d | e  | f | g | h | i |
|---|---|---|---|----|---|---|---|---|
| 8 | 6 | 9 | 2 | 10 | 1 | 4 | 7 | 3 |



### Example (4)

Presented below are a number of operational guidelines and practices that have developed over time.

#### Instructions

Select the assumption, principle, or constraint that most appropriately justifies these procedures and practices. (Do not use qualitative characteristics.)

- Fair value changes are not recognized in the accounting records.
- Accounts receivable are recorded for sales on account rather than waiting until cash is received.
- Financial information is presented so that investors will not be misled.
- Intangible assets are capitalized and amortized over periods benefited.
- Brokerage companies use fair value for purposes of valuing financial securities.
- Each enterprise is kept as a unit distinct from its owner or owners.
- All significant post-statement of financial position events are reported.
- Revenue is recorded at point of sale.
- All important aspects of bond indentures are presented in financial statements.
- Rationale for accrual accounting.
- The use of consolidated statements is justified.
- Reporting must be done at defined time intervals.
- An allowance for doubtful accounts is established.
- All payments out of petty cash are charged to Miscellaneous Expense.
- Goodwill is recorded only at time of purchase.
- Cash received and paid is not the basis used to recognize revenues and expenses.
- A company charges its sales commission costs to expense.

**Solution**

|   |                               |   |                                             |   |                               |
|---|-------------------------------|---|---------------------------------------------|---|-------------------------------|
| a | Historical cost principle     | g | Full disclosure principle                   | m | Expense recognition principle |
| b | Accrual-basis assumption      | h | Revenue recognition principle               | n | Cost constraint               |
| c | Full disclosure principle     | i | Full disclosure principle                   | o | Historical cost principle     |
| d | Expense recognition principle | j | Revenue and expense recognition principles. | p | Accrual-basis assumption      |
| e | Fair value principle          | k | Economic entity assumption                  | q | Expense recognition principle |
| f | Economic entity assumption    | l | Periodicity assumption                      |   |                               |



### Example (5)

Identify which basic assumption of accounting is best described in each item below.

- a) The economic activities of FedEx Corporation (USA) are divided into 12-month periods for the purpose of issuing annual reports.
- b) Total S.A. (FRA) does not adjust amounts in its financial statements for the effects of inflation.
- c) Barclays (GBR) reports current and non-current classifications in its statement of financial position.
- d) The economic activities of Tokai Rubber Industries (JPN) and its subsidiaries are merged for accounting and reporting purposes.

**Solution**

|   |                 |
|---|-----------------|
| a | Periodicity     |
| b | Monetary unit   |
| c | Going concern   |
| d | Economic entity |



### Example (6)

Identify which basic principle of accounting is best described in each item below.

- a) Parmalat (ITA) reports revenue in its income statement when it delivered goods instead of when the cash is collected.
- b) Google (USA) recognizes depreciation expense for a machine over the 2-year period during which that machine helps the company earn revenue.
- c) KC Corp. (USA) reports information about pending lawsuits in the notes to its financial statements.
- d) Fuji Film (JPN) reports land on its statement of financial position at the amount paid to acquire it, even though the estimated fair market value is greater.

**Solution**

|   |                     |
|---|---------------------|
| a | Revenue recognition |
| b | Expense recognition |
| c | Full disclosure     |
| d | Measurment          |



### Example (7)

Indicate whether the following statements about the Conceptual Framework are true or false. If false, provide a brief explanation supporting your position.

- a) Accounting rule-making that relies on a body of concepts will result in useful and consistent pronouncements.
- b) General-purpose financial reports are most useful to company insiders in making strategic business decisions.
- c) Accounting standards based on individual conceptual frameworks generally will result in consistent and comparable accounting reports.
- d) Capital providers are the only users who benefit from general-purpose financial reporting.
- e) Accounting reports should be developed so that users without knowledge of economics and business can become informed about the financial results of a company.
- f) The objective of financial reporting is the foundation from which the other aspects of the framework logically result.

#### Solution

|   |                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|---|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| a | True                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| b | <b>False.</b> General purpose financial reporting helps users who lack the ability to demand all the financial information they need from an entity and therefore must rely, at least partly, on the information provided in financial reports. Managers and company insiders generally do not meet these criteria.                                                                                                                                   |
| c | <b>False.</b> Accounting standards based on individual conceptual frameworks generally will not result in consistent and comparable accounting reports. Rather, standard-setting that is based on personal conceptual frameworks will lead to different conclusions about identical or similar issues than it did previously. As a result, standards will not be consistent with one another and past decisions may not be indicative of future ones. |
| d | <b>False.</b> The objective of general purpose financial reporting is to provide financial information about the reporting entity that is useful to present and potential equity investors, lenders, and other creditors in making decisions in their capacity as capital providers. However, that information may also be useful to other users of financial reporting who are not capital providers.                                                |
| e | <b>False.</b> An implicit assumption is that users need reasonable knowledge of business and financial accounting matters to understand the information contained in financial statements. This point is important. It means that financial statement preparers assume a level of competence on the part of users. This assumption impacts the way and the extent to which companies report information.                                              |
| f | True                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

# Chapter (5): Accounting for cash

## What is Cash?

Cash is a financial instrument which include all available cash whatever its place (in a safe, bank account or with special employee as a petty cash) without any restriction.

### Cash include

Cash on hand



Cash on bank



Petty cash



Checking account



### Cash Exclude

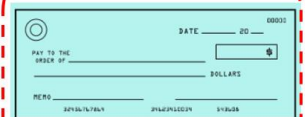
Certificate of deposit



Postdated check



I.O.U.s



I Owe You

Commercial paper

**Draft**

**Note**

**NR**

## Restricted Cash

Cash which is appropriated to specific reason.

It should be segregated from regular cash, and appear in:

**Current**

Tax Dividends

**Noncurrent**

Expansion pension  
Sinking bonds

## Cash Equivalent

Very high liquidity securities

**Trading**

Expect to sell them within 3 months  
Treasury bills, commercial paper, and money market funds.

## Cash Overdraft

Company writes a check for more than the amount in its cash account.

Assume that Mostafa company has 2 accounts in CIB bank, account (A) with \$500 normal balance, while account (B) with \$200 overdraft balance (abnormal balance).

How should the company disclose them.

Assume that Mostafa company has 2 accounts: account (A) – in CIB - with \$500 normal balance, while account (B) – in Ahly - with \$200 overdraft balance (abnormal balance).

How should the company disclose them.

We can offset the two accounts because they are in the same bank.

| current assets   |     |
|------------------|-----|
| Cash (500 – 200) | 300 |

We can't offset the two accounts because they are in different banks.

| current assets    |     |
|-------------------|-----|
| Cash              | 500 |
| current liability |     |
| Overdraft         | 200 |

**1. Consider the following: Cash in Bank – checking account of €13,500, Cash on hand of \$500, Post-dated checks received totaling €3,500, and Certificates of deposit totaling \$124,000. How much should be reported as cash in the statement of financial position?**

- a. € 13,500.
- b. € 14,000.
- c. € 17,500.
- d. €131,500.

**2. Kennison Company has cash in bank of \$10,000, restricted cash in a separate account of \$3,000, and a bank overdraft in an account at another bank of \$1,000. Kennison should report cash of**

- a. \$9,000.
- b. \$10,000.
- c. \$12,000.
- d. \$13,000.

**3. Lawrence Company has cash in bank of \$15,000, restricted cash in a separate account of \$4,000, and a bank overdraft in an account at another bank of \$2,000. Lawrence should report cash of**

- a. \$13,000.
- b. \$15,000.
- c. \$18,000.
- d. \$19,000.

**4. Kaniper Company has the following items at year-end:**

|                                            |         |
|--------------------------------------------|---------|
| Cash in bank                               | €20,000 |
| Petty cash                                 | 300     |
| Commercial paper with maturity of 2 months | 5,500   |
| Postdated checks                           | 1,400   |

**Kaniper should report cash and cash equivalents of**

- a. €20,000.
- b. €20,300.
- c. €25,800.
- d. €27,200.

**5. Steinert Company has the following items at year-end:**

|                                            |          |
|--------------------------------------------|----------|
| Cash in bank                               | \$30,000 |
| Petty cash                                 | 500      |
| Commercial paper with maturity of 2 months | 8,200    |
| Postdated checks                           | 2,100    |

**Steinert should report cash and cash equivalents of**

- a. \$30,000.
- b. \$30,500.
- c. \$38,700.
- d. \$40,800.

### Solution

- |   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
| b | b | b | c | c |

## Solution Manual

- 1)** Cash in Bank – checking account of €13,500 + Cash on hand of \$500 = 14,000
- 2)** Cash in Bank = 10,000
- 3)** Cash in Bank = 15,000
- 4)** Cash in Bank 20,000 + Petty cash 300 + Commercial paper 3,500 = 23,800
- 5)** Cash in Bank 30,000 + Petty cash 500 + Commercial paper 8,200 = 38,700



## Petty Cash

Petty cash is a small, fixed amount of physical money kept by organizations for minor and routine expenses. It is managed by a custodian (عم جابر), used for small purchases, and **replenished** periodically (يعوضوا) through a **reimbursement** process with proper record-keeping.

### 1) Establishing petty cash fund

|              |    |    |
|--------------|----|----|
| Petty Cash ↑ | XX |    |
| Cash ↓       |    | XX |

### 2) Replenishing

|               |    |         |
|---------------|----|---------|
| Expenses ↑    | A  | → Given |
| Short or over | XX | OR      |
| Short or over |    | XX      |
| Cash ↓        | B  |         |

$$\text{Cash paid} = \text{petty cash} - \text{remaining balance}$$

$$\text{Short or over} = \text{Expenses} - \text{Cash paid}$$

### 3) Change Petty cash balance

| Increase     |    |    | Decrease     |    |    |
|--------------|----|----|--------------|----|----|
| Petty Cash ↑ | XX |    | Cash ↑       | XX |    |
| Cash ↓       |    | XX | Petty Cash ↓ |    | XX |

**On May 1:** ABC Company established a petty cash fund on May 1, cashing a check for \$50. The company reimbursed the fund on June 1 and July 1 with the following results:

**June 1:** Actual cash remained (cash in fund) \$19. **Receipts:** delivery expense \$4; postage expense \$6; Travel expense \$7 and miscellaneous expense \$13 مصروفات متنوعة.

**July 1:** Actual cash remained (cash in fund) \$22. **Receipts:** delivery expense \$10; entertainment expense \$7; Travel expense \$5 and miscellaneous expense \$8.

**On July 10:** ABC increased the fund from \$50 to \$60.

### Solution

| 5 / 1                                                                                                         | 6 / 1        | 7 / 1                                                                              | 7 / 10                |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
|---------------------------------------------------------------------------------------------------------------|--------------|------------------------------------------------------------------------------------|-----------------------|--------|--|----|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---|--|---------------|---|--|--------------|---|--|-------------|----|--|---------------|---|--|--------|--|----|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----|--|--------------|---|--|--------------|---|--|-------------|---|--|--------|--|----|---------------|---|--|---------------------------------------------------------------------------------------------------------------|--------------|----|--|--------|--|----|
| Establishing petty cash fund                                                                                  | Replenishing | Replenishing                                                                       | Increasing Fund by 10 |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| <table><tr><td>Petty Cash ↑</td><td>50</td><td></td></tr><tr><td>Cash ↓</td><td></td><td>50</td></tr></table> | Petty Cash ↑ | 50                                                                                 |                       | Cash ↓ |  | 50 | <table><tr><td>Delivery ex. ↑</td><td>4</td><td></td></tr><tr><td>Postage ex. ↑</td><td>6</td><td></td></tr><tr><td>Travel ex. ↑</td><td>7</td><td></td></tr><tr><td>Misl. ex. ↑</td><td>13</td><td></td></tr><tr><td>Short or over</td><td>①</td><td></td></tr><tr><td>Cash ↓</td><td></td><td>31</td></tr></table> | Delivery ex. ↑ | 4 |  | Postage ex. ↑ | 6 |  | Travel ex. ↑ | 7 |  | Misl. ex. ↑ | 13 |  | Short or over | ① |  | Cash ↓ |  | 31 | <table><tr><td>Delivery ex. ↑</td><td>10</td><td></td></tr><tr><td>Enter. ex. ↑</td><td>7</td><td></td></tr><tr><td>Travel ex. ↑</td><td>5</td><td></td></tr><tr><td>Misl. ex. ↑</td><td>8</td><td></td></tr><tr><td>Cash ↓</td><td></td><td>28</td></tr><tr><td>Short or over</td><td>②</td><td></td></tr></table> | Delivery ex. ↑ | 10 |  | Enter. ex. ↑ | 7 |  | Travel ex. ↑ | 5 |  | Misl. ex. ↑ | 8 |  | Cash ↓ |  | 28 | Short or over | ② |  | <table><tr><td>Petty Cash ↑</td><td>10</td><td></td></tr><tr><td>Cash ↓</td><td></td><td>10</td></tr></table> | Petty Cash ↑ | 10 |  | Cash ↓ |  | 10 |
| Petty Cash ↑                                                                                                  | 50           |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Cash ↓                                                                                                        |              | 50                                                                                 |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Delivery ex. ↑                                                                                                | 4            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Postage ex. ↑                                                                                                 | 6            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Travel ex. ↑                                                                                                  | 7            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Misl. ex. ↑                                                                                                   | 13           |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Short or over                                                                                                 | ①            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Cash ↓                                                                                                        |              | 31                                                                                 |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Delivery ex. ↑                                                                                                | 10           |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Enter. ex. ↑                                                                                                  | 7            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Travel ex. ↑                                                                                                  | 5            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Misl. ex. ↑                                                                                                   | 8            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Cash ↓                                                                                                        |              | 28                                                                                 |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Short or over                                                                                                 | ②            |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Petty Cash ↑                                                                                                  | 10           |                                                                                    |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| Cash ↓                                                                                                        |              | 10                                                                                 |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |
| $\text{Cash paid} = \text{petty cash} - \text{remaining balance}$ $= 50 - 19 = 31$                            |              | $\text{Cash paid} = \text{petty cash} - \text{remaining balance}$ $= 50 - 22 = 28$ |                       |        |  |    |                                                                                                                                                                                                                                                                                                                      |                |   |  |               |   |  |              |   |  |             |    |  |               |   |  |        |  |    |                                                                                                                                                                                                                                                                                                                     |                |    |  |              |   |  |              |   |  |             |   |  |        |  |    |               |   |  |                                                                                                               |              |    |  |        |  |    |

a OR b OR c OR d

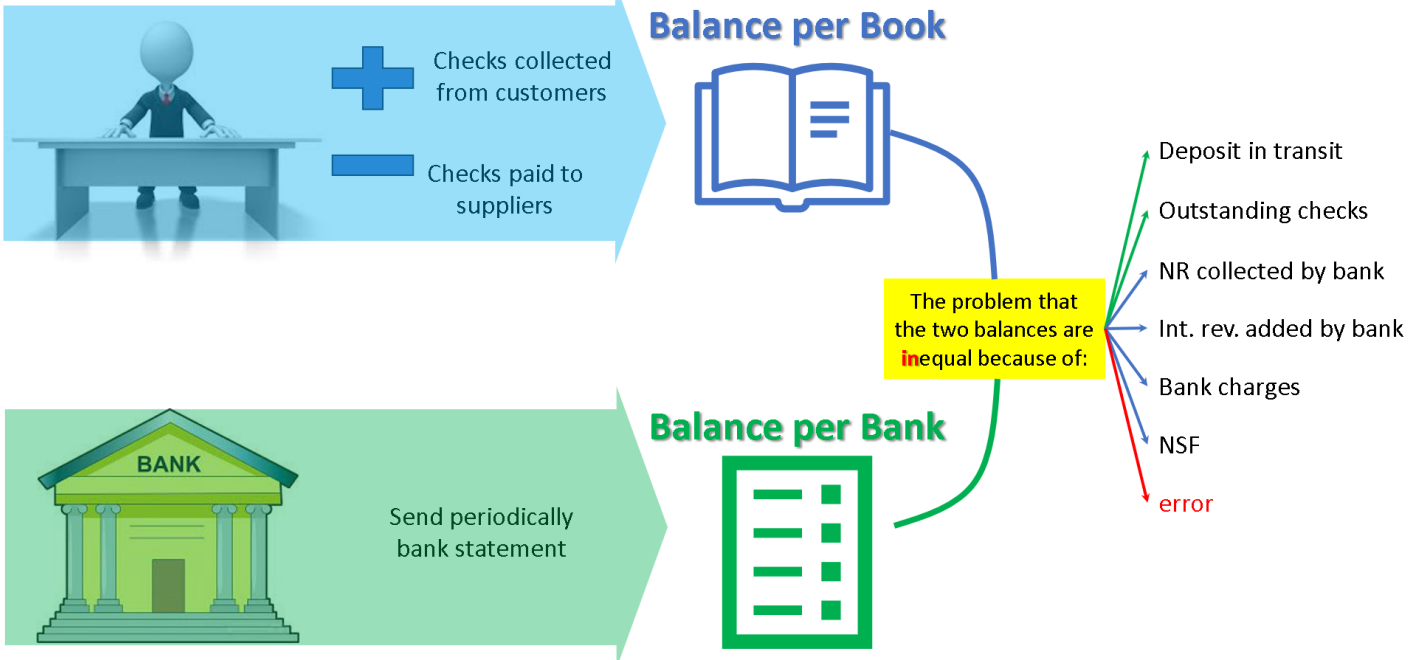
**6)** If a petty cash fund is established in the amount of \$250, and contains \$150 in cash and \$95 in receipts for disbursements when it is replenished, the journal entry to record replenishment should include credits to the following accounts

- Petty Cash, \$75.
- Petty Cash, \$100.
- Cash, \$95; Cash Over and Short, \$5.
- ✓ Cash, \$100.

$$\text{Cash paid} = \text{petty cash} - \text{remaining balance} = 250 - 150 = 100$$

## Bank reconciliation

All Companies have Bank account which deals through by checks.



## Bank reconciliation

|              | <b>Balance per Bank</b>                      |  | A    | <b>Balance per Book</b>                      |  | B    |
|--------------|----------------------------------------------|--|------|----------------------------------------------|--|------|
| <b>DNIR</b>  | +                                            |  |      | +                                            |  |      |
|              | Deposit in transit                           |  | XX   | NR collected by bank                         |  | XX   |
|              | <b>Bank error</b> That understated bank bal. |  | XX   | Int. rev. added by bank                      |  | XX   |
| <b>(OBN)</b> | -                                            |  |      | <b>Book error</b> That understated book bal. |  | XX   |
|              | Outstanding checks                           |  | (XX) | Bank charges                                 |  | (XX) |
|              | <b>Bank error</b> That overstated bank bal.  |  | (XX) | NSF                                          |  | (XX) |
|              |                                              |  |      | <b>Book error</b> That overstated book bal.  |  | (XX) |
|              | <b>Correct Balance</b>                       |  | C    | <b>Correct Balance</b>                       |  | C    |

## ERROR

If error is addition or reduction erroneously

+ understated  
 - overstated

الغلطان يصلح غلطه

If error is a transposition

✓ - ✗ = Dif.  
**SAME** Opposite  
 Collection Payment



## Example (I)

The information below relates to the Cash account in the ledger of Robertson Company.

- Balance September 1—\$17,150.
- Cash deposited—\$64,000.
- Checks written—\$63,746.

The September bank statement shows a balance of \$16,422 on September 30 and the following memoranda.

|                                               |         |
|-----------------------------------------------|---------|
| <b>Credits</b>                                |         |
| Collection of \$1,500 note plus interest \$30 | \$1,530 |
| Interest earned on checking account           | \$45    |
| <b>Debits</b>                                 |         |
| NSF check: J. E. Hoover                       | \$425   |
| Safety deposit box rent                       | \$65    |

At September 30, deposits in transit were \$4,450, and outstanding checks totaled \$2,383.

### Instructions

- (a) Prepare the bank reconciliation at September 30.
- (b) Prepare the adjusting entries at September 30, assuming (1) the NSF check was from a customer on account, and (2) no interest had been accrued on the note.

### Solution

$$\text{Balance per book on Sep. 30} = 17,150 + 64,000 - 63,746 = 17,404$$

### Bank reconciliation

|                         |         |                               |        |
|-------------------------|---------|-------------------------------|--------|
| <b>Balance per Bank</b> | 16,422  | <b>Balance per Book</b>       | 17,404 |
| <b>+</b>                |         | <b>+</b>                      |        |
| Deposit in transit      | 4,450   | NR collected by bank          | 1,500  |
|                         |         | Int. rev. added by bank       | 30     |
|                         |         | Int. rev. on checking account | 45     |
| <b>-</b>                |         | <b>-</b>                      |        |
| Outstanding checks      | (2,383) | Bank charges                  | (65)   |
|                         |         | NSF                           | (425)  |
| <b>Correct Balance</b>  | 18,489  | <b>Correct Balance</b>        | 18,489 |

### Entries in books:

#### Addition entry

|                     |       |       |
|---------------------|-------|-------|
| Cash ↑              | 1,575 |       |
| NR ↓                |       | 1,500 |
| Int. rev. on NR     |       | 30    |
| Int. rev. on checks |       | 45    |

#### Reduction entry

|                     |     |     |
|---------------------|-----|-----|
| Miscellaneous ex. ↑ | 65  |     |
| AR ↑                | 425 |     |
| Cash ↓              |     | 490 |



## Example (2)

On May 31, 2021, James Logan Company had a cash balance per books of \$6,800. The bank statement from Farmers State Bank on that date showed a balance of \$6,400. A comparison of the statement with the cash account revealed the following facts.

1. The statement included a debit memo of \$53 for the printing of additional company checks.
2. Cash sales of \$836 on May 12 were deposited in the bank. The cash receipts journal entry and the deposit slip were incorrectly made for \$886. The bank credited Logan Company for the correct amount.
3. Outstanding checks at May 31 totaled \$570. Deposits in transit were \$1,920.
4. On May 18, the company issued check No. 1181 for \$685 to Barry Trest, on account. The check, which cleared the bank in May, was incorrectly journalized and posted by Logan Company for \$658.
5. A \$2,500 note receivable was collected by the bank for Logan Company on May 31 plus \$80 interest. The bank charged a collection fee of \$20. No interest has been accrued on the note.
6. Included with the cancelled checks was a check issued by Bridgetown Company to Tom Lujak for \$800 that was incorrectly charged to Logan Company by the bank.
7. On May 31, the bank statement showed an NSF charge of \$680 for a check issued by Sandy Grifton, a customer, to Logan Company on account.

### Instructions

- (a) Prepare the bank reconciliation at May 31, 2021.
- (b) Prepare the necessary adjusting entries for Logan Company at May 31, 2021.

**Solution**

### Bank reconciliation

| Balance per Bank                      | 6,400        | Balance per Book                | 6,800        |
|---------------------------------------|--------------|---------------------------------|--------------|
| <b>+</b>                              |              | <b>+</b>                        |              |
| Deposit in transit                    | 1,920        | NR collected by bank            | 2,500        |
| Bank <b>error</b> understated balance | 800          | Int. rev. added by bank         | 80           |
| <b>-</b>                              |              | <b>-</b>                        |              |
| Outstanding checks                    | (570)        | Bank charges                    | (53)         |
|                                       |              | NSF                             | (680)        |
|                                       |              | <b>Error</b> in May 12 deposit. | (50)         |
|                                       |              | <b>Error</b> in May 18 payment. | (27)         |
|                                       |              | Bank charges – collection fee   | (20)         |
| <b>Correct Balance</b>                | <b>8,550</b> | <b>Correct Balance</b>          | <b>8,550</b> |

### Addition entry

|                   |       |       |
|-------------------|-------|-------|
| Cash ↑            | 2,580 |       |
| NR ↓              |       | 2,500 |
| Int. rev. on NR ↑ |       | 80    |

### Reduction entry

|                     |     |     |
|---------------------|-----|-----|
| Miscellaneous ex. ↑ | 53  |     |
| AR ↑                | 680 |     |
| Sales ↓             | 50  |     |
| AP ↓                | 27  |     |
| Collection fees ↑   | 20  |     |
| Cash ↓              |     | 830 |

For No. (2)

**✓** **-** **✗** **=** **Dif.**  
 836 **-** 886 **=** - 50  
 Collection Same in books

For No. (4)

**✓** **-** **✗** **=** **Dif.**  
 685 **-** 658 **=** + 27  
 payment Oppo. in books



### Example (3)

Nugget Mining Company's books show a cash balance at the Melbourne Bank on November 30, 2024, of \$20,502. The bank statement covering the month of November shows an ending balance of \$22,190. An examination of Nugget's accounting records and November bank statement identified the following reconciling items.

1. A deposit of \$3,680 that Nugget mailed November 30 does not appear on the bank statement.

2. Checks written in November but not charged to the November bank statement are:

|             |              |
|-------------|--------------|
| Check #7327 | \$150        |
| Check #7348 | \$4,820      |
| Check #7349 | \$31         |
|             | <u>5,001</u> |

3. Nugget has not yet recorded the \$600 of interest collected by the bank on November 20 on Sequoia Co. bonds held by the bank for Nugget.

4. Bank service charges of \$18 are not yet recorded on Nugget's books.

5. The bank returned one of Nugget's customer's checks for \$220 with the bank statement, marked "NSF." The bank deducted \$220 from Nugget's account.

6. Nugget discovered that it incorrectly recorded check #7322, written in November for \$131 in payment of an account payable, as \$311.

7. A check for Nugent Oil Co. in the amount of \$175 that the bank incorrectly charged to Nugget accompanied the statement.

#### Instructions

(a) Prepare the bank reconciliation at November 30, 2024.

(b) Prepare the necessary adjusting entries for Logan Company at November 30, 2024.

**Solution**

#### Bank reconciliation

| Balance per Bank                      | 22,190        | Balance per Book              | 20,502        |
|---------------------------------------|---------------|-------------------------------|---------------|
| <b>+</b>                              |               | <b>+</b>                      |               |
| Deposit in transit                    | 3,680         | NR collected by bank          | -             |
| Bank <b>error</b> understated balance | 175           | Int. rev. added by bank       | 600           |
|                                       |               | <b>Error</b> in payment check | 180           |
| <b>-</b>                              |               | <b>-</b>                      |               |
| Outstanding checks                    | (5,001)       | Bank charges                  | (18)          |
|                                       |               | NSF                           | (220)         |
| <b>Correct Balance</b>                | <b>21,044</b> | <b>Correct Balance</b>        | <b>21,044</b> |

#### Addition entry

|                   |     |     |
|-------------------|-----|-----|
| Cash ↑            | 780 |     |
| Int. rev. on NR ↑ |     | 600 |
| AP ↑              |     | 180 |

#### Reduction entry

|                     |     |     |
|---------------------|-----|-----|
| Miscellaneous ex. ↑ | 18  |     |
| AR ↑                | 220 |     |
| Cash ↓              |     | 238 |

For No. (6)



**✗**

**= Dif.**

131 — 311 — - 180

payment

Oppo. in books

7) If the month-end bank statement shows a balance of \$36,000, outstanding checks are \$12,000, a deposit of \$4,000 was in transit at month end, and a check for \$500 was erroneously charged by the bank against the account, the correct balance in the bank account at month end is

- a. \$27,500.                      b. \$28,500.                      c. \$20,500.                      d. \$43,500.

8) In preparing its bank reconciliation for the month of April 2024, Henke, Inc. has available the following information.

|                                                  |         |
|--------------------------------------------------|---------|
| Balance per bank statement, 4/30/2024            | €39,140 |
| NSF check returned with 4/30/2024 bank statement | 450     |
| Deposits in transit, 4/30/2024                   | 5,000   |
| Outstanding checks, 4/30/2024                    | 5,200   |
| Bank service charges for April                   | 20      |

What should be the correct balance of cash at April 30, 2015?

- a. €39,370                      b. €38,940                      c. €38,490                      d. €38,470

9) Finley, Inc.'s checkbook balance on December 31, 2024, was \$21,200. In addition, Finley held the following items in its safe on December 31.

(1) A check for \$450 from Peters, Inc. received December 30, 2024, which was not included in the checkbook balance.

(2) An NSF check from Garner Company in the amount of \$900 that had been deposited at the bank but was returned for lack of sufficient funds on December 29. The check was to be redeposited on January 3, 2025. The original deposit has been included in the December 31 checkbook balance.

(3) Coin and currency on hand amounted to \$1,450.

The proper amount to be reported on Finley's statement of financial position for cash at December 31, 2024 is

- a. \$21,300.                      b. \$20,400.                      c. \$22,200.                      d. \$21,750.

10) The cash account shows a balance of \$45,000 before reconciliation. The bank statement does not include a deposit of \$2,300 made on the last day of the month. The bank statement shows a collection by the bank of \$940 and a customer's check for \$320 was returned because it was NSF. A customer's check for \$450 was recorded on the books as \$540, and a check written for \$79 was recorded as \$97. The correct balance in the cash account was

- a. \$45,512.                      b. \$45,548.                      c. \$45,728.                      d. \$47,848.

11) In preparing its May 31, 2024 bank reconciliation, Catt Co. has the following information available:

|                                       |         |
|---------------------------------------|---------|
| Balance per bank statement, 5/31/2024 | €30,000 |
| Deposit in transit, 5/31/2024         | 5,400   |
| Outstanding checks, 5/31/2024         | 4,900   |
| Note collected by bank in May         | 1,250   |

The correct balance of cash at May 31, 2015 is

- a. €35,400.                      b. €29,250.                      c. €30,500.                      d. €31,750.

**Solution**

- 7      8      9      10      11  
b      b      c      b      c

## Solution Manual

7) Correct balance =  $36,000 - 12,000 + 4,000 + 500 = 28,500$

8) Correct balance =  $39,140 + 5,000 - 5,200 = 38,940$

9) Correct balance =  $21,200 + 450 - 900 + 1,450 = 22,200$

10)

error in collection =  $450 - 540 = -90$  (same)

error in payment =  $79 - 97 = -18$  (Oppo)

Correct balance =  $45,000 + 940 - 320 - 90 + 18 = 45,548$

11) Correct balance =  $30,000 + 5,400 - 4,900 = 30,500$

# Chapter (6): Accounting for receivables

## What is receivables?

### Receivables

Claims held against customers and others for **money, goods, or services**.

#### AR: Accounts Receivables

Oral promises of the purchaser to pay for goods and services sold.

#### NR: Notes Receivables

Written promises to pay a certain sum of money on a specified future date.

### We can classify receivables into:

#### Trading

Arise from dealing with main goods or services.

We aggregate all credit sales (services) in one account called:

#### AR

| current assets        |      |
|-----------------------|------|
| AR                    | 650  |
| (-) AFDA              | (50) |
|                       | 600  |
| Interest receivable   | 100  |
| Dividends receivable  | 100  |
| Advances to employees | 100  |
| Deposit for damages   | 100  |

| current assets          |      |
|-------------------------|------|
| AR                      | 650  |
| (-) AFDA                | (50) |
|                         | 600  |
| Non-trading receivables | 400  |

| current assets    |      |
|-------------------|------|
| AR                | 650  |
| (-) AFDA          | (50) |
|                   | 600  |
| Other receivables | 400  |

#### Non-Trading

Arise from dealing with any other items rather than main goods or services.

We disclose each one separately:

1. Interest receivable on investment in bonds.
2. Dividends receivable on investment in stocks.
3. Loans to officers, employees or subsidiaries.
4. Deposits paid to cover potential damages or losses.
5. Deposits paid as a guarantee of performance or payment.
6. Claims against: Insurance companies for casualties sustained; defendants under suit; governmental bodies for tax refunds; common carriers for damaged or lost goods; creditors for returned, damaged, or lost goods; customers for returnable items (crates, containers, etc.).

#### OR

We can aggregate them in one account called:

#### Non-Trading receivables

## What is the main cause of creating AR?

### Credit Sales

There are 2 issues related sales

#### Discounts

#### Returns

#### Trade Discounts

#### خصم تجاري

نتيجة عملية الفصال،  
وينستخدمه علشان نثبت أسعار  
الأصناف في الكاتالوج ونبقى ندي  
خصومات للزبائن المهمين وفقاً  
للكميات أو بمزاجنا.

وبيتخصص من الفاتورة وخلص  
ومايتعملوش اي entry.

#### Cash Discounts

#### خصم نقدي

2/10, n. 30 →

ده بقى بنعمله علشان نعجل  
الدفع، وليه طريقتين للتسجيل:

#### Gross

#### Net

دي الحاجات البايضة اللي رجعتلنا ثاني. ولو انت محاسب حويط  
المفروض إنك تقدر البلاء قبل وقوعه وتعمل Allowance بال  
Returns المتوقعة علشان لا تحصل بجد ماتتفاجاش وتلاقى  
Allowance يلحقك.

آخر ك ترفع خلال 30 يوم واي مبلغ هاتدفعه خلال 10 ايام هانخصمك منه 2%



# Discounts

Assume that on Jan. 1, Y1 Mostafa company sold merchandise goods with list price of \$25 (000 are omitted) to customer with trading discount 20% and credit terms 5/10, n. 30. Record this transaction under gross & net methods if customer paid amount due in full on: 1) Jan. 8 & 2) Jan. 15.

Net price (after deducting trading discount) =  $25 - (25 \times 20\%)$  or  $= 25 \times 80\% = 20$

## Gross

On Jan. 1 when selling goods

Gross sales = 20

|         |    |    |
|---------|----|----|
| AR ↑    | 20 |    |
| Sales ↑ |    | 20 |

When collecting on:

Jan. 8

(within discount period)

|                |    |    |
|----------------|----|----|
| Cash ↑         | 19 |    |
| Sales discount | 1  |    |
| AR ↓           |    | 20 |

Jan. 15

(after discount period)

|        |    |    |
|--------|----|----|
| Cash ↑ | 20 |    |
| AR ↓   |    | 20 |

## Net

On Jan. 1 when selling goods

Net sales =  $20 \times 95\% = 19$

|         |    |    |
|---------|----|----|
| AR ↑    | 19 |    |
| Sales ↑ |    | 19 |

When collecting on:

Jan. 8

(within discount period)

|        |    |    |
|--------|----|----|
| Cash ↑ | 19 |    |
| AR ↓   |    | 19 |

Jan. 15

(after discount period)

|                          |    |    |
|--------------------------|----|----|
| Cash ↑                   | 20 |    |
| AR ↓                     |    | 19 |
| Sales discount forfeited |    | 1  |



## Example (I)

On June 3, Bolton Company sold to Arquette Company merchandise having a sales price of £2,000 with terms of 2/10, n/60. An invoice totaling £90, terms n/30, was received by Arquette on June 8 from John Booth Transport Service for the freight cost. On June 12, the company received a check for the balance due from Arquette Company.

### Instructions

- Prepare journal entries on the Bolton Company books to record all the events noted above under each of the following bases.
  - Sales and receivables are entered at gross selling price.
  - Sales and receivables are entered at net of cash discounts.
- Prepare the journal entry under 2 bases, assuming that Arquette Company did not remit payment until July 29.

**Solution**

## Gross

On June 3, when selling goods

Gross sales = 2,000

|         |       |       |
|---------|-------|-------|
| AR ↑    | 2,000 |       |
| Sales ↑ |       | 2,000 |

When collecting on:

June 12

(within discount period)

|                |       |       |
|----------------|-------|-------|
| Cash ↑         | 1,960 |       |
| Sales discount | 40    |       |
| AR ↓           |       | 2,000 |

June 29

(after discount period)

|        |       |       |
|--------|-------|-------|
| Cash ↑ | 2,000 |       |
| AR ↓   |       | 2,000 |

## Net

On Jan. 1 when selling goods

Net sales =  $2,000 \times 98\% = 1,960$

|         |       |       |
|---------|-------|-------|
| AR ↑    | 1,960 |       |
| Sales ↑ |       | 1,960 |

When collecting on:

June 12

(within discount period)

|        |       |       |
|--------|-------|-------|
| Cash ↑ | 1,960 |       |
| AR ↓   |       | 1,960 |

June 29

(after discount period)

|                          |       |       |
|--------------------------|-------|-------|
| Cash ↑                   | 2,000 |       |
| AR ↓                     |       | 1,960 |
| Sales discount forfeited |       | 40    |



**1) AG Inc. made a €10,000 sale on account with the following terms: 1/15, n/30. If the company uses the net method to record sales made on credit, how much should be recorded as sales revenue?**

- a. €9,800
- b. €9,900
- c. €10,000
- d. €10,100

**2) AG Inc. made a €10,000 sale on account with the following terms: 1/15, n/30. If the company uses the gross method to record sales made on credit, what is/are the debit(s) in the journal entry to record the sale?**

- a. Debit Accounts Receivable for €9,900
- b. Debit Accounts Receivable for €9,900 and Sales Discounts for €100
- c. Debit Accounts Receivable for €10,000
- d. Debit Accounts Receivable for €10,000 and Sales Discounts for €100

**3) AG Inc. made a €10,000 sale on account with the following terms: 2/10, n/30. If the company uses the net method to record sales made on credit, what is/are the debit(s) in the journal entry to record the sale?**

- a. Debit Accounts Receivable for €9,800
- b. Debit Accounts Receivable for €9,800 and Sales Discounts for €200
- c. Debit Accounts Receivable for €10,000
- d. Debit Accounts Receivable for €10,000 and Sales Discounts for €200

**4) Rosalie Co. uses the gross method to record sales made on credit. On June 10, 2015, it made sales of \$100,000 with terms 2/10, n/30 to Finley Farms, Inc. On June 19, 2015, Rosalie received payment for 1/2 the amount due from Finley Farms. Rosalie's fiscal year ends on June 30, 2015. What amount will be reported in the statement of financial position for the accounts receivable due from Finley Farms, Inc.?**

- a. \$49,000
- b. \$50,000
- c. \$48,000
- d. \$51,000

**Solution**

- |   |   |   |   |
|---|---|---|---|
| 1 | 2 | 3 | 4 |
| b | c | a | b |

## Solution Manual

- 1) net sales =  $10,000 \times 99\% = 9,900$
- 3) net sales =  $10,000 \times 98\% = 9,800$
- 4)  $\frac{1}{2}$  Gross AR =  $100,000 \times 0.5 = 50,000$

# Again, the main cause of appearing AR is: Credit Sales

Assume Mostafa start new business on 1/1/Y1, during this year:

1- Company made credit sales of \$7,300 (000 are omitted).

2- Sales return was \$300.

3- Collection from customer was \$2,000.

Determine Accounts receivable balance after these transactions.

## selling goods for credit

|         |       |       |
|---------|-------|-------|
| AR ↑    | 7,300 |       |
| Sales ↑ |       | 7,300 |

## Sales return

|                |     |     |
|----------------|-----|-----|
| Sales return ↑ | 300 |     |
| AR ↓           |     | 300 |

## Collection

|        |       |       |
|--------|-------|-------|
| Cash ↑ | 2,000 |       |
| AR ↓   |       | 2,000 |

$$E \text{ AR} = B \text{ AR} + \text{Net Credit Sales} - \text{Collection}$$

$$= 0 + (7,300 - 300) - 2,000$$

$$= 0 + 7,000 - 2,000 = 5,000$$

**cause**

Appear in Income statement

**effect**

Appear in Balance Sheet

## Net Credit Sales

**%NCS**

7,000

**cause**

Appear in Income statement

**Estimating bad debts based on:**

## E AR

5,000

**effect**

Appear in Balance Sheet

**%AR**

10% of net credit sales may be uncollectible.

$$\begin{aligned} \text{Bad debt expense} &= \text{Net Credit Sales} \times \% \\ &= 7,000 \times 10\% \\ &= 700 \end{aligned}$$

|                    |     |     |
|--------------------|-----|-----|
| Bad debt expense ↑ | 700 |     |
| AFDA ↑             |     | 700 |

## Balance Sheet

|                       |       |
|-----------------------|-------|
| <b>current assets</b> |       |
| AR                    | 5,000 |
| (-) AFDA              | (700) |
|                       | 4,300 |

10% of AR balance may be uncollectible.

$$\begin{aligned} 1) \text{ New AFDA} &= \text{AR} \times \% = 5,000 \times 10\% = 500 \\ 2) \text{ Bad debt expense} &= \text{New AFDA} - \text{Old AFDA} \\ &= 500 - 0 = 500 \end{aligned}$$

|                    |     |     |
|--------------------|-----|-----|
| Bad debt expense ↑ | 500 |     |
| AFDA ↑             |     | 500 |

## Balance Sheet

|                       |       |
|-----------------------|-------|
| <b>current assets</b> |       |
| AR                    | 5,000 |
| (-) AFDA              | (500) |
|                       | 4,500 |

**Net Realized Value**



## Writing off debts

### الديون المعدومة

دي الديون اللي مافيش أمل في تحصيلها خلاص والشك تحول ليقين.



In year 2 one of customers filed bankruptcy and the accountant decided to write off his debt \$300.

أشهر إفلاسه

|        |     |     |
|--------|-----|-----|
| AFDA ↓ | 300 |     |
| AR ↓   |     | 300 |

|        |     |     |
|--------|-----|-----|
| AFDA ↓ | 300 |     |
| AR ↓   |     | 300 |

#### Balance Sheet

| current assets |       | W. Off |       |
|----------------|-------|--------|-------|
| AR             | 5,000 | (300)  | 4,700 |
| (-) AFDA       | (700) | (300)  | (400) |
|                | 4,300 |        | 4,300 |

#### Balance Sheet

| current assets |       | W. Off |       |
|----------------|-------|--------|-------|
| AR             | 5,000 | (300)  | 4,700 |
| (-) AFDA       | (500) | (300)  | (200) |
|                | 4,500 |        | 4,500 |



## Debt Recovery

### الديون المبعونة

دي بقى ديون سبق إعدامها بس الزبون خيب ظننا وجاه يلحق



After writing off this debt, the customer paid \$200 of his due amount.

(1) إلغاء الإعدام (اصحي الدين الأول)

(2) التحصيل

|        |     |     |
|--------|-----|-----|
| AR ↑   | 200 |     |
| AFDA ↑ |     | 200 |

|        |     |     |
|--------|-----|-----|
| Cash ↑ | 200 |     |
| AR ↓   |     | 200 |

|        |     |     |
|--------|-----|-----|
| Cash ↑ | 200 |     |
| AFDA ↑ |     | 200 |

#### Balance Sheet

| current assets |       | W. Off |       | Rec. |       |
|----------------|-------|--------|-------|------|-------|
| AR             | 5,000 | (300)  | 4,700 | -    | 4,700 |
| (-) AFDA       | (700) | (300)  | (400) | 200  | (600) |
|                | 4,300 |        | 4,300 |      | 4,100 |
| Cash           |       |        |       |      | 200   |
|                |       |        |       |      | 4,300 |

#### Balance Sheet

| current assets |       | W. Off |       | Rec. |       |
|----------------|-------|--------|-------|------|-------|
| AR             | 5,000 | (300)  | 4,700 | -    | 4,700 |
| (-) AFDA       | (500) | (300)  | (200) | 200  | (400) |
|                | 4,500 |        | 4,500 |      | 4,300 |
| Cash           |       |        |       |      | 200   |
|                |       |        |       |      | 4,500 |

So, you can differentiate between 3 types of debts

## Doubtful



علشان انت محاسب حويط وبتحب تقدر إبلأ قبل وقوعه، بتقدر للدين اللي انت شاكت فيها من واقع خبرتك في الشركة بطريقة من نلين:

%NCS

Bad debt expense Net Credit Sales % 1) New AFDA AR % 2) Bad debt expense New AFDA Old AFDA

|                    |    |    |
|--------------------|----|----|
| Bad debt expense ↑ | xx |    |
| AFDA ↑             |    | xx |

## Writing offs



دي الديون اللي إتاخرت قوي وآنكسدا إتنا مش هانتقبضها (زي إن الزبون يشهر إفلاسه مثلاً) ولازم للي ياخذ قرار الإعدام ده يكون حد مسؤول وكبير علشان اللوظفين مايشغلواش.

|        |    |    |
|--------|----|----|
| AFDA ↓ | xx |    |
| AR ↓   |    | xx |

## Recovery



دي ديون كننا إعدامناها لكن ربنا ستر والزبون رجع يلحق الحمد لله.

|        |    |    |
|--------|----|----|
| Cash ↑ | xx |    |
| AFDA ↑ |    | xx |

## Ending balance of AR

## Ending balance of AFDA

E AR = B AR + Net Credit Sales - Collection - Write offs

E AFDA = B AFDA + Bad debt expense + Recovery - Write offs



## Example (2)

Sandel Company reports the following financial information before adjustments.

|                                 | Dr.      | Cr.     |
|---------------------------------|----------|---------|
| Accounts Receivable             | €160,000 |         |
| Allowance for Doubtful Accounts |          | €2,000  |
| Sales Revenue (all on credit)   |          | 800,000 |
| Sales Returns and Allowances    | 50,000   |         |

### Instructions

Prepare the journal entry to record bad debt expense assuming Sandel Company estimates bad debts at:

(a) 1% of net sales and (b) 5% of accounts receivable.

**Solution**

**1%**  
**%NCS**

$$\text{Bad debt expense} = \text{Net Credit Sales} \times \% \\ = (800,000 - 50,000) \times 1\% = 7,500$$

|                    |       |       |
|--------------------|-------|-------|
| Bad debt expense ↑ | 7,500 |       |
| AFDA ↑             |       | 7,500 |

**5%**  
**%AR**

$$\begin{aligned} 1) \text{ New AFDA} &= \text{AR} \times \% = 160,000 \times 5\% = 8,000 \\ 2) \text{ Bad debt expense} &= \text{New AFDA} - \text{Old AFDA} \\ &= 8,000 - 2,000 = 6,000 \end{aligned}$$

|                    |       |       |
|--------------------|-------|-------|
| Bad debt expense ↑ | 6,000 |       |
| AFDA ↑             |       | 6,000 |



## Example (3)

The trial balance before adjustment of Estefan Inc. shows the following balances.

|                                    | Dr.      | Cr.       |
|------------------------------------|----------|-----------|
| Accounts Receivable                | \$80,000 |           |
| Allowance for Doubtful Accounts    | 1,750    |           |
| Sales Revenue (net, all on credit) |          | \$580,000 |

### Instructions

Give the entry for estimated bad debts assuming that the allowance is to provide for doubtful accounts on the basis of (a) 4% of gross accounts receivable and (b) 1% of net sales.

**Solution**

**1%**  
**%NCS**

$$\text{Bad debt expense} = \text{Net Credit Sales} \times \% \\ = 580,000 \times 1\% = 5,800$$

|                    |       |       |
|--------------------|-------|-------|
| Bad debt expense ↑ | 5,800 |       |
| AFDA ↑             |       | 5,800 |

**4%**  
**%AR**

$$\begin{aligned} 1) \text{ New AFDA} &= \text{AR} \times \% = 80,000 \times 4\% = 3,200 \\ 2) \text{ Bad debt expense} &= \text{New AFDA} - \text{Old AFDA} \\ &= 3,200 - (-)1,750 = 4,950 \end{aligned}$$

|                    |       |       |
|--------------------|-------|-------|
| Bad debt expense ↑ | 4,950 |       |
| AFDA ↑             |       | 4,950 |

**Normal balance  
of AFDA is:**

**CREDIT**

**If it was debit**

**Use it with  
negative sign**

**5) Vivian, Inc had net sales in 2024 of €700,000. At December 31, 2024, before adjusting entries, the balances in selected accounts were: accounts receivable €125,000 debit, and allowance for doubtful accounts €1,200 credit. Vivian estimates that 2% of its net sales will prove to be uncollectable. What is the cash realizable value of the receivables reported on the statement of financial position at December 31, 2024?**

- a. €112,200
- b. €122,500
- c. €111,000
- d. €109,800

**6) Vivian, Inc had net sales in 2015 of €700,000. At December 31, 2015, before adjusting entries, the balances in selected accounts were: accounts receivable €125,000 debit, and allowance for doubtful accounts €1,200 debit. Vivian estimates that 2% of its net accounts receivable will prove to be uncollectable. What is the cash realizable value of the receivables reported on the statement of financial position at December 31, 2015?**

- a. €112,200
- b. €122,500
- c. €111,000
- d. €109,800

**7) Wellington Corp. has outstanding accounts receivable totaling €2.54 million as of December 31 and sales on credit during the year of €12.8 million. There is also a debit balance of €6,000 in the allowance for doubtful accounts. If the company estimates that 1% of its net credit sales will be uncollectible, what will be the balance in the allowance for doubtful accounts after the year-end adjustment to record bad debt expense?**

- a. € 25,400
- b. € 31,400
- c. €122,000
- d. €134,000

**8) Wellington Corp. has outstanding accounts receivable totaling €6.5 million as of December 31 and sales on credit during the year of €24 million. There is also a credit balance of €12,000 in the allowance for doubtful accounts. If the company estimates that 8% of its outstanding receivables will be uncollectible, what will be the amount of bad debt expense recognized for the year?**

- a. € 532,000
- b. € 520,000
- c. €1,920,000
- d. € 508,000

**9) Wellington Corp. has outstanding accounts receivable totaling €3 million as of December 31 and sales on credit during the year of €15 million. There is also a debit balance of €12,000 in the allowance for doubtful accounts. If the company estimates that 8% of its outstanding receivables will be uncollectible, what will be the balance in the allowance for doubtful accounts after the year-end adjustment to record bad debt expense?**

- a. €1,200,000
- b. € 228,000
- c. € 240,000
- d. € 252,000

**10)** At the close of its first year of operations, December 31, 2024, Ming Company had accounts receivable of \$540,000, after deducting the related allowance for doubtful accounts. During 2024, the company had charges to bad debt expense of \$90,000 and wrote off, as uncollectible, accounts receivable of \$40,000. What should the company report on its statement of financial position at December 31, 2024, as accounts receivable before the allowance for doubtful accounts?

- a. \$670,000
- b. \$590,000
- c. \$490,000
- d. \$440,000

**11)** Before year-end adjusting entries, Dunn Company's account balances at December 31, 2024, for accounts receivable and the related allowance for uncollectible accounts were \$600,000 and \$45,000, respectively. An aging of accounts receivable indicated that \$62,500 of the December 31 receivables are expected to be uncollectible. The cash realizable value of accounts receivable after adjustment is

- a. \$582,500.
- b. \$537,500.
- c. \$492,500.
- d. \$555,000.

**12)** During the year, Kiner Company made an entry to write off a €4,000 uncollectible account. Before this entry was made, the balance in accounts receivable was €50,000 and the balance in the allowance account was €4,500. The cash realizable value of accounts receivable after the write-off entry was

- a. €50,000.
- b. €49,500.
- c. €41,500.
- d. €45,500.

**13)** The following information is available for Murphy Company:

|                                                                  |         |
|------------------------------------------------------------------|---------|
| Allowance for doubtful accounts at December 31, 2023             | \$8,000 |
| Credit sales during 2024                                         | 400,000 |
| Accounts receivable deemed worthless and written off during 2024 | 9,000   |

As a result of a review and aging of accounts receivable in early January 2025, however, it has been determined that an allowance for doubtful accounts of \$5,500 is needed at December 31, 2024. What amount should Murphy record as "bad debt expense" for the year ended December 31, 2024?

- a. \$4,500
- b. \$5,500
- c. \$6,500
- d. \$13,500

**(14 - 15)** A trial balance before adjustments included the following:

|                                 | <u>Debit</u> | <u>Credit</u> |
|---------------------------------|--------------|---------------|
| Sales                           |              | €425,000      |
| Sales returns and allowance     | €14,000      |               |
| Accounts receivable             | 43,000       |               |
| Allowance for doubtful accounts |              | 760           |

**14)** If the estimate of uncollectibles is made by taking 2% of net sales, the amount of the adjustment is

- a. €6,700.
- b. €8,220.
- c. €8,500.
- d. €9,740.

**15)** If the estimate of uncollectibles is made by taking 10% of gross account receivables, the amount of the adjustment is

- a. €3,540.
- b. €4,300.
- c. €4,224.
- d. €5,060.

**16)** Lankton Company has the following account balances at year-end:

|                                 |          |
|---------------------------------|----------|
| Accounts receivable             | \$60,000 |
| Allowance for doubtful accounts | 3,600    |
| Sales discounts                 | 2,400    |

Lankton should report accounts receivable at a net amount of

- a. \$54,000.
- b. \$56,400.
- c. \$57,600.
- d. \$60,000.

**17)** Shelton Company has the following account balances at year-end:

|                                 |         |
|---------------------------------|---------|
| Accounts receivable             | €80,000 |
| Allowance for doubtful accounts | 4,800   |
| Sales discounts                 | 3,200   |

Shelton should report accounts receivable at a net amount of

- a. €72,000.
- b. €75,200.
- c. €76,800.
- d. €80,000.

**18)** Smithson Corporation had a 1/1/2024 balance in the Allowance for Doubtful Accounts of \$10,000. During 2024, it wrote off \$7,200 of accounts and collected \$2,100 on accounts previously written off. The balance in Accounts Receivable was \$200,000 at 1/1 and \$240,000 at 12/31. At 12/31/2024, Smithson estimates that 5% of accounts receivable will prove to be uncollectible. What is Bad Debt Expense for 2024?

- a. \$2,000
- b. \$7,100
- c. \$9,200
- d. \$12,000

**19)** Vasquez Corporation had a 1/1/2024 balance in the Allowance for Doubtful Accounts of \$20,000. During 2024, it wrote off \$14,400 of accounts and collected \$4,200 on accounts previously written off. The balance in Accounts Receivable was \$400,000 at 1/1 and \$480,000 at 12/31. At 12/31/2024, Vasquez estimates that 5% of accounts receivable will prove to be uncollectible. What is Bad Debt Expense for 2024?

- a. \$4,000
- b. \$14,200
- c. \$18,400
- d. \$24,000

**20)** Black Corporation had a 1/1/2024 balance in the Allowance for Doubtful Accounts of \$12,000. During 2024, it wrote off \$8,640 of accounts and collected \$2,520 on accounts previously written off. The balance in Accounts Receivable was \$240,000 at 1/1 and \$288,000 at 12/31. At 12/31/2024, Black estimates that 5% of accounts receivable will prove to be uncollectible. What should Black report as its Allowance for Doubtful Accounts at 12/31/2024?

- a. \$5,760
- b. \$5,880
- c. \$8,280
- d. \$14,400

**21)** McGlone Corporation had a 1/1/2024 balance in the Allowance for Doubtful Accounts of \$15,000. During 2024, it wrote off \$10,800 of accounts and collected \$3,150 on accounts previously written off. The balance in Accounts Receivable was \$300,000 at 1/1 and \$360,000 at 12/31. At 12/31/2024, McGlone estimates that 5% of accounts receivable will prove to be uncollectible. What should McGlone report as its Allowance for Doubtful Accounts at 12/31/2024?

- a. \$7,200
- b. \$7,350
- c. \$10,350
- d. \$18,000

**Solution**

5   6   7   8   9   10   11   12   13   14   15   16   17   18   19   20   21  
d b c d c b b d c b a b b b b d d

## Solution Manual

**5)** Bad debt expense = Net Credit Sales  $\times$  % = 700,000  $\times$  2% = 14,000

E AFDA = B AFDA + Bad debt expense + Recovery - Write offs = 1,200 + 14,000 = 15,200

NRV of AR = E AR - E AFDA = 125,000 - 15,200 = 109,800

**6)** 1) New AFDA = AR  $\times$  % = 125,000  $\times$  2% = 2,500 (also it is E AFDA)

NRV of AR = E AR - E AFDA = 125,000 - 2,500 = 122,500

**7)** Bad debt expense = Net Credit Sales  $\times$  % = 12,800,000  $\times$  1% = 128,000

E AFDA = B AFDA + Bad debt expense + Recovery - Write offs = (-) 6,000 + 128,000 = 122,000

**8)** 1) New AFDA = AR  $\times$  % = 6,500,000  $\times$  8% = 520,000

2) Bad debt expense = New AFDA - Old AFDA = 520,000 - 12,000 = 508,000

**9)** 1) New AFDA = AR  $\times$  % = 3,000,000  $\times$  8% = 240,000 (also it is E AFDA)

**10)** E AFDA = B AFDA + Bad debt expense + Recovery - Write offs = 0 + 90,000 - 40,000 = 50,000

540,000 = AR - 50,000

AR = 540,000 + 50,000 = 590,000

**11)** NRV of AR = 600,000 - 62,500 = 537,500



- 12)  $\text{NRV of AR} = 50,000 - 4,500 = 45,500$
- 13)  $\text{AFDA after writing off debts} = 8,000 - 9,000 = (-) 1,000 \text{ (Debit).}$
- 2)  $\text{Bad debt expense} = \text{New AFDA} - \text{Old AFDA} = 5,500 - (-) 1,000 = 6,500$
- 14)  $\text{Bad debt expense} = \text{Net Credit Sales} \times \% = (245,000 - 14,000) \times 2\% = 8,220$
- 15) 1)  $\text{New AFDA} = \text{AR} \times \% = 43,000 \times 10\% = 4,300$
- 2)  $\text{Bad debt expense} = \text{New AFDA} - \text{Old AFDA} = 4,300 - 760 = 3,540$
- 16)  $\text{NRV of AR} = 60,000 - 3,600 = 56,400$
- 17)  $\text{NRV of AR} = 80,000 - 4,800 = 75,200$
- 18)  $\text{Old AFDA} = 10,000 - 7,200 + 2,100 = 4,900$
- 1)  $\text{New AFDA} = \text{AR} \times \% = 240,000 \times 5\% = 12,000$
- 2)  $\text{Bad debt expense} = \text{New AFDA} - \text{Old AFDA} = 12,000 - 4,900 = 7,100$
- 19)  $\text{Old AFDA} = 20,000 - 14,400 + 4,200 = 9,800$
- 1)  $\text{New AFDA} = \text{AR} \times \% = 480,000 \times 5\% = 24,000$
- 2)  $\text{Bad debt expense} = \text{New AFDA} - \text{Old AFDA} = 24,000 - 9,800 = 14,200$
- 20) 1)  $\text{New AFDA} = \text{AR} \times \% = 288,000 \times 5\% = 14,400$
- 21) 1)  $\text{New AFDA} = \text{AR} \times \% = 360,000 \times 5\% = 18,000$

### Extra for petty cash

McMann, Inc. decided to establish a petty cash fund to help ensure internal control over its small cash expenditures. The following information is available for the month of April.

- On April 1, it established a petty cash fund in the amount of \$200.
- A summary of the petty cash expenditures made by the petty cash custodian as of April 10 is as follows.

|                                                |      |
|------------------------------------------------|------|
| Delivery charges paid on merchandise purchased | \$60 |
| Supplies purchased and used                    | 25   |
| Postage expense                                | 40   |
| I.O.U. from employees                          | 17   |
| Miscellaneous expense                          | 36   |

- The petty cash fund was replenished on April 10. The balance in the fund was \$12.
- The petty cash fund balance was increased \$100 to \$300 on April 20.

### Instructions

Prepare the journal entries to record transactions related to petty cash for the month of April.

| 4 / 1                                                                                                                                 | Solution<br>4 / 10  | 4 / 20                        |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
|---------------------------------------------------------------------------------------------------------------------------------------|---------------------|-------------------------------|--|--------|--|-----|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----|--|----------------|----|--|---------------|----|--|----------|----|--|-------------|----|--|----------------------|-------------|--|--------|--|-----|---------------------------------------------------------------------------------------------------------------------------------------|--------------|-----|--|--------|--|-----|
| <b>Establishing petty cash fund</b>                                                                                                   | <b>Replenishing</b> | <b>Increasing Fund by 100</b> |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| <table border="1"> <tr> <td>Petty Cash ↑</td> <td>200</td> <td></td> </tr> <tr> <td>Cash ↓</td> <td></td> <td>200</td> </tr> </table> | Petty Cash ↑        | 200                           |  | Cash ↓ |  | 200 | <table border="1"> <tr> <td>Delivery ex. ↑</td> <td>60</td> <td></td> </tr> <tr> <td>Supplies ex. ↑</td> <td>25</td> <td></td> </tr> <tr> <td>Postage ex. ↑</td> <td>40</td> <td></td> </tr> <tr> <td>I.O.U. ↑</td> <td>17</td> <td></td> </tr> <tr> <td>Misl. ex. ↑</td> <td>36</td> <td></td> </tr> <tr> <td><b>Short or over</b></td> <td><b>(10)</b></td> <td></td> </tr> <tr> <td>Cash ↓</td> <td></td> <td>188</td> </tr> </table> | Delivery ex. ↑ | 60 |  | Supplies ex. ↑ | 25 |  | Postage ex. ↑ | 40 |  | I.O.U. ↑ | 17 |  | Misl. ex. ↑ | 36 |  | <b>Short or over</b> | <b>(10)</b> |  | Cash ↓ |  | 188 | <table border="1"> <tr> <td>Petty Cash ↑</td> <td>100</td> <td></td> </tr> <tr> <td>Cash ↓</td> <td></td> <td>100</td> </tr> </table> | Petty Cash ↑ | 100 |  | Cash ↓ |  | 100 |
| Petty Cash ↑                                                                                                                          | 200                 |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Cash ↓                                                                                                                                |                     | 200                           |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Delivery ex. ↑                                                                                                                        | 60                  |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Supplies ex. ↑                                                                                                                        | 25                  |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Postage ex. ↑                                                                                                                         | 40                  |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| I.O.U. ↑                                                                                                                              | 17                  |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Misl. ex. ↑                                                                                                                           | 36                  |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| <b>Short or over</b>                                                                                                                  | <b>(10)</b>         |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Cash ↓                                                                                                                                |                     | 188                           |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Petty Cash ↑                                                                                                                          | 100                 |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| Cash ↓                                                                                                                                |                     | 100                           |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |
| <p><b>Cash paid = petty cash - remaining balance</b></p> <p><b>= 200 - 12 = 188</b></p>                                               |                     |                               |  |        |  |     |                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |    |  |                |    |  |               |    |  |          |    |  |             |    |  |                      |             |  |        |  |     |                                                                                                                                       |              |     |  |        |  |     |



## Extra for cash balance

Presented below are a number of independent situations.

1. Checking account balance \$925,000; certificate of deposit \$1,400,000; cash advance to subsidiary of \$980,000; utility deposit paid to gas company \$180.
2. Checking account balance \$500,000; an overdraft in special checking account at same bank as normal checking account of \$17,000; cash held in a bond sinking fund \$200,000; petty cash fund \$300; coins and currency on hand \$1,350.
3. Checking account balance \$590,000; postdated check from customer \$11,000; cash restricted due to maintaining compensating balance requirement of \$100,000; certified check from customer \$9,800; postage stamps on hand \$620.
4. Checking account balance at bank \$42,000; money market balance at mutual fund (has checking privileges) \$48,000; NSF check received from customer \$800.
5. Checking account balance \$700,000; cash restricted for future plant expansion \$500,000; short-term Treasury bills \$180,000; cash advance received from customer \$900 (not included in checking account balance); cash advance of \$7,000 to company executive, payable on demand; refundable deposit of \$26,000 paid to the government to guarantee performance on construction contract.

**Instructions:** For each individual situation, determine the amount that should be reported as cash. If the item(s) is not reported as cash, explain the rationale.



### Case (1):

Cash balance of \$925,000. Only the checking account balance should be reported as cash. The certificates of deposit of \$1,400,000 should be reported as a short-term investment, the cash advance to subsidiary of \$980,000 should be reported as a receivable, and the utility deposit of \$180 should be identified as a receivable from the gas company.

### Case (2):

|                          |           |
|--------------------------|-----------|
| Checking account balance | \$500,000 |
| Overdraft                | (17,000)  |
| Petty cash               | 300       |
| Coin and currency        | 1,350     |
| Cash balance             | 484,650   |

Cash held in a bond sinking fund is restricted. Assuming that the bonds are non-current, the restricted cash is also reported as non-current.

### Case (3):

|                               |           |
|-------------------------------|-----------|
| Checking account balance      | \$590,000 |
| Certified check from customer | 9,800     |
| Cash balance                  | 599,800   |

The postdated check of \$11,000 should be reported as receivable. Cash restricted due to compensating balance should be described in a note indicating the type of arrangement and amount. Postage stamps on hand are reported as part of supplies inventory or prepaid expenses.

### Case (4):

|                          |          |
|--------------------------|----------|
| Checking account balance | \$42,000 |
| Money market mutual fund | 48,000   |
| Cash balance             | 90,000   |

The NSF check received from customer should be reported as receivable.

### Case (5):

|                                     |           |
|-------------------------------------|-----------|
| Checking account balance            | \$700,000 |
| Cash advance received from customer | 900       |
| Cash balance                        | 700,900   |

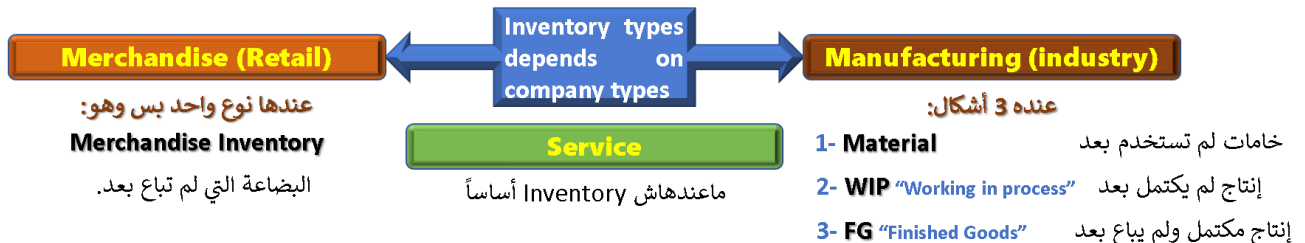
Cash restricted for future plant expansion of \$500,000 should be reported as a long-term investment. Short-term Treasury bills of \$180,000 should be reported as a short-term investment. Cash advance received from customer of \$900 should also be reported as a liability; cash advance of \$7,000 to company executive should be reported as a receivable; refundable deposit of \$26,000 paid to the government should be reported as a receivable.

# Chapter (7): Accounting for Inventories

## What is Inventory & why it is very important?

Inventory is goods and materials that a business holds for the purpose of production, manufacturing, and resale. It is a key asset for many companies.

inventory is important for accountants because it directly impacts a company's financial statements, profitability, tax liabilities, and overall financial health.



## وفي جميع الأحوال ماينفعش نلاقك حاطط تبع ال Inventory حاجه غير الي فوق دول

يعني ماتجيش تلاقي Equipment مثلاً شركتك استهلكتها بالكامل وخلص بقيت خردة والشركة راكناها على جنب فتقول دي تبع ال Inventory. لا طبعاً الكلام ده ماينفعش لأنها ولا هي بضاعة ولا إنتاج أو خامات هانستفيد منها.

### 1 Acquisition of Inventory

تطبيقاً لا Historical Cost Principle فال Inventory لازم يظهر بال Cost الي هي بتشمل:

#### Financial accountant cost:

**All costs incurred in bringing the inventories to their existing location and ready-to-use condition.**

وطبعاً الموضوع ها يختلف باختلاف طبيعة الشركة:

#### Merchandise (Retail)

دي بتشتري البضاعة جاهزة وبالتالي هنلاقي ضمن تكلفة المخزون:

|                                               |      |
|-----------------------------------------------|------|
| Purchase price (list price)                   | XX   |
| — Trading discount (rebates)                  | (XX) |
| Net Purchase price                            | XX   |
| — <b>RAD</b> (Return, Allowance and Discount) | (XX) |
| + Freight-in / insurance / tax                | XX   |
| Net Purchases                                 | XX   |
| + Handling cost                               | XX   |
| Purchases cost                                | XX   |

#### Manufacturing (Industry)

دي بتجيب الخامات علشان تحولها لمنتج تام، وهنا لازم نفرق ما بين:

#### Product cost

دي ال Cost الي هتدخل ضمن تكلفة المنتج الي ها يظهر ك inventory وعلشان كده ساعات بيسموها: **Inventoriable cost** ووفقاً لأستاذ حسام "المحاسب المالي" هنلاقي إن ال Product بيمتص **Absorb** كل التكاليف الصناعية **Manufacturing cost** سواء كانت variable أو Fixed.

#### Period Cost

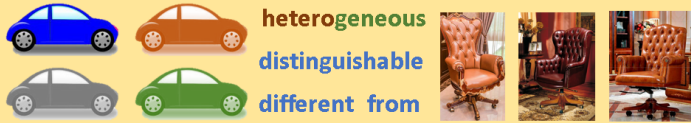
دي Cost بنصرفها بغض النظر عن ال Product الي إحنا بننتجه. ووفقاً لأستاذ حسام "المحاسب المالي" هنلاقي إن ال Period cost غالباً بتشمل المصاريف التشغيلية **Operating expenses** الي غالباً بتكون **Nonmanufacturing** وتعلق بالنشاط البيعي والإداري **Selling & Administrative**.

طبعاً الرقم ده مهم جداً إنك تحسبه كويس لأنه أول دخول لل Inventory في النظام المحاسبي الي ها يتحسب منه بعد كده 3 حاجات رئيسية:



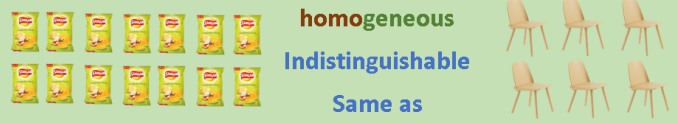
## 2 Recording System

### Perpetual System الجرد المستمر



أي عملية بتأثر في مخازن الشركة ويتم تسجيلها في الـ Inventory على طول، وبكده يقدر المحاسب يعرف في أي لحظة الـ Inventory اللي في الشركة بكام والـ COGS كمان.

### Periodic System الجرد الدوري



بيسجل كل عملية باسمها في حسابات مؤقتة، ورصيد الـ Inventory اللي بيبقى في الدفاتر ده بيكون الـ Beginning balance إلى أن يتم إجراء الجرد الفعلي الـ Physical count الـ Inventory ونعمل Closing entries نحدد من خلالها الـ COGS.

Entity A's January 1, Year 1, inventory consists of 10 units with a cost of \$5 per unit. The following are Entity A's Year 2 transactions:

April 1: Sold 6 inventory units for \$90 in cash.

|                |    |    |
|----------------|----|----|
| Cash ↑         | 90 |    |
| Sales ↑        |    | 90 |
| COGS ↑ (6 x 5) | 30 |    |
| Inventory ↓    |    | 30 |

May 1: Purchased 2 inventory units for \$5 in cash per unit.

|                     |    |    |
|---------------------|----|----|
| Inventory ↑ (2 x 5) | 10 |    |
| Cash ↓              |    | 10 |

April 1: Sold 6 inventory units for \$90 in cash.

|         |    |    |
|---------|----|----|
| Cash ↑  | 90 |    |
| Sales ↑ |    | 90 |

May 1: Purchased 2 inventory units for \$5 in cash per unit.

|                     |    |    |
|---------------------|----|----|
| Purchases ↑ (2 x 5) | 10 |    |
| Cash ↓              |    | 10 |

The year-end result of the physical count was 6 inventory units.

|                           |      |
|---------------------------|------|
| Beg. Inventory = 10 x 5 = | 50   |
| + Purchases               | 10   |
| (-) COGS                  | (30) |
| Ending Inventory          | 30   |

|        |                        |      |    |
|--------|------------------------|------|----|
| Output | E Inventory ↑ (6 x 5)  | 30   |    |
|        | COGS                   | (30) |    |
| Input  | B Inventory ↓ (10 x 5) |      | 50 |
|        | Purchases ↓            |      | 10 |

## 3 Period-end Physical Count

وده عبارة عن ان احنا نعمل لجنة تروح تعد البضاعة الموجودة في مخازن الشركة بالفعل كل فترة Intervals، وأوعى تفكر ان العملية دي مهمة في الـ Periodic system بس، لا دي مهمه جداً في الـ Perpetual system كمان، وبكده فاحنا بنعمل الـ Physical count ده في النظامين علشان:

### Perpetual System

1. Check the accuracy of inventory record
2. Determine amount of inventory lost, if any.

### Periodic System

1. Determine the amount of Ending Inventory
2. Determine the COGS

Assume that at the end of the reporting period, the perpetual inventory account reported an inventory balance of \$4,000. However, a physical count indicates inventory of \$3,800 is actually on hand. What is the entry to record the necessary write-down?

|                            |     |     |
|----------------------------|-----|-----|
| Short or over in inventory | 200 |     |
| Inventory ↓                |     | 200 |

## هل رقم الـ Inventory اللي بتعده لجنة الجرد هو اللي بيظهر في الـ Financial statements؟

مشكلتنا بقي أننا لما بنعد المخازن بنجيب رقم المخزون الموجود Counted Inventory في تاريخ الجرد، ولكن اللي المفروض يظهر في الـ financial statements هو المخزون المملوك للشركة Owned Inventory.

ويمكن اللي بيخلق المشكلة دي فروق التوقيت بين حدث البيع والشراء وحدث استلام او تسلم البضاعة، وبصفة عامة نقدر نميز بين أربع أنواع للبضاعة:

### Counted & NOT Owned

يعني مثلاً بيعنا بضاعة لزيون ولغاية يوم الجرد ماطلعش من المخازن علشان نسلّمهاله (يبقى دي لازم نخصمها من رقم الجرد)

### NOT Counted & Owned

يعني مثلاً اشترينا بضاعة والنقل كان مسؤوليتنا ولغاية يوم الجرد البضاعة ماوصلتش (يبقى دي لازم نضيفها على رقم الجرد)

### NOT Counted & NOT Owned

يعني بضاعة مش بتاعتنا ومش موجودة يوم الجرد وماعتش (مش محتاجه أي تعديل)

No effect

### Counted & Owned

يعني بضاعة بتاعتنا وموجوده يوم الجرد واتعدت فعلاً (مش محتاجه أي تعديل)

No effect

## The most popular problems in Physical count of inventory

### 1) Goods in Transit البضاعة بالطريق

ساعات البضاعة بنشرها أو نبيعها لجهات بعيدة (شركة مصرية تشتري من شركة صينية مثلاً) وشحن البضاعة بأخذ أيام كثير، خلال فترة الشحن دي يبقى في طرف هو المسؤول عن البضاعة legal title وببقى البضاعة في ذمته (ملكه يعني) وبيتحمل أي مخاطر قد تعرض لها البضاعة في الشحن، والطرف ده يحدد حسب شروط النقل اللي بتبقى واحد من التين:

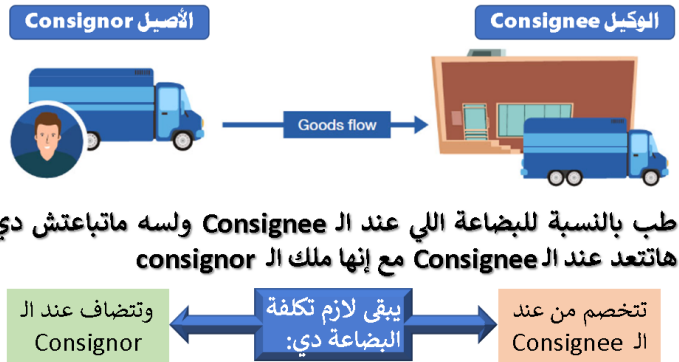


(FOB: Free On Board)

ودي معناها "على لسان ال Seller" إن :  
البضاعة خرجت عن مسؤوليتي في نقطة .....

### 2) Consignment goods بضاعة الأمانة

الشركات الكبيرة بتتوسع عن طريق أنها تفتح توكيلات في الدول المختلفة sales agencies، بس خد بالك التوكيل ده مش صاحب البضاعة ده مجرد فأتربنة بنعرض عنده البضاعة وبيبيعها مقابل عمولة. خد بالك إنك بتعامل هنا مع طرفين: صاحب البضاعة بنسميه "الأصيل" Consignor، بينما الطرف الثاني اللي ببيع البضاعة بعمولة بنسميه: "الوكيل" Consignee



### 3) Damaged goods بضاعة تالفة

دي طبعا لازم تختصم، بس خد بالك إن لازم اللي يقرر إن البضاعة دي تالفة ولا لا، مسؤول كبير علشان مانسيش الموضوع في إيد أمين المخازن Inventory clerk وفي الآخر نلاقه عمال يقول دي بضاعة بايظة وهو يكون بيأخذها وبيبيعها لحسابه بره.

### Example (1)

In your audit of Garza Company, you find that a physical inventory on December 31, 2023, showed merchandise with a cost of \$441,000 was on hand at that date. You also discover the following items were all excluded from the \$441,000.

- 1) Merchandise of \$61,000 which is held by Garza on consignment. The consignor is the Bontemps Company.
- 2) Merchandise costing \$33,000 which was shipped by Garza f.o.b. destination to a customer on December 31, 2023. The customer was expected to receive the merchandise on January 6, 2024.
- 3) Merchandise costing \$46,000 which was shipped by Garza f.o.b. shipping point to a customer on December 29, 2023. The customer was scheduled to receive the merchandise on January 2, 2024.
- 4) Merchandise costing \$73,000 shipped by a vendor f.o.b. destination on December 30, 2023, and received by Garza on January 4, 2024.
- 5) Merchandise costing \$51,000 shipped by a vendor f.o.b. shipping point on December 31, 2023, and received by Garza on January 5, 2024.

#### Instructions

Based on the above information, calculate the amount that should appear on Garza's statement of financial position at December 31, 2023, for inventory.

Solution

**Counted Inventory** on Dec. 31, 2023

441,000

- 1) Goods held in consignment (not counted & not owned)
- 2) Sales FOB Destination (not counted & owned)
- 3) Sales FOB shipping point (not counted & not owned)
- 4) Purchases FOB Destination (not counted & not owned)
- 5) Purchases FOB shipping point (not counted & owned)

-

33,000

-

-

51,000

**Owned Inventory** on Dec. 31, 2023

525,000



## Example (2)

Werth Company asks you to review its December 31, 2023, inventory values and prepare the necessary adjustments to the books. The following information is given to you.

- Werth uses the periodic method of recording inventory. A physical count reveals \$234,890 of inventory on hand at December 31, 2023.

1) Not included in the physical count of inventory is \$10,420 of merchandise purchased on December 15 from Brower. This merchandise was shipped f.o.b. shipping point on December 29 and arrived in January. The invoice arrived and was recorded on December 31.

2) Included in inventory is merchandise sold to Bubbey on December 30, f.o.b. destination. This merchandise was shipped after it was counted. The invoice was prepared and recorded as a sale on account for \$12,800 on December 31. The merchandise cost \$7,350, and Bubbey received it on January 3.

3) Included in inventory was merchandise received from Dudley on December 31 with an invoice price of \$15,630. The merchandise was shipped f.o.b. destination. The invoice, which has not yet arrived, has not been recorded.

4) Not included in inventory is \$8,540 of merchandise purchased from Minsky Industries. This merchandise was received on December 31 after the inventory had been counted. The invoice was received and recorded on December 30.

5) Included in inventory was \$10,438 of inventory held by Werth on consignment from Jackel Industries.

6) Included in inventory is merchandise sold to Sims f.o.b. shipping point. This merchandise was shipped after it was counted. The invoice was prepared and recorded as a sale for \$18,900 on December 31. The cost of this merchandise was \$11,520, and Sims received the merchandise on January 5.

7) Excluded from inventory was a carton labeled "Please accept for credit." This carton contains merchandise costing \$1,500 which had been sold to a customer for \$2,600. No entry had been made to the books to reflect the return, but none of the returned merchandise seemed damaged.

### Instructions

Determine the proper inventory balance for Werth Company at December 31, 2023.

**Solution**

**Counted**

**Inventory** on Dec. 31, 2023

234,890

1) Purchases FOB shipping point (not counted & owned)

10,420

2) Sales FOB Destination (counted & owned)

-

3) Purchases received & included (counted & owned)

-

4) Purchases received but not included (not counted & owned)

8,540

5) Goods held in consignment (counted & not owned)

(10,483)

6) Sales FOB shipping point (counted & not owned)

(11,520)

7) Sales return accepted (not counted & owned)

1,500

**Owned**

**Inventory** on Dec. 31, 2023

233,392



# Discounts

As in sales, we can record purchases by gross or net methods.

Assume that on Jan. 1, Y1 Mostafa company purchased merchandise goods with list price of \$25 (000 are omitted) from vendor with trading discount 20% and credit terms 5/10, n. 30. Record this transaction under gross & net methods if Mostafa paid amount due in full on: 1) Jan. 8 & 2) Jan. 15. assuming that Mostafa maintain periodic system.

Net price (after deducting trading discount) =  $25 - (25 \times 20\%)$  or  $= 25 \times 80\% = 20$

## Gross

On Jan. 1 when Purchasing goods

**Gross** purchases = 20

|             |    |    |
|-------------|----|----|
| Purchases ↑ | 20 |    |
| AP ↑        |    | 20 |

When Paying on:

**Jan. 8**

(within discount period)

|          |    |    |
|----------|----|----|
| AP ↓     | 20 |    |
| Cash ↓   |    | 19 |
| Pur. Dis |    | 1  |

**Jan. 15**

(after discount period)

|        |    |    |
|--------|----|----|
| AP ↓   | 20 |    |
| Cash ↓ |    | 20 |

## Net

On Jan. 1 when Purchasing goods

**Net** purchases =  $20 \times 95\% = 19$

|             |    |    |
|-------------|----|----|
| Purchases ↑ | 19 |    |
| AP ↑        |    | 19 |

When Paying on:

**Jan. 8**

(within discount period)

|        |    |    |
|--------|----|----|
| AP ↓   | 19 |    |
| Cash ↓ |    | 19 |

**Jan. 15**

(after discount period)

|                        |    |    |
|------------------------|----|----|
| AP ↓                   | 19 |    |
| Purchase discount lost |    | 1  |
| Cash ↓                 |    | 20 |



## Example (3)

Presented below are transactions related to Guillen, Inc.

- 1) May 10 Purchased goods billed at £20,000 subject to cash discount terms of 2/10, n/60.
- 2) May 11 Purchased goods billed at £15,000 subject to terms of 1/15, n/30.
- 3) May 19 Paid invoice of May 10.
- 4) May 24 Purchased goods billed at £11,500 subject to cash discount terms of 2/10, n/30.

### Instructions

- 1) Prepare general journal entries for the transactions above under the assumption that purchases are to be recorded at net amounts after cash discounts and that discounts lost are to be treated as financial expense.
- 2) Assuming no purchase or payment transactions other than those given above, prepare the adjusting entry required on May 31 if financial statements are to be prepared as of that date.

**Solution**

On May 10

|             |        |        |
|-------------|--------|--------|
| Purchases ↑ | 19,600 |        |
| AP ↑        |        | 19,600 |

$20,000 \times 98\%$

On May 11

|             |        |        |
|-------------|--------|--------|
| Purchases ↑ | 14,850 |        |
| AP ↑        |        | 14,850 |

$15,000 \times 99\%$

On May 19

|        |        |        |
|--------|--------|--------|
| AP ↓   | 19,600 |        |
| Cash ↓ |        | 19,600 |

On May 24

|             |        |        |
|-------------|--------|--------|
| Purchases ↑ | 11,270 |        |
| AP ↑        |        | 11,270 |

$11,500 \times 98\%$

On May 31

|                          |     |     |
|--------------------------|-----|-----|
| Purchase discount lost ↑ | 150 |     |
| AP ↑                     |     | 150 |

## Example (4)

Ohno Industries purchased ¥12,000 of merchandise on February 1, 2015, subject to a trade discount of 10% and with credit terms of 3/15, n/60. It returned ¥3,000 (gross price before trade or cash discount) on February 4. The invoice was paid on February 13. (All amounts in thousands.)

### Instructions

- 1) Assuming that Ohno uses the perpetual method for recording merchandise transactions, record the purchase, return, and payment using the gross method.
- 2) Assuming that Ohno uses the periodic method for recording merchandise transactions, record the purchase, return, and payment using the gross method.
- 3) At what amount would the purchase on February 1 be recorded if the net method were used?

**Solution**

### Under perpetual system

#### Purchases on Feb. 1

|             |        |        |
|-------------|--------|--------|
| Inventory ↑ | 10,800 |        |
| AP ↑        |        | 10,800 |

12,000 x 90%

#### Purchases return on Feb. 4

|             |       |       |
|-------------|-------|-------|
| AP ↓        | 2,700 |       |
| Inventory ↓ |       | 2,700 |

3,000 x 90%

#### Payment on Feb. 13

|             |       |       |
|-------------|-------|-------|
| AP ↓        | 8,100 |       |
| Inventory ↓ |       | 243   |
| Cash ↓      |       | 7,857 |

(10,800 - 2,700) x 3%

### Under periodic system

|             |        |        |
|-------------|--------|--------|
| Purchases ↑ | 10,800 |        |
| AP ↑        |        | 10,800 |

|             |       |       |
|-------------|-------|-------|
| AP ↓        | 2,700 |       |
| Pur. Return |       | 2,700 |

|           |       |       |
|-----------|-------|-------|
| AP ↓      | 8,100 |       |
| Pur. Dis. |       | 243   |
| Cash ↓    |       | 7,857 |

### Purchases amount under net method

|                                       |         |
|---------------------------------------|---------|
| List price                            | 12,000  |
| (-) trading discount = 12,000 x 10% = | (1,200) |
| Invoice price                         | 10,800  |
| (-) cash discount = 10,800 x 3% =     | (324)   |
| Net purchases                         | 10,476  |

### 4 Cost flow methods

المشكلة التي خلطنا نختار الطرق دي، هي اختلاف أسعار الشراء، يعني تخيل معايا الحالة الوهمية التي جاية دي:

Entity A's Year 1 Selling its product @ \$20 per unit, the following are its activities during January:

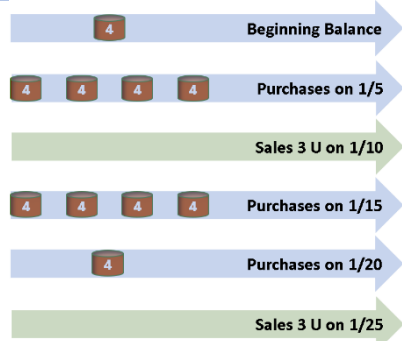
- 1- Beginning balance of inventory on 1/1 was 1 unit @ \$4 per unit.
- 2- On 1/5 Entity A purchased 4 units @ \$4 per unit.
- 3- On 1/10 Entity A sold 3 units.
- 4- On 1/15 Entity A purchased 4 units @ \$4 per unit.
- 5- On 1/20 Entity A purchased 1 unit @ \$4 per unit.
- 6- On 1/25 Entity A sold 3 units.

**Required:** For the period ended on January 31, calculate the following:

#### 1- COGS

#### 2- Cost of Ending Inventory

#### 3- Gross Profit



هنا هتلاحظ ان كل عمليات الشراء كانت بنفس السعر، وبالتالي مايفيش أي مشاكل خالص:

### Periodic system

هنا تاريخ المملية مايفرقش معايا في حاجه لأنك كده كده بتعد المخازن في الآخر فقط، وعلشان كده بنشتغل بإجماليات كما يلي:

|               | U   | \$/U | Cost   |
|---------------|-----|------|--------|
| Beg.          | 1   | x 4  | = 4    |
| + Purchases   | 9   | x 4  | = 36   |
| COG Available | 10  | x 4  | = 40   |
| (-) COGS      | (6) | x 4  | = (24) |
| End.          | 4   | x 4  | = 16   |

|                                             |      |
|---------------------------------------------|------|
| 1- COGS = 6 x 4 = 24 (or 40 - 16)           |      |
| 2- End. Inventory = 4 x 4 = 16 (or 40 - 24) |      |
| 3- Gross Profit:                            |      |
| Sales (6 units x \$20 /U)                   | 120  |
| (-) COGS                                    | (24) |
| GP                                          | 96   |



## What will happen when the purchasing prices are changed?

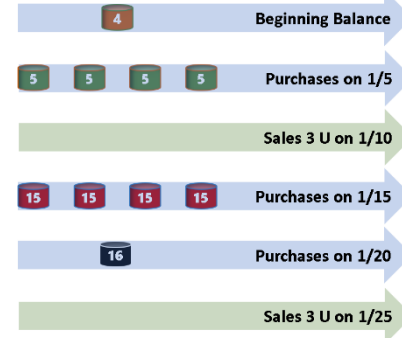
Entity A's Year 1 Selling its product @ \$20 per unit, the following are its activities during January:

- 1- Beginning balance of inventory on 1/1 was 1 unit @ \$4 per unit.
- 2- On 1/5 Entity A purchased 4 units @ \$5 per unit.
- 3- On 1/10 Entity A sold 3 units.
- 4- On 1/15 Entity A purchased 4 units @ \$15 per unit.
- 5- On 1/20 Entity A purchased 1 unit @ \$16 per unit.
- 6- On 1/25 Entity A sold 3 units.

**Required:**

For the period ended on January 31, calculate the following:

- 1- Cost of Ending Inventory
- 2- COGS
- 3- Gross Profit



|                     | U   |   | \$/U | = | Cost |
|---------------------|-----|---|------|---|------|
| Beg.                | 1   | x | 4    | = | 4    |
| <b>+ Purchases:</b> |     |   |      |   |      |
| 1/5                 | 4   | x | 5    | = | 20   |
| 1/15                | 4   | x | 15   | = | 60   |
| 1/25                | 1   | x | 16   | = | 16   |
| COG Available       | 10  | x | ?    | = | 100  |
| (-) COGS            | (6) | x | ?    | = | (?)  |
| End.                | 4   | x | ?    | = | ?    |

There are 3 methods to trace the flow of inventory

### FIFO First In First Out



هنا اللي بنشتريه الأول بنبيعه الأول، ودي بتبقى حلوه مع الحاجات اللي بتبوظ مع مرور الزمن زي الأدوية والطعام، ونتائجها مابتختلفش ما بين الـ Periodic والـ Perpetual

1- COGS (6 units) ↓

$$= (1 \times 4) + (4 \times 5) + (1 \times 15) = 39$$

2- End. Inventory (4 units) ↑

$$= (1 \times 16) + (3 \times 15) = 61$$

خد بالك ان:

$$39 \text{ COGS} + 61 \text{ Inv.} = 100 \text{ available}$$

فممكن تحسب واحد وتجبب الثاني متمم

$$3- \text{Gross Profit} = 120 - 39 = 81$$

### WA Weighted Average



هنا العملية بتبقى سايحة في بعضها على الآخر ومش عارفين نميز الـ Units وبالتالي لازم نشغل بالمتوسط.

$$\text{WA} = \frac{\text{COG Available}}{\# \text{ Available}}$$

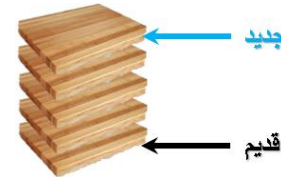
$$= \frac{100}{10} = \$10 / \text{U}$$

$$1- \text{COGS} = (6 \times 10) = 60$$

$$2- \text{End. Inventory} = 4 \times 10 = 40$$

$$3- \text{Gross Profit} = 120 - 60 = 60$$

### LIFO Last In First Out



It isn't required under IFRS & will not title to the final exam.

هنا اللي بنشتريه جديد بنبيعه الأول ونركن الحاجات القديمة علشان تتعق أكثر، ودي بتبقى حلوه مع الحاجات اللي بتزيد قيمتها مع مرور الزمن زي الخمر والعطور.

1- COGS (6 units) ↑

$$= (1 \times 16) + (4 \times 15) + (1 \times 5) = 81$$

2- End. Inventory (4 units) ↓

$$= (1 \times 4) + (3 \times 5) = 19$$

خد بالك ان:

$$81 \text{ COGS} + 19 \text{ Inv.} = 100 \text{ available}$$

فممكن تحسب واحد وتجبب الثاني متمم

$$3- \text{Gross Profit} = 120 - 81 = 39$$

Note that **FIFO** give the **lowest** COGS while **LIFO** give the **highest** COGS & **WA** is **median**.

Note that **FIFO** give the **highest** Ending inventory cost while **LIFO** give the **lowest** Ending inventory & **WA** is **median**.

Note that **FIFO** give the **highest** profit while **LIFO** give the **lowest** profit & **WA** is **median**.

Reverse these notes if prices are decreased.

## Perpetual system

هنا تاريخ العملية مهم جداً لأنك بتشوف كل عملية عملت ايه في الـ balance بتاعك أول بأول كما يل:

| First In First Out (FIFO) طريقة الوارد أولاً صادر أولاً |     |      |      |        |                 |      |         |                           |      |
|---------------------------------------------------------|-----|------|------|--------|-----------------|------|---------|---------------------------|------|
| Date                                                    | IN  |      |      | OUT    |                 |      | Balance |                           |      |
|                                                         | U   | \$/U | Cost | U      | \$/U            | Cost | U       | \$/U                      | Cost |
| 1/1                                                     |     |      |      |        |                 |      | 1       | 4                         | 4    |
| 1/5                                                     | 4   | 5    | 20   |        |                 |      | 5       | 1 x 4<br>4 x 5            | 24   |
| 1/10                                                    |     |      |      | 3      | 1 x 4<br>2 x 5  | 14   | 2       | 5                         | 10   |
| 1/15                                                    | 4   | 15   | 60   |        |                 |      | 6       | 2 x 5<br>4 x 15           | 70   |
| 1/20                                                    | 1   | 16   | 16   |        |                 |      | 7       | 2 x 5<br>4 x 15<br>1 x 16 | 86   |
| 1/25                                                    |     |      |      | 3      | 2 x 5<br>1 x 15 | 25   | 4       | 3 x 5<br>1 x 16           | 61   |
|                                                         | 9   |      | 96   | 6      |                 | 39   |         |                           |      |
|                                                         | # P |      | NP   | # Sold |                 | COGS | # End   |                           | End. |

| In Perpetual – Moving average طريقة المتوسط المتحرك |     |      |      |        |      |      |         |      |      |
|-----------------------------------------------------|-----|------|------|--------|------|------|---------|------|------|
| Date                                                | IN  |      |      | OUT    |      |      | Balance |      |      |
|                                                     | U   | \$/U | Cost | U      | \$/U | Cost | U       | \$/U | Cost |
| 1/1                                                 |     |      |      |        |      |      | 1       | 4    | 4    |
| 1/5                                                 | 4   | 5    | 20   |        |      |      | 5       | 4.8  | 24   |
| 1/10                                                |     |      |      | 3      | 4.8  | 14.4 | 2       | 4.8  | 9.6  |
| 1/15                                                | 4   | 15   | 60   |        |      |      | 6       | 11.6 | 69.6 |
| 1/20                                                | 1   | 16   | 16   |        |      |      | 7       | 12.2 | 85.6 |
| 1/25                                                |     |      |      | 3      | 12.2 | 36.6 | 4       | 12.2 | 49   |
|                                                     | 9   |      | 96   | 6      |      | 51   |         |      |      |
|                                                     | # P |      | NP   | # Sold |      | COGS | # End   |      | End. |

Here we calculate new average after each purchasing transaction

The same results as in periodic

Different results



### Example (5)

LoBianco Company's record of transactions for the month of April was as follows.

| Purchases                 |                    |               | Sales    |                    |               |
|---------------------------|--------------------|---------------|----------|--------------------|---------------|
| Date                      | Units              | Cost per unit | Date     | Units              | Selling price |
| April 1 (balance on hand) | 600 units          | \$6.00        | April 3  | 500 units          | \$10.00       |
| April 4                   | 1,500 units        | \$6.08        | April 9  | 1,300 units        | \$10.00       |
| April 8                   | 800 units          | \$6.40        | April 11 | 600 units          | \$11.00       |
| April 13                  | 1,200 units        | \$6.50        | April 23 | 1,200 units        | \$12.00       |
| April 21                  | 700 units          | \$6.60        | April 27 | 900 units          | \$12.00       |
| April 29                  | 500 units          | \$6.79        |          |                    |               |
| <b>Total</b>              | <b>5,300 units</b> |               |          | <b>4,500 units</b> |               |

### Instructions

- Assuming that periodic inventory records are kept, compute the inventory at April 30 using FIFO and (2) average-cost.
- In an inflationary period, which inventory method—FIFO or average-cost—will show the highest net income?

Solution

|                     | U          |   | \$/U     |   | Cost     |
|---------------------|------------|---|----------|---|----------|
| Beg.                | 600        | x | 6        | = | 3,600    |
| <b>+ Purchases:</b> |            |   |          |   |          |
| 4/4                 | 1,500      | x | 6.08     | = | 9,120    |
| 4/8                 | 800        | x | 6.40     | = | 5,120    |
| 4/13                | 1,200      | x | 6.50     | = | 7,800    |
| 4/21                | 700        | x | 6.60     | = | 4,620    |
| 4/29                | 500        | x | 6.79     | = | 3,395    |
| COG Available       | 5,300      | x | ?        | = | 33,655   |
| (-) COGS            | (4,500)    | x | ?        | = | (?)      |
| <b>End.</b>         | <b>800</b> | x | <b>?</b> | = | <b>?</b> |

E. Inv. Under FIFO = (500 x 6.79) + (300 x 6.6) = 5,375

WA =  $\frac{33,655}{5,300} = 6.35$

E. Inv. Under WA = 800 x 6.35 = 5,080

Required (2): FIFO; older items with lower costs are assumed sold first.



## Example (6)

Inventory information for Part 311 of Seminole Corp. discloses the following information for the month of June.

| Purchases |             |               | Sales   |           |               |
|-----------|-------------|---------------|---------|-----------|---------------|
| Date      | Units       | Cost per unit | Date    | Units     | Selling price |
| June 1    | 300 units   | \$10          | June 10 | 200 units | \$24          |
| June 11   | 800 units   | \$11          | June 15 | 500 units | \$25          |
| June 20   | 500 units   | \$13          | June 27 | 250 units | \$27          |
| Total     | 1,600 units |               |         | 950 units |               |

### Instructions

Assuming that the periodic inventory method is used, compute the cost of goods sold and ending inventory under (1) FIFO and (2) WA.

**Solution**

|                     | <u>U</u> |   | <u>\$/U</u> |   | <u>Cost</u> |
|---------------------|----------|---|-------------|---|-------------|
| Beg.                | 300      | x | 10          | = | 3,000       |
| <b>+ Purchases:</b> |          |   |             |   |             |
| 6/11                | 800      | x | 11          | = | 8,800       |
| 6/20                | 500      | x | 13          | = | 6,500       |
| COG Available       | 1,600    | x | ?           | = | 18,300      |
| (-) COGS            | (950)    | x | ?           | = | (?)         |
| End.                | 650      | x | ?           | = | ?           |

E. Inv. Under FIFO =  $(500 \times 13) + (150 \times 11) = 8,150$

WA =  $\frac{18,300}{1,600} = 11.4375$

E. Inv. Under WA =  $650 \times 11.4375 = 7,434.375$

### 5 Inventory Estimation

The gross profit method is a technique used by companies to estimate the ending inventory cost, especially when there is a need for interim financial reporting or when a physical count of inventory is not feasible.

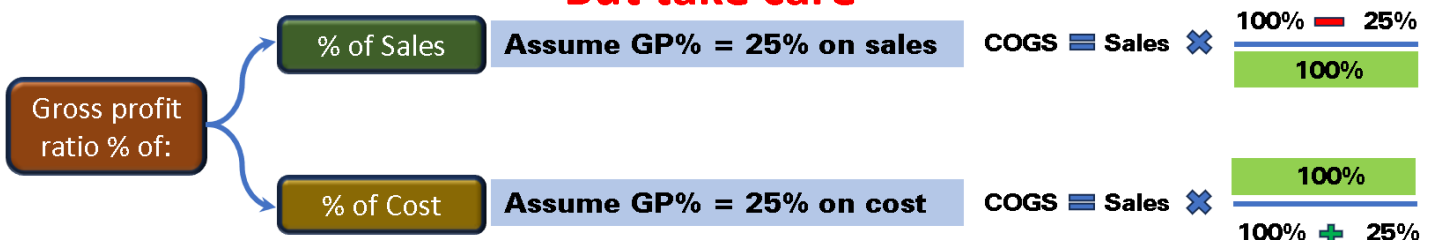
Company usually maintain records that indicate 3 items:



How can we convert sales into COGS?

Using gross profit ratio

**But take care**





### Example (7)

Astaire Company uses the gross profit method to estimate inventory for monthly reporting purposes. Presented below is information for the month of May.

|                    |       |
|--------------------|-------|
| Inventory, May 1   | €200  |
| Purchases (gross)  | 680   |
| Freight-in         | 30    |
| Sales              | 1,200 |
| Sales returns      | 200   |
| Purchase discounts | 10    |

#### Instructions

- 1) Compute the estimated inventory at May 31, assuming that the gross profit is 25% of sales.
- 2) Compute the estimated inventory at May 31, assuming that the gross profit is 25% of cost.

#### Solution

|                                                      | Case 1 | Case 2 |
|------------------------------------------------------|--------|--------|
| Beg. Inv.                                            | 200    | 200    |
| + Net purchases = $680 + 30 - 10 =$                  | 700    | 700    |
| COG Available                                        | 900    | 900    |
| <b>- COGS</b>                                        |        |        |
| Net sales = $1,200 - 200 = 1,000$                    |        |        |
| COGS for case (1) = $1,000 \times \frac{75}{100} =$  | (750)  |        |
| COGS for case (2) = $1,000 \times \frac{100}{125} =$ |        | (800)  |
| End. Inv.                                            | 150    | 100    |



### Example (8)

Zidek Corp. requires an estimate of the cost of goods lost by fire on March 9. Merchandise on hand on January 1 was \$38,000. Purchases since January 1 were \$92,000; freight-in, \$3,400; purchase returns and allowances, \$2,400. Sales are made at  $33\frac{1}{3}\%$  above cost and totaled \$120,000 to March 9. Goods costing \$10,900 were left undamaged by the fire; remaining goods were destroyed.

#### Instructions

- 1) Compute the cost of goods destroyed.
- 2) Compute the cost of goods destroyed, assuming that the gross profit is  $33\frac{1}{3}\%$  of sales.

#### Solution

|                                               | Case 1   | Case 2   |
|-----------------------------------------------|----------|----------|
| Beg. Inv.                                     | 38,000   | 38,000   |
| + Net purchases = $92,000 + 3,400 - 2,400 =$  | 93,000   | 93,000   |
| COG Available                                 | 131,000  | 131,000  |
| <b>- COGS</b>                                 |          |          |
| case (1) = $120,000 \times \frac{100}{133} =$ | (90,000) |          |
| case (2) = $120,000 \times \frac{66}{100} =$  |          | (80,000) |
| End. Inv.                                     | 41,000   | 51,000   |
| <b>- Undestroyed goods</b>                    | (10,900) | (10,900) |
| Destroyed goods                               | 30,100   | 40,100   |

## 6 Inventory Errors & effect on F.S.

|                       | COGS | GP | RE | Tax | Asset | WC |
|-----------------------|------|----|----|-----|-------|----|
| <b>Beg. Inventory</b> | +    | -  | -  | -   |       |    |
| <b>Net Purchases</b>  | +    | -  | -  | -   |       |    |
| <b>End. Inventory</b> | -    | +  | +  | +   | +     | +  |

واخذ بالك ان ال Ending Inventory علاقته طردية بكله ماعدا ال COGS علاقته بيها عكسية

وطبعاً انت عارف ان ال Ending inventory ل Y1 هو نفسه ال Beginning inventory ل Y2

بمعنى ان الغلطة مابتأثرش في نتائج سنه واحدة بل بتأثر على سنتين وبيكون التأثير بالعكس

يعني السنيتين بيعوضوا بعض وبيختفي أثر الخطأ مع إيجاد RE ending ل Y2

Ending inventory for current period is a beginning inventory for next period

### Errors in ending inventory

#### Overstatement E Inv.

when we duplicate counting items of inventory, and the true figure was lower

|                | COGS | GP | RE | Tax | Asset | WC |
|----------------|------|----|----|-----|-------|----|
| Beg. Inventory | +    | -  | -  | -   |       |    |
| Net Purchases  | +    | -  | -  | -   |       |    |
| End. Inventory | -    | +  | +  | +   | +     | +  |

Its effect on

#### CURRENT PERIOD

|        |             |
|--------|-------------|
| COGS   | Understated |
| Income | Overstated  |
| Others | Overstated  |
| RE     | Overstated  |

#### NEXT PERIOD

|        |             |
|--------|-------------|
| COGS   | Overstated  |
| Income | Understated |
| Others | Understated |
| RE     | No effect   |

#### Understatement E Inv.

when we miscounted items of inventory, and the true figure was higher

|                | COGS | GP | RE | Tax | Asset | WC |
|----------------|------|----|----|-----|-------|----|
| Beg. Inventory | +    | -  | -  | -   |       |    |
| Net Purchases  | +    | -  | -  | -   |       |    |
| End. Inventory | -    | +  | +  | +   | +     | +  |

Its effect on

|        |             |
|--------|-------------|
| COGS   | Overstated  |
| Income | Understated |
| Others | Understated |
| RE     | Understated |

|        |             |
|--------|-------------|
| COGS   | Understated |
| Income | Overstated  |
| Others | Overstated  |
| RE     | No effect   |

#### Special case:

If miscounted items of inventory, also not recorded as a purchases

COGS  
No effect

Income  
No effect

RE  
No effect



### Example (9)

Lion Hardware reported cost of goods sold as follows.

|                                  | 2023     | 2024     |
|----------------------------------|----------|----------|
| Beginning inventory              | \$20,000 | \$30,000 |
| Cost of goods purchased          | 150,000  | 175,000  |
| Cost of goods available for sale | 170,000  | 205,000  |
| Ending inventory                 | 30,000   | 35,000   |
| COGS                             | 140,000  | 170,000  |

Lion made two errors:

- (1) 2023 ending inventory was overstated \$3,000,  
& (2) 2024 ending inventory was understated \$6,000.

#### Instructions

Compute the correct cost of goods sold for each year.

*Solution*

COGS of 2023 (1 error) = 140,000 + 3,000 = 143,000

COGS of 2024 (2 errors) = 170,000 - 3,000 - 6,000 = 161,000

## Example (10)

Cody Company reports net income of \$90,000 in 2024. However, the ending inventory was understated \$10,000. What is the correct net income for 2024? What effect, if any, will this error have on total assets as reported in the balance sheet on December 31, 2024?

**Solution**

Correct net income = 90,000 + 10,000 = 100,000

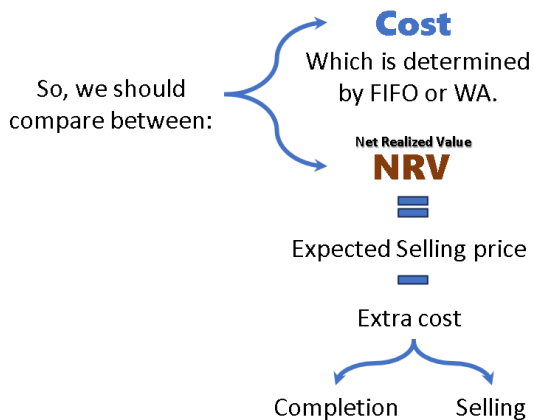
Total assets in the balance sheet will be understated by the amount that ending inventory is understated, \$10,000.

### 7 Lower of Cost or NRV (LCNRV)



A company abandons the historical cost principle when the future utility (revenue-producing ability) of the asset drops below its original cost.

وفقاً للطبيعة التحفظية للمحاسب، فيجب أن يتم الخروج على مبدأ التكلفة التاريخية في حال انخفاض سعر بيع البضاعة عن تكلفتها بما يولد احتمال تحقيق خسائر.



| Case 1                                                                                                           | Case 2                                                                                                                                                                                      |                |           |             |                                                                                                                 |                |      |           |    |
|------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------|-------------|-----------------------------------------------------------------------------------------------------------------|----------------|------|-----------|----|
| 100                                                                                                              | 100                                                                                                                                                                                         |                |           |             |                                                                                                                 |                |      |           |    |
| 120                                                                                                              | 90                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
| Probable <b>gain</b>                                                                                             | Probable <b>Loss</b>                                                                                                                                                                        |                |           |             |                                                                                                                 |                |      |           |    |
| Ignore it                                                                                                        | Record it directly Or using allowance                                                                                                                                                       |                |           |             |                                                                                                                 |                |      |           |    |
| <table border="1"> <tr><th colspan="2">current assets</th></tr> <tr><td>Inventory</td><td>100</td></tr> </table> | current assets                                                                                                                                                                              |                | Inventory | 100         | <table border="1"> <tr><th colspan="2">current assets</th></tr> <tr><td>Inventory</td><td>90</td></tr> </table> | current assets |      | Inventory | 90 |
| current assets                                                                                                   |                                                                                                                                                                                             |                |           |             |                                                                                                                 |                |      |           |    |
| Inventory                                                                                                        | 100                                                                                                                                                                                         |                |           |             |                                                                                                                 |                |      |           |    |
| current assets                                                                                                   |                                                                                                                                                                                             |                |           |             |                                                                                                                 |                |      |           |    |
| Inventory                                                                                                        | 90                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
|                                                                                                                  | <table border="1"> <tr><th colspan="2">current assets</th></tr> <tr><td>Inventory</td><td>100</td></tr> <tr><td>(-) Allowance</td><td>(10)</td></tr> <tr><td></td><td>90</td></tr> </table> | current assets |           | Inventory   | 100                                                                                                             | (-) Allowance  | (10) |           | 90 |
| current assets                                                                                                   |                                                                                                                                                                                             |                |           |             |                                                                                                                 |                |      |           |    |
| Inventory                                                                                                        | 100                                                                                                                                                                                         |                |           |             |                                                                                                                 |                |      |           |    |
| (-) Allowance                                                                                                    | (10)                                                                                                                                                                                        |                |           |             |                                                                                                                 |                |      |           |    |
|                                                                                                                  | 90                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
|                                                                                                                  | <table border="1"> <tr><td>Loss ↑</td><td>10</td></tr> <tr><td>Inventory ↓</td><td>10</td></tr> </table>                                                                                    | Loss ↑         | 10        | Inventory ↓ | 10                                                                                                              |                |      |           |    |
| Loss ↑                                                                                                           | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
| Inventory ↓                                                                                                      | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
|                                                                                                                  | <table border="1"> <tr><td>COGS ↑</td><td>10</td></tr> <tr><td>Inventory ↓</td><td>10</td></tr> </table>                                                                                    | COGS ↑         | 10        | Inventory ↓ | 10                                                                                                              |                |      |           |    |
| COGS ↑                                                                                                           | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
| Inventory ↓                                                                                                      | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
|                                                                                                                  | <table border="1"> <tr><td>Loss ↑</td><td>10</td></tr> <tr><td>Allowance ↑</td><td>10</td></tr> </table>                                                                                    | Loss ↑         | 10        | Allowance ↑ | 10                                                                                                              |                |      |           |    |
| Loss ↑                                                                                                           | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
| Allowance ↑                                                                                                      | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
|                                                                                                                  | <table border="1"> <tr><td>COGS ↑</td><td>10</td></tr> <tr><td>Allowance ↑</td><td>10</td></tr> </table>                                                                                    | COGS ↑         | 10        | Allowance ↑ | 10                                                                                                              |                |      |           |    |
| COGS ↑                                                                                                           | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |
| Allowance ↑                                                                                                      | 10                                                                                                                                                                                          |                |           |             |                                                                                                                 |                |      |           |    |



We can apply LCNRV in 3 levels as shown in the following example:

| Items                                                                               | Given |                 |              | NRV   | Cost  | Application of LCNRV rule on the level of:                                          |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
|-------------------------------------------------------------------------------------|-------|-----------------|--------------|-------|-------|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|-----------------|-----|-------------|-----|----------------------------------------------------------------------------------------------|--------|-----|-------------|-----|----------------------------------------------------------------------------------------------|--------|-----|-------------|-----|
|                                                                                     | SP    | Completion cost | Selling cost |       |       | Individual Items                                                                    | Major groups                                                                                 | Total Inventory |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
|  | 400   | 80              | 20           | 300   | 100   | 100                                                                                 |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
|  | 800   | 200             | 100          | 500   | 600   | 500                                                                                 |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
|  | 600   | 150             | 50           | 400   | 600   | 400                                                                                 |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
|  | 1,000 | 250             | 150          | 600   | 700   | 600                                                                                 |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
|                                                                                     |       |                 |              | 1,800 | 2,000 | 1,600                                                                               | 1,700                                                                                        | 1,800           |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
| More conservative application will lead to more losses                              |       |                 |              |       |       |  | <table><tr><td>Loss ↑</td><td>400</td></tr><tr><td>Inventory ↓</td><td>400</td></tr></table> | Loss ↑          | 400 | Inventory ↓ | 400 | <table><tr><td>Loss ↑</td><td>300</td></tr><tr><td>Inventory ↓</td><td>300</td></tr></table> | Loss ↑ | 300 | Inventory ↓ | 300 | <table><tr><td>Loss ↑</td><td>200</td></tr><tr><td>Inventory ↓</td><td>200</td></tr></table> | Loss ↑ | 200 | Inventory ↓ | 200 |
| Loss ↑                                                                              | 400   |                 |              |       |       |                                                                                     |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
| Inventory ↓                                                                         | 400   |                 |              |       |       |                                                                                     |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
| Loss ↑                                                                              | 300   |                 |              |       |       |                                                                                     |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
| Inventory ↓                                                                         | 300   |                 |              |       |       |                                                                                     |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
| Loss ↑                                                                              | 200   |                 |              |       |       |                                                                                     |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |
| Inventory ↓                                                                         | 200   |                 |              |       |       |                                                                                     |                                                                                              |                 |     |             |     |                                                                                              |        |     |             |     |                                                                                              |        |     |             |     |



## Loss recovery

IFRS allow to recover loss in the following periods but with limit of previous loss

Assume in previous example (in total application) that the company estimates following for total cloths in the following year:

Cost \$2,000  
NRV \$1,950

Assume in previous example (in total application) that the company estimates following for total cloths in the following year:

Cost \$2,000  
NRV \$2,100

In last year we recorded 200 loss, but now loss is only 50, so, we can recover 150 of previous loss by the following entry

|                              |     |     |
|------------------------------|-----|-----|
| Inventory ↑                  | 150 |     |
| Recovery of inventory loss ↑ |     | 150 |

In last year we recorded 200 loss, but now there is gain 100, so, we can recover all 200 of previous loss by the following entry

|                              |     |     |
|------------------------------|-----|-----|
| Inventory ↑                  | 200 |     |
| Recovery of inventory loss ↑ |     | 200 |

### Example (II)

**Remmers Company manufactures desks. Most of the company's desks are standard models and are sold on the basis of catalog prices. At December 31, 2024, the following finished desks appear in the company's inventory.**

| <u>Finished Desks</u>                   | <u>A</u> | <u>B</u> | <u>C</u> | <u>D</u> |
|-----------------------------------------|----------|----------|----------|----------|
| 2024 catalog selling price              | €450     | €480     | €900     | €1,050   |
| FIFO cost per inventory list 12/31/2024 | 470      | 450      | 830      | 960      |
| Estimated cost to complete and sell     | 50       | 110      | 260      | 200      |
| 2025 catalog selling price              | 500      | 540      | 900      | 1,200    |

The 2024 catalog was in effect through November 2024, and the 2025 catalog is effective as of December 1, 2024. All catalog prices are net of the usual discounts.

### Instructions

**At what amount should each of the four desks appear in the company's December 31, 2024, inventory, assuming that the company has adopted a lower-of-FIFO-cost-or-net realizable value approach for valuation of inventories on an individual-item basis?**

**Solution**

|                                         | <u>A</u> | <u>B</u> | <u>C</u> | <u>D</u> |
|-----------------------------------------|----------|----------|----------|----------|
| Expected Selling price                  | 500      | 540      | 900      | 1,200    |
| (-) Estimated cost to complete and sell | 50       | 110      | 260      | 200      |
| NRV                                     | 450      | 430      | 640      | 1,000    |
| Cost                                    | 470      | 450      | 830      | 960      |
| LCNRV                                   | 450      | 430      | 640      | 960      |





## Example (12)

Dover Company began operations in 2023 and determined its ending inventory at cost and at LCNRV at December 31, 2023, and December 31, 2024. This information is presented below.

|            | Cost     | NRV      |
|------------|----------|----------|
| 12/31/2023 | £346,000 | £322,000 |
| 12/31/2024 | 410,000  | 390,000  |

### Instructions

- 1) Prepare the journal entries required at December 31, 2023, and December 31, 2024, assuming inventory is recorded at LCNRV and a perpetual inventory system using the cost-of-goods-sold method.
- 2) Prepare journal entries required at December 31, 2023, and December 31, 2024, assuming inventory is recorded at cost and a perpetual system using the loss method.
- 3) Which of the two methods above provides the higher net income in each year?

### Solution

**2023**

$$\text{Loss} = \text{NRV} - \text{Cost} = 322,000 - 346,000 = -24,000$$

**2024**

$$\text{Loss} = \text{NRV} - \text{Cost} = 390,000 - 410,000 = -20,000$$

So, we can recover 4,000 from previous loss

|      |             |        |        |
|------|-------------|--------|--------|
| COGS | COGS ↑      | 24,000 |        |
|      | Allowance ↑ |        | 24,000 |
| Loss | Loss ↑      | 24,000 |        |
|      | Allowance ↑ |        | 24,000 |

|             |       |       |
|-------------|-------|-------|
| Allowance ↓ | 4,000 |       |
| COGS ↓      |       | 4,000 |
| Allowance ↓ | 4,000 |       |
| Recovery ↑  |       | 4,000 |

Both methods of recording lower-of-cost-or-NRV adjustments have the same effect on net income.

a OR b OR c OR d

1. Morgan Manufacturing Company has the following account balances at year end:

|                   |         |
|-------------------|---------|
| Supplies          | \$4,000 |
| Raw materials     | 27,000  |
| Work-in-process   | 59,000  |
| Finished goods    | 72,000  |
| Prepaid insurance | 6,000   |

What amount should Morgan report as inventories in its statement of financial position?

- a. \$72,000.      b. \$76,000.      c. \$158,000.      d. \$162,000.

2. Elkins Corporation uses the perpetual inventory method. On March 1, it purchased \$10,000 of inventory, terms 2/10, n/30. On March 3, Elkins returned goods that cost \$1,000. On March 9, Elkins paid the supplier. On March 9, Elkins should credit

- a. purchase discounts for \$200.  
b. inventory for \$200.  
c. purchase discounts for \$180.  
d. inventory for \$180.

3. Bell Inc. took a physical inventory at the end of the year and determined that \$650,000 of goods were on hand. In addition, Bell, Inc. determined that \$50,000 of goods that were in transit that were shipped f.o.b. shipping were actually received two days after the inventory count and that the company had \$75,000 of goods out on consignment. What amount should Bell report as inventory at the end of the year?

- a. \$650,000.      b. \$700,000.      c. \$725,000.      d. \$775,000.

4. Bell Inc. took a physical inventory at the end of the year and determined that \$475,000 of goods were on hand. In addition, the following items were not included in the physical count. Bell, Inc. determined that \$60,000 of goods were in transit that were shipped f.o.b. destination (goods were actually received by the company three days after the inventory count). On the last day of the year, the company sold \$25,000 worth of inventory f.o.b. destination. What amount should Bell report as inventory at the end of the year?

- a. \$475,000.      b. \$535,000.      c. \$500,000.      d. \$560,000.



**5.** Risers Inc. reported total assets of \$1,200,000 and net income of \$135,000 for the current year. Risers determined that inventory was overstated by \$10,000 at the beginning of the year (this was not corrected). What is the corrected amount for total assets and net income for the year?

- a. \$1,200,000 and \$135,000.
- b. \$1,200,000 and \$145,000.
- c. \$1,190,000 and \$125,000.
- d. \$1,210,000 and \$145,000.

**6.** Risers Inc. reported total assets of \$1,600,000 and net income of \$85,000 for the current year. Risers determined that inventory was understated by \$23,000 at the beginning of the year and \$10,000 at the end of the year. What is the corrected amount for total assets and net income for the year?

- a. \$1,610,000 and \$95,000.
- b. \$1,590,000 and \$98,000.
- c. \$1,610,000 and \$72,000.
- d. \$1,600,000 and \$85,000.

**7.** The following information is available for Naab Company for 2015:

|                  |          |
|------------------|----------|
| Freight-in       | \$30,000 |
| Purchase returns | 75,000   |
| Selling expenses | 150,000  |
| Ending inventory | 260,000  |

The cost of goods sold is equal to 400% of selling expenses. What is the cost of goods available for sale?

- a. \$600,000.
- b. \$890,000.
- c. \$815,000.
- d. \$860,000.

**(8 & 9)** Winsor Co. records purchases at net amounts. On May 5 Winsor purchased merchandise on account, \$16,000, terms 2/10, n/30. Winsor returned \$1,200 of the May 5 purchase and received credit on account. At May 31 the balance had not been paid.

**8.** The amount to be recorded as a purchase return is

- a. \$1,080.
- b. \$1,224.
- c. \$1,200.
- d. \$1,176.

**9.** By how much should the account payable be adjusted on May 31?

- a. \$0.
- b. \$344.
- c. \$320.
- d. \$296.

**10.** The following information was available from the inventory records of Rich Company for January:

|                       | <u>Units</u> | <u>Unit Cost</u> | <u>Total Cost</u> |
|-----------------------|--------------|------------------|-------------------|
| Balance at January 1  | 3,000        | \$9.77           | \$29,310          |
| <u>Purchases:</u>     |              |                  |                   |
| January 6             | 2,000        | 10.30            | 20,600            |
| January 26            | 2,700        | 10.71            | 28,917            |
| <u>Sales:</u>         |              |                  |                   |
| January 7             | (2,500)      |                  |                   |
| January 31            | (4,000)      |                  |                   |
| Balance at January 31 | 1,200        |                  |                   |

Assuming that Rich does not maintain perpetual inventory records, what should be the inventory at January 31, using the weighted-average inventory method, rounded to the nearest dollar?

- a. \$12,606.
- b. \$12,284.
- c. \$12,312.
- d. \$12,432.

**11.** Niles Co. has the following data related to an item of inventory:

|                     |                    |
|---------------------|--------------------|
| Inventory, March 1  | 100 units @ \$4.20 |
| Purchase, March 7   | 350 units @ \$4.40 |
| Purchase, March 16  | 70 units @ \$4.50  |
| Inventory, March 31 | 130 units          |

The value assigned to cost of goods sold if Niles uses FIFO is

- a. \$579.
- b. \$552.
- c. \$1,723.
- d. \$1,696.

**12.** Emley Company has been using the average cost method of inventory valuation for 10 years, since it began operations. Its 2015 ending inventory was \$40,000, but it would have been \$60,000 if FIFO had been used. Thus, if FIFO had been used, Emley's income before income taxes would have been

- a. \$20,000 greater over the 10-year period.
- b. \$20,000 less over the 10-year period.
- c. \$20,000 greater in 2015.
- d. \$20,000 less in 2015.

- 13.** Milford Company had 500 units of "Tank" in its inventory at a cost of \$4 each. It purchased, for \$2,800, 300 more units of "Tank". Milford then sold 400 units at a selling price of \$10 each, resulting in a gross profit of \$1,600. The cost flow assumption used by Milford
- is FIFO.
  - is specific identification.
  - is weighted average.
  - cannot be determined from the information given.
- 14.** June Corp. sells one product and uses a perpetual inventory system. The beginning inventory consisted of 10 units that cost \$20 per unit. During the current month, the company purchased 60 units at \$20 each. Sales during the month totaled 45 units for \$43 each. What is the number of units in the ending inventory?
- 10 units.
  - 15 units.
  - 25 units.
  - 70 units.
- 15.** Checkers uses the periodic inventory system. For the current month, the beginning inventory consisted of 1,200 units that cost \$12 each. During the month, the company made two purchases: 500 units at \$13 each and 2,000 units at \$13.50 each. Checkers also sold 2,150 units during the month. Using the average cost method, what is the amount of cost of goods sold for the month?
- \$27,843.
  - \$28,950.
  - \$26,975.
  - \$27,950.
- 16.** Checkers uses the periodic inventory system. For the current month, the beginning inventory consisted of 1,200 units that cost \$12 each. During the month, the company made two purchases: 500 units at \$13 each and 2,000 units at \$13.50 each. Checkers also sold 2,150 units during the month. Using the FIFO method, what is the ending inventory?
- \$20,073.
  - \$18,600.
  - \$20,925.
  - \$18,950.
- 17.** Chess Top uses the periodic inventory system. For the current month, the beginning inventory consisted of 200 units that cost \$65 each. During the month, the company made two purchases: 300 units at \$68 each and 150 units at \$70 each. Chess Top also sold 500 units during the month. Using the average cost method, what is the amount of ending inventory?
- \$10,500.
  - \$33,770.
  - \$33,400.
  - \$10,131.
- 18.** Chess Top uses the periodic inventory system. For the current month, the beginning inventory consisted of 200 units that cost \$65 each. During the month, the company made two purchases: 300 units at \$68 each and 150 units at \$70 each. Chess Top also sold 500 units during the month. Using the FIFO method, what is the amount of cost of goods sold for the month?
- \$33,770.
  - \$32,500.
  - \$34,150.
  - \$33,400.
- 19.** Oslo Corporation has two products in its ending inventory, each accounted for at the lower of cost or net realizable value. Specific data with respect to each product follows:
- |                  | <u>Product #1</u> | <u>Product #2</u> |
|------------------|-------------------|-------------------|
| Selling price    | \$60              | \$130             |
| Historical cost  | 40                | 70                |
| Cost to sell     | 10                | 26                |
| Cost to complete | 15                | 40                |
- In pricing its ending inventory using the lower-of-cost-or-net realizable value, what unit values should Oslo use for products #1 and #2, respectively?
- \$35 and \$64.
  - \$50 and \$104.
  - \$40 and \$70.
  - \$45 and \$90.
- 20.** Muckenthaler Company sells product 2005WSC for \$25 per unit. The cost of one unit of 2005WSC is \$18. The estimated cost to complete a unit is \$4, and the estimated cost to sell is \$6. At what amount per unit should product 2005WSC be reported, applying lower-of-cost-or-net realizable value?
- \$20.
  - \$15.
  - \$18.
  - \$19.
- 21.** Given the acquisition cost of product Z is \$32, the cost to complete product Z is \$9.00, the cost to sell product Z is \$5, and the selling price for product Z is \$50.00, what is the proper per unit inventory price for product Z?
- \$32.
  - \$45.
  - \$36.
  - \$41.

**22.** Rios, Inc. uses International Financial Reporting Standards (IFRS). In 2023, Rios, Inc. experienced a decline in the value of its inventory resulting in a write-down of its inventory from \$240,000 to \$200,000. The company used the loss method in 2023 to record the necessary adjustment and uses an allowance account to reduce inventory to NRV. In 2024, market conditions have improved dramatically and Rios, Inc.'s inventory increases to an NRV of \$216,000. Which of the following will Rios, Inc. record in 2024?

- a. A debit to Recovery of Inventory Loss for \$16,000.
- b. A credit to Recovery of Inventory Loss for \$24,000.
- c. A debit to Allowance to Reduce Inventory to NRV of \$16,000.
- d. A credit to Allowance to Reduce Inventory to NRV of \$24,000.

**23.** The following information is available for October for Barton Company.

|                           |          |
|---------------------------|----------|
| Beginning inventory       | \$50,000 |
| Net purchases             | 150,000  |
| Net sales                 | 300,000  |
| Percentage markup on cost | 66.67%   |

A fire destroyed Barton's October 31 inventory, leaving undamaged inventory with a cost of \$3,000. Using the gross profit method, the estimated ending inventory destroyed by fire is

- a. \$17,000.
- b. \$77,000.
- c. \$80,000.
- d. \$100,000.

**24.** Kesler, Inc. estimates the cost of its physical inventory at March 31 for use in an interim financial statement. The rate of markup on cost is 25%. The following account balances are available:

|                    |           |
|--------------------|-----------|
| Inventory, March 1 | \$220,000 |
| Purchases          | 172,000   |
| Purchase returns   | 8,000     |
| Sales during March | 300,000   |

The estimate of the cost of inventory at March 31 would be

- a. \$84,000.
- b. \$144,000.
- c. \$159,000.
- d. \$112,000.

**25.** On January 1, 2024, the merchandise inventory of Glaus, Inc. was \$800,000. During 2024 Glaus purchased \$1,600,000 of merchandise and recorded sales of \$2,000,000. The gross profit rate on these sales was 25%. What is the merchandise inventory of Glaus at December 31, 2015?

- a. \$400,000.
- b. \$500,000.
- c. \$900,000.
- d. \$1,500,000.

**26.** For 2015, cost of goods available for sale for Tate Corporation was \$900,000. The gross profit rate was 20%. Sales for the year were \$800,000. What was the amount of the ending inventory?

- a. \$0.
- b. \$260,000.
- c. \$180,000.
- d. \$160,000.

**27.** On August 31, a hurricane destroyed a retail location of Vinny's Clothier including the entire inventory on hand at the location. The inventory on hand as of June 30 totaled \$320,000. From June 30 until the time of the hurricane, the company made purchases of \$85,000 and had sales of \$250,000. Assuming the rate of gross profit to selling price is 40%, what is the approximate value of the inventory that was destroyed?

- a. \$320,000.
- b. \$181,500.
- c. \$205,000.
- d. \$255,000.

**Solution**

|    |    |    |    |    |    |    |    |    |    |    |    |    |    |
|----|----|----|----|----|----|----|----|----|----|----|----|----|----|
| 1  | 2  | 3  | 4  | 5  | 6  | 7  | 8  | 9  | 10 | 11 | 12 | 13 | 14 |
| c  | d  | d  | c  | b  | c  | d  | d  | d  | b  | d  | c  | c  | c  |
| 15 | 16 | 17 | 18 | 19 | 20 | 21 | 22 | 23 | 24 | 25 | 26 | 27 |    |
| a  | c  | d  | d  | a  | b  | a  | c  | a  | b  | c  | b  | d  |    |

## Solution Manual

1.  $\text{Inventory} = 27,000 + 59,000 + 72,000 = 158,000$

3.  $\text{Inventory} = 650,000 + 50,000 + 75,000 = 775,000$

4.  $\text{Inventory} = 475,000 + 25,000 = 500,000$

5. Assets are not related to beginning inventory, correct assets = 1,200,000

Net income related inversely with beginning inventory, correct income =  $135,000 + 10,000 = 145,000$

6. Correct assets =  $1,600,000 + 10,000 = 1,610,000$

Correct income =  $85,000 - 23,000 + 10,000 = 72,000$

7.  $\text{COGS} = 150,000 \times 400\% = 600,000$

$\text{COG Available} = \text{COGS} + \text{Ending inventory} = 600,000 + 260,000 = 860,000$

8.  $\text{Purchase return} = 1,200 \times 98\% = 1,176$

9.  $\text{Purchase discount lost} = (16,000 - 1,200) \times 2\% = 296$

Use the following information for questions 99 and 100.

10.

|                     | <u>U</u> |   | <u>\$/U</u> |   | <u>Cost</u> |
|---------------------|----------|---|-------------|---|-------------|
| Beg.                | 3,000    | x | 9.77        | = | 29,310      |
| <b>+ Purchases:</b> |          |   |             |   |             |
| 1/6                 | 2,000    | x | 10.30       | = | 20,600      |
| 1/26                | 2,700    | x | 10.71       | = | 28,917      |
| COG Available       | 7,700    | x | ?           | = | 78,827      |
| (-) <b>COGS</b>     | (6,500)  | x | ?           | = | (?)         |
| End.                | 1,200    | x | ?           | = | ?           |

$\text{WA} = 78,827 / 7,700 = 10.24$

$\text{Ending inventory} = 1,200 \times 10.24 = 12,284$

11. **Number of units sold** =  $100 + 350 + 70 - 130 = 390$

$\text{COGS under FIFO} = (100 \times 4.2) + (290 \times 4.4) = 1699$

13.  $\text{Gross profit} = \text{Sales} - \text{COGS}$

$1,600 = (400 \times 10) - \text{COGS}$

$\text{COGS} = 4,000 - 1,600 = 2,400$

|                     | <u>U</u> |   | <u>\$/U</u> |   | <u>Cost</u> |
|---------------------|----------|---|-------------|---|-------------|
| Beg.                | 500      | x | 4           | = | 2,000       |
| <b>+ Purchases:</b> |          |   |             |   |             |
|                     | 300      |   |             |   | 2,800       |
| COG Available       | 800      | x | ?           | = | 4,800       |

$\text{WA} = 4,800 / 800 = 6$

$\text{COGS} = 400 \times 6 = 2,400$

14.  $10 + 60 - 45 = 25$

15.

|                     | <u>U</u> |   | <u>\$/U</u> |   | <u>Cost</u> |
|---------------------|----------|---|-------------|---|-------------|
| Beg.                | 1,200    | x | 12          | = | 14,400      |
| <b>+ Purchases:</b> |          |   |             |   |             |
| 1                   | 500      | x | 13          | = | 6,500       |
| 2                   | 2,000    | x | 13.5        | = | 27,000      |
| COG Available       | 3,700    | x | ?           | = | 47,900      |
| (-) <b>COGS</b>     | (2,150)  | x | ?           | = | (?)         |
| End.                | 1,550    | x | ?           | = | ?           |

$\text{WA} = 47,900 / 3,700 = 12.95$

$\text{COGS} = 2,150 \times 12.95 = 27,843$

16.  $\text{Ending inventory under FIFO} = 1,550 \times 13.5 = 20,925$

17.

|                     | <u>U</u> |   | <u>\$/U</u> |   | <u>Cost</u> |
|---------------------|----------|---|-------------|---|-------------|
| Beg.                | 200      | x | 65          | = | 13,000      |
| <b>+ Purchases:</b> |          |   |             |   |             |
| 1                   | 300      | x | 68          | = | 20,400      |
| 2                   | 150      | x | 70          | = | 10,500      |
| COG Available       | 650      | x | ?           | = | 43,900      |
| (-) COGS            | (500)    | x | ?           | = | (?)         |
| End.                | 150      | x | ?           | = | ?           |

$$WA = 43,900 / 650 = 67.54$$

$$COGS = 150 \times 67.54 = 10,131$$

$$18. COGS = (200 \times 65) + (300 \times 68) = 33,400$$

19.

|                                         | A  | B   |
|-----------------------------------------|----|-----|
| Expected Selling price                  | 60 | 130 |
| (-) Estimated cost to complete and sell | 25 | 66  |
| NRV                                     | 35 | 64  |
| Cost                                    | 40 | 70  |
| LCNRV                                   | 35 | 64  |

20.

|                                         |    |
|-----------------------------------------|----|
| Expected Selling price                  | 25 |
| (-) Estimated cost to complete and sell | 10 |
| NRV                                     | 15 |
| Cost                                    | 18 |
| LCNRV                                   | 15 |

21.

|                                         |    |
|-----------------------------------------|----|
| Expected Selling price                  | 50 |
| (-) Estimated cost to complete and sell | 14 |
| NRV                                     | 36 |
| Cost                                    | 32 |
| LCNRV                                   | 32 |

23.

|                                             |           |
|---------------------------------------------|-----------|
| Beg. Inventory                              | 50,000    |
| + Net purchases                             | 150,000   |
| COG available                               | 200,000   |
| (-) COGS = $300,000 \times \frac{100}{166}$ | (180,000) |
| Ending inventory                            | 20,000    |
| (-) Undestroyed inventory                   | (3,000)   |
| Destroyed inventory                         | 17,000    |

24.

|                                             |           |
|---------------------------------------------|-----------|
| Beg. Inventory                              | 220,000   |
| + Net purchases = $172,000 - 8,000 =$       | 164,000   |
| COG available                               | 384,000   |
| (-) COGS = $300,000 \times \frac{100}{125}$ | (240,000) |
| Ending inventory                            | 144,000   |

25.

|                                              |                    |
|----------------------------------------------|--------------------|
| Beg. Inventory                               | 800,000            |
| + Net purchases                              | <u>1,600,000</u>   |
| COG available                                | 2,400,000          |
| (-) COGS = $2,000,000 \times \frac{75}{100}$ | <u>(1,500,000)</u> |
| Ending inventory                             | 900,000            |

26.

|                                            |                  |
|--------------------------------------------|------------------|
| COG available                              | 900,000          |
| (-) COGS = $800,000 \times \frac{80}{100}$ | <u>(640,000)</u> |
| Ending inventory                           | 260,000          |

27.

|                                            |                  |
|--------------------------------------------|------------------|
| Beg. Inventory                             | 320,000          |
| + Net purchases                            | <u>85,000</u>    |
| COG available                              | 405,000          |
| (-) COGS = $250,000 \times \frac{60}{100}$ | <u>(150,000)</u> |
| Ending inventory                           | 255,000          |



**FINISH**

**With my best wishes**